

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO H.B. 2999
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 9-463.05, Arizona Revised Statutes, is amended
3 to read:

4 9-463.05. Development fees; imposition by cities and towns;
5 infrastructure improvements plan; annual report;
6 advisory committee; limitation on actions;
7 definitions

8 A. A municipality may assess development fees to offset costs to
9 the municipality associated with providing necessary public services to a
10 development, including the costs of infrastructure, improvements, real
11 property, engineering and architectural services, financing and
12 professional services required for the preparation or revision of a
13 development fee pursuant to this section, including the relevant portion
14 of the infrastructure improvements plan.

15 B. Development fees assessed by a municipality under this section
16 are subject to the following requirements:

17 1. Development fees shall result in a beneficial use to the
18 development.

19 2. The municipality shall calculate the development fee based on
20 the infrastructure improvements plan adopted pursuant to this section.

21 3. The development fee shall not exceed a proportionate share of
22 the cost of necessary public services, based on service units, needed to
23 provide necessary public services to the development.

24 4. Costs for necessary public services made necessary by new
25 development shall be based on the same level of service provided to
26 existing development in the service area.

27 5. Development fees may not be used for any of the following:

1 (a) Construction, acquisition or expansion of public facilities or
2 assets other than necessary public services or facility expansions
3 identified in the infrastructure improvements plan.

4 (b) Repair, operation or maintenance of existing or new necessary
5 public services or facility expansions.

6 (c) Upgrading, updating, expanding, correcting or replacing
7 existing necessary public services to serve existing development in order
8 to meet stricter safety, efficiency, environmental or regulatory
9 standards.

10 (d) Upgrading, updating, expanding, correcting or replacing
11 existing necessary public services to provide a higher level of service to
12 existing development.

13 (e) Administrative, maintenance or operating costs of the
14 municipality.

15 6. Any development for which a development fee has been paid is
16 entitled to the use and benefit of the services for which the fee was
17 imposed and is entitled to receive immediate service from any existing
18 facility with available capacity to serve the new service units if the
19 available capacity has not been reserved or pledged in connection with the
20 construction or financing of the facility.

21 7. Development fees may be collected if any of the following
22 occurs:

23 (a) The collection is made to pay for a necessary public service or
24 facility expansion that is identified in the infrastructure improvements
25 plan and the municipality plans to complete construction and to have the
26 service available within the time period established in the infrastructure
27 ~~improvement~~ IMPROVEMENTS plan, but in no event longer than the time period
28 provided in subsection H, paragraph 3 of this section.

29 (b) The municipality reserves in the infrastructure improvements
30 plan adopted pursuant to this section or otherwise agrees to reserve
31 capacity to serve future development.

32 (c) The municipality requires or agrees to allow the owner of a
33 development to construct or finance the necessary public service or
34 facility expansion and any of the following ~~apply~~ APPLIES:

35 (i) The costs incurred or money advanced are credited against or
36 reimbursed from the development fees otherwise due from a development.

37 (ii) The municipality reimburses the owner for those costs from the
38 development fees paid from all developments that will use those necessary
39 public services or facility expansions.

40 (iii) For those costs incurred the municipality allows the owner to
41 assign the credits or reimbursement rights from the development fees
42 otherwise due from a development to other developments for the same
43 category of necessary public services in the same service area.

44 8. Projected interest charges and other finance costs may be
45 included in determining the amount of development fees only if the monies
46 are used for the payment of principal and interest on the portion of the
47 bonds, notes or other obligations issued to finance construction of

1 necessary public services or facility expansions identified in the
2 infrastructure improvements plan.

3 9. Monies received from development fees assessed pursuant to this
4 section shall be placed in a separate fund and accounted for separately
5 and may only be used for the purposes authorized by this section. Monies
6 received from a development fee identified in an infrastructure
7 improvements plan adopted or updated pursuant to subsection D of this
8 section shall be used to provide the same category of necessary public
9 services or facility expansions for which the development fee was assessed
10 and for the benefit of the same service area, as defined in the
11 infrastructure improvements plan, in which the development fee was
12 assessed. Interest earned on monies in the separate fund shall be
13 credited to the fund.

14 10. The schedule for payment of fees shall be provided by the
15 municipality. Based on the cost identified in the infrastructure
16 improvements plan, the municipality shall provide a credit toward the
17 payment of a development fee for the required or agreed to dedication of
18 public sites, improvements and other necessary public services or facility
19 expansions included in the infrastructure improvements plan and for which
20 a development fee is assessed, to the extent the public sites,
21 improvements and necessary public services or facility expansions are
22 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED
23 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY
24 INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. The
25 developer of residential dwelling units shall be required to pay
26 development fees when construction permits for the dwelling units are
27 issued, or at a later time if specified in a development agreement
28 pursuant to section 9-500.05. If a development agreement provides for
29 fees to be paid at a time later than the issuance of construction permits,
30 the deferred fees shall be paid ~~no~~ NOT later than fifteen days after the
31 issuance of a certificate of occupancy. The development agreement shall
32 provide for the value of any deferred fees to be supported by appropriate
33 security, including a surety bond, letter of credit or cash bond.

34 11. If a municipality requires as a condition of development
35 approval the construction or improvement of, contributions to or
36 dedication of any facilities that were not included in a previously
37 adopted infrastructure improvements plan, the municipality shall cause the
38 infrastructure improvements plan to be amended to include the facilities
39 and shall provide a credit toward the payment of a development fee for the
40 construction, improvement, contribution or dedication of the facilities to
41 the extent that the facilities will substitute for or otherwise reduce the
42 need for other similar facilities in the infrastructure improvements plan
43 for which development fees were assessed.

44 12. The municipality shall forecast the contribution to be made in
45 the future in cash or by taxes, fees, assessments or other sources of
46 revenue derived from the property owner towards the capital costs of the
47 necessary public service covered by the development fee and shall include

1 these contributions in determining the extent of the burden imposed by the
2 development. Beginning August 1, 2014, for purposes of calculating the
3 required offset to development fees pursuant to this subsection, if a
4 municipality imposes a construction contracting or similar excise tax rate
5 in excess of the percentage amount of the transaction privilege tax rate
6 imposed on the majority of other transaction privilege tax
7 classifications, the entire excess portion of the construction contracting
8 or similar excise tax shall be treated as a contribution to the capital
9 costs of necessary public services provided to development for which
10 development fees are assessed, unless the excess portion was already taken
11 into account for such purpose pursuant to this subsection.

12 13. If development fees are assessed by a municipality, the fees
13 shall be assessed against commercial, residential and industrial
14 development, except that the municipality may distinguish between
15 different categories of residential, commercial and industrial development
16 in assessing the costs to the municipality of providing necessary public
17 services to new development and in determining the amount of the
18 development fee applicable to the category of development. If a
19 municipality agrees to waive any of the development fees assessed on a
20 development, the municipality shall reimburse the appropriate development
21 fee accounts for the amount that was waived. The municipality shall
22 provide notice of any such waiver to the advisory committee established
23 pursuant to subsection G of this section within thirty days.

24 14. In determining and assessing a development fee applying to land
25 in a community facilities district established under title 48, chapter 4,
26 article 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT ESTABLISHED
27 UNDER TITLE 48, CHAPTER 40, the municipality shall take into account all
28 public infrastructure provided by the district and capital costs paid by
29 the district for necessary public services and shall not assess a portion
30 of the development fee based on the infrastructure or costs.

31 C. A municipality shall give at least thirty days' advance notice
32 of intention to assess a development fee and shall release to the public
33 and post on its website or the website of an association of cities and
34 towns if a municipality does not have a website a written report of the
35 land use assumptions and infrastructure improvements plan adopted pursuant
36 to subsection D of this section. The municipality shall conduct a public
37 hearing on the proposed development fee at any time after the expiration
38 of the ~~thirty-day~~ THIRTY-DAY notice of intention to assess a development
39 fee and at least thirty days before the scheduled date of adoption of the
40 fee by the governing body. Within sixty days after the date of the public
41 hearing on the proposed development fee, a municipality shall approve or
42 disapprove the imposition of the development fee. A municipality shall
43 not adopt an ordinance, order or resolution approving a development fee as
44 an emergency measure. A development fee assessed pursuant to this section
45 shall not be effective until seventy-five days after its formal adoption
46 by the governing body of the municipality. Nothing in this subsection
47 shall affect any development fee adopted before July 24, 1982.

1 D. Before the adoption or amendment of a development fee, the
2 governing body of the municipality shall adopt or update the land use
3 assumptions and infrastructure improvements plan for the designated
4 service area. The municipality shall conduct a public hearing on the land
5 use assumptions and infrastructure improvements plan at least thirty days
6 before the adoption or update of the plan. The municipality shall release
7 the plan to the public, post the plan on its website or the website of an
8 association of cities and towns if the municipality does not have a
9 website, including in the posting its land use assumptions, the time
10 period of the projections, a description of the necessary public services
11 included in the infrastructure improvements plan and a map of the service
12 area to which the land use assumptions apply, make available to the public
13 the documents used to prepare the assumptions and plan and provide public
14 notice at least sixty days before the public hearing, subject to the
15 following:

16 1. The land use assumptions and infrastructure improvements plan
17 shall be approved or disapproved within sixty days after the public
18 hearing on the land use assumptions and infrastructure improvements plan
19 and at least thirty days before the public hearing on the report required
20 by subsection C of this section. A municipality shall not adopt an
21 ordinance, order or resolution approving the land use assumptions or
22 infrastructure improvements plan as an emergency measure.

23 2. An infrastructure improvements plan shall be developed by
24 qualified professionals using generally accepted engineering and planning
25 practices pursuant to subsection E of this section.

26 3. A municipality shall update the land use assumptions and
27 infrastructure improvements plan at least every five years. The initial
28 ~~five-year~~ FIVE-YEAR period begins on the day the infrastructure
29 improvements plan is adopted. The municipality shall review and evaluate
30 its current land use assumptions and shall cause an update of the
31 infrastructure improvements plan to be prepared pursuant to this section.

32 4. Within sixty days after completion of the updated land use
33 assumptions and infrastructure improvements plan, the municipality shall
34 schedule and provide notice of a public hearing to discuss and review the
35 update and shall determine whether to amend the assumptions and plan.

36 5. A municipality shall hold a public hearing to discuss the
37 proposed amendments to the land use assumptions, the infrastructure
38 improvements plan or the development fee. The land use assumptions and
39 the infrastructure improvements plan, including the amount of any proposed
40 changes to the development fee per service unit, shall be made available
41 to the public on or before the date of the first publication of the notice
42 of the hearing on the amendments.

43 6. The notice and hearing procedures prescribed in paragraph 1 of
44 this subsection apply to a hearing on the amendment of land use
45 assumptions, an infrastructure improvements plan or a development fee.
46 Within sixty days after the date of the public hearing on the amendments,
47 a municipality shall approve or disapprove the amendments to the land use

1 assumptions, infrastructure improvements plan or development fee.
2 A municipality shall not adopt an ordinance, order or resolution approving
3 the amended land use assumptions, infrastructure improvements plan or
4 development fee as an emergency measure.

5 7. The advisory committee established under subsection G of this
6 section shall file its written comments on any proposed or updated land
7 use assumptions, infrastructure improvements plan and development fees
8 before the fifth business day before the date of the public hearing on the
9 proposed or updated assumptions, plan and fees.

10 8. If, at the time an update as prescribed in paragraph 3 of this
11 subsection is required, the municipality determines that no changes to the
12 land use assumptions, infrastructure improvements plan or development fees
13 are needed, the municipality may as an alternative to the updating
14 requirements of this subsection publish notice of its determination on its
15 website and include the following:

16 (a) A statement that the municipality has determined that no change
17 to the land use assumptions, infrastructure improvements plan or
18 development fee is necessary.

19 (b) A description and map of the service area in which an update
20 has been determined to be unnecessary.

21 (c) A statement that by a specified date, which shall be at least
22 sixty days after the date of publication of the first notice, a person may
23 make a written request to the municipality requesting that the land use
24 assumptions, infrastructure improvements plan or development fee be
25 updated.

26 (d) A statement identifying the person or entity to whom the
27 written request for an update should be sent.

28 9. If, by the date specified pursuant to paragraph 8 of this
29 subsection, a person requests in writing that the land use assumptions,
30 infrastructure improvements plan or development fee be updated, the
31 municipality shall cause, accept or reject an update of the assumptions
32 and plan to be prepared pursuant to this subsection.

33 10. Notwithstanding the notice and hearing requirements for adoption
34 of an infrastructure improvements plan, a municipality may amend an
35 infrastructure improvements plan adopted pursuant to this section without
36 a public hearing if the amendment addresses only elements of necessary
37 public services in the existing infrastructure improvements plan and the
38 changes to the plan will not, individually or cumulatively with other
39 amendments adopted pursuant to this subsection, increase the level of
40 service in the service area or cause a development fee increase of greater
41 than five ~~per cent~~ PERCENT when a new or modified development fee is
42 assessed pursuant to this section. The municipality shall provide notice
43 of any such amendment at least thirty days before adoption, shall post the
44 amendment on its website or on the website of an association of cities and
45 towns if the municipality does not have a website and shall provide notice
46 to the advisory committee established pursuant to subsection G of this
47 section that the amendment complies with this subsection.

1 E. For each necessary public service that is the subject of a
2 development fee, the infrastructure improvements plan shall include:

3 1. A description of the existing necessary public services in the
4 service area and the costs to upgrade, update, improve, expand, correct or
5 replace those necessary public services to meet existing needs and usage
6 and stricter safety, efficiency, environmental or regulatory standards,
7 which shall be prepared by qualified professionals licensed in this state,
8 as applicable.

9 2. An analysis of the total capacity, the level of current usage
10 and commitments for usage of capacity of the existing necessary public
11 services, which shall be prepared by qualified professionals licensed in
12 this state, as applicable.

13 3. A description of all or the parts of the necessary public
14 services or facility expansions and their costs necessitated by and
15 attributable to development in the service area based on the approved land
16 use assumptions, including a forecast of the costs of infrastructure,
17 improvements, real property, financing, engineering and architectural
18 services, which shall be prepared by qualified professionals licensed in
19 this state, as applicable.

20 4. A table establishing the specific level or quantity of use,
21 consumption, generation or discharge of a service unit for each category
22 of necessary public services or facility expansions and an equivalency or
23 conversion table establishing the ratio of a service unit to various types
24 of land uses, including residential, commercial and industrial.

25 5. The total number of projected service units necessitated by and
26 attributable to new development in the service area based on the approved
27 land use assumptions and calculated pursuant to generally accepted
28 engineering and planning criteria.

29 6. The projected demand for necessary public services or facility
30 expansions required by new service units for a period not to exceed ten
31 years.

32 7. A forecast of revenues generated by new service units other than
33 development fees, which shall include estimated state-shared revenue,
34 highway ~~users~~ USER revenue, federal revenue, ad valorem property taxes,
35 construction contracting or similar excise taxes and the capital recovery
36 portion of utility fees attributable to development based on the approved
37 land use assumptions, and a plan to include these contributions in
38 determining the extent of the burden imposed by the development as
39 required in subsection B, paragraph 12 of this section.

40 F. A municipality's development fee ordinance shall provide that a
41 new development fee or an increased portion of a modified development fee
42 shall not be assessed against a development for twenty-four months after
43 the date that the municipality issues the final approval for a commercial,
44 industrial or multifamily development or the date that the first building
45 permit is issued for a residential development pursuant to an approved
46 site plan or subdivision plat, provided that no subsequent changes are
47 made to the approved site plan or subdivision plat that would increase the

1 number of service units. If the number of service units increases, the
2 new or increased portion of a modified development fee shall be limited to
3 the amount attributable to the additional service units. The twenty-four
4 month period shall not be extended by a renewal or amendment of the site
5 plan or the final subdivision plat that was the subject of the final
6 approval. The municipality shall issue, on request, a written statement
7 of the development fee schedule applicable to the development. If, after
8 the date of the municipality's final approval of a development, the
9 municipality reduces the development fee assessed on development, the
10 reduced fee shall apply to the development.

11 G. A municipality shall do one of the following:

12 1. Before the adoption of proposed or updated land use assumptions,
13 infrastructure improvements plan and development fees as prescribed in
14 subsection D of this section, the municipality shall appoint an
15 infrastructure improvements advisory committee, subject to the following
16 requirements:

17 (a) The advisory committee shall be composed of at least five
18 members who are appointed by the governing body of the municipality. At
19 least fifty ~~per-cent~~ PERCENT of the members of the advisory committee must
20 be representatives of the real estate, development or building industries,
21 of which at least one member of the committee must be from the home
22 building industry. Members shall not be employees or officials of the
23 municipality.

24 (b) The advisory committee shall serve in an advisory capacity and
25 shall:

26 (i) Advise the municipality in adopting land use assumptions and in
27 determining whether the assumptions are in conformance with the general
28 plan of the municipality.

29 (ii) Review the infrastructure improvements plan and file written
30 comments.

31 (iii) Monitor and evaluate implementation of the infrastructure
32 improvements plan.

33 (iv) Every year file reports with respect to the progress of the
34 infrastructure improvements plan and the collection and expenditures of
35 development fees and report to the municipality any perceived inequities
36 in implementing the plan or imposing the development fee.

37 (v) Advise the municipality of the need to update or revise the
38 land use assumptions, infrastructure improvements plan and development
39 fee.

40 (c) The municipality shall make available to the advisory committee
41 any professional reports with respect to developing and implementing the
42 infrastructure improvements plan.

43 (d) The municipality shall adopt procedural rules for the advisory
44 committee to follow in carrying out the committee's duties.

45 2. In lieu of creating an advisory committee pursuant to paragraph
46 1 of this subsection, provide for a biennial certified audit of the
47 municipality's land use assumptions, infrastructure improvements plan and

1 development fees. An audit pursuant to this paragraph shall be conducted
2 by one or more qualified professionals who are not employees or officials
3 of the municipality and who did not prepare the infrastructure
4 improvements plan. The audit shall review the progress of the
5 infrastructure improvements plan, including the collection and
6 expenditures of development fees for each project in the plan, and
7 evaluate any inequities in implementing the plan or imposing the
8 development fee. The municipality shall post the findings of the audit on
9 the municipality's website or the website of an association of cities and
10 towns if the municipality does not have a website and shall conduct a
11 public hearing on the audit within sixty days of the release of the audit
12 to the public.

13 H. On written request, an owner of real property for which a
14 development fee has been paid after July 31, 2014 is entitled to a refund
15 of a development fee or any part of a development fee if:

16 1. Pursuant to subsection B, paragraph 6 of this section, existing
17 facilities are available and service is not provided.

18 2. The municipality has, after collecting the fee to construct a
19 facility when service is not available, failed to complete construction
20 within the time period identified in the infrastructure improvements plan,
21 but in no event later than the time period specified in paragraph 3 of
22 this subsection.

23 3. For a development fee other than a development fee for water or
24 wastewater facilities, any part of the development fee is not spent as
25 authorized by this section within ten years after the fee has been paid
26 or, for a development fee for water or wastewater facilities, any part of
27 the development fee is not spent as authorized by this section within
28 fifteen years after the fee has been paid.

29 I. If the development fee was collected for the construction of all
30 or a portion of a specific item of infrastructure, and on completion of
31 the infrastructure the municipality determines that the actual cost of
32 construction was less than the forecasted cost of construction on which
33 the development fee was based and the difference between the actual and
34 estimated cost is greater than ten per cent, the current owner may receive
35 a refund of the portion of the development fee equal to the difference
36 between the development fee paid and the development fee that would have
37 been due if the development fee had been calculated at the actual
38 construction cost.

39 J. A refund shall include any interest earned by the municipality
40 from the date of collection to the date of refund on the amount of the
41 refunded fee. All refunds shall be made to the record owner of the
42 property at the time the refund is paid. If the development fee is paid by
43 a governmental entity, the refund shall be paid to the governmental
44 entity.

45 K. A development fee that was adopted before January 1, 2012 may
46 continue to be assessed only to the extent that it will be used to provide
47 a necessary public service for which development fees can be assessed

1 pursuant to this section and shall be replaced by a development fee
2 imposed under this section on or before August 1, 2014. Any municipality
3 having a development fee that has not been replaced under this section on
4 or before August 1, 2014 shall not collect development fees until the
5 development fee has been replaced with a fee that complies with this
6 section. Any development fee monies collected before January 1, 2012
7 remaining in a development fee account:

8 1. Shall be used towards the same category of necessary public
9 services as authorized by this section.

10 2. If development fees were collected for a purpose not authorized
11 by this section, shall be used for the purpose for which they were
12 collected on or before January 1, 2020, and after which, if not spent,
13 shall be distributed equally among the categories of necessary public
14 services authorized by this section.

15 L. A moratorium shall not be placed on development for the sole
16 purpose of awaiting completion of all or any part of the process necessary
17 to develop, adopt or update development fees.

18 M. In any judicial action interpreting this section, all powers
19 conferred on municipal governments in this section shall be narrowly
20 construed to ensure that development fees are not used to impose on new
21 residents a burden all taxpayers of a municipality should bear equally.

22 N. Each municipality that assesses development fees shall submit an
23 annual report accounting for the collection and use of the fees for each
24 service area. The annual report shall include the following:

25 1. The amount assessed by the municipality for each type of
26 development fee.

27 2. The balance of each fund maintained for each type of development
28 fee assessed as of the beginning and end of the fiscal year.

29 3. The amount of interest or other earnings on the monies in each
30 fund as of the end of the fiscal year.

31 4. The amount of development fee monies used to repay:

32 (a) Bonds issued by the municipality to pay the cost of a capital
33 improvement project that is the subject of a development fee assessment,
34 including the amount needed to repay the debt service obligations on each
35 facility for which development fees have been identified as the source of
36 funding and the time frames in which the debt service will be repaid.

37 (b) Monies advanced by the municipality from funds other than the
38 funds established for development fees in order to pay the cost of a
39 capital improvement project that is the subject of a development fee
40 assessment, the total amount advanced by the municipality for each
41 facility, the source of the monies advanced and the terms under which the
42 monies will be repaid to the municipality.

43 5. The amount of development fee monies spent on each capital
44 improvement project that is the subject of a development fee assessment
45 and the physical location of each capital improvement project.

1 6. The amount of development fee monies spent for each purpose
2 other than a capital improvement project that is the subject of a
3 development fee assessment.

4 O. Within ninety days following the end of each fiscal year, each
5 municipality shall submit a copy of the annual report to the city clerk
6 and post the report on the municipality's website or the website of an
7 association of cities and towns if the municipality does not have a
8 website. Copies shall be made available to the public on request. The
9 annual report may contain financial information that has not been audited.

10 P. A municipality that fails to file the report and post the report
11 on the municipality's website or the website of an association of cities
12 and towns if the municipality does not have a website as required by this
13 section shall not collect development fees until the report is filed and
14 posted.

15 Q. Any action to collect a development fee shall be commenced
16 within two years after the obligation to pay the fee accrues.

17 R. A municipality may continue to assess a development fee adopted
18 before January 1, 2012 for any facility that was financed before June 1,
19 2011 if:

20 1. Development fees were pledged to repay debt service obligations
21 related to the construction of the facility.

22 2. After August 1, 2014, any development fees collected under this
23 subsection are used solely for the payment of principal and interest on
24 the portion of the bonds, notes or other debt service obligations issued
25 before June 1, 2011 to finance construction of the facility.

26 S. Through August 1, 2014, a development fee adopted before January
27 1, 2012 may be used to finance construction of a facility and may be
28 pledged to repay debt service obligations if:

29 1. The facility that is being financed is a facility that is
30 described under subsection T, paragraph 7, subdivisions (a) through (g) of
31 this section.

32 2. The facility was included in an infrastructure improvements plan
33 adopted before June 1, 2011.

34 3. The development fees are used for the payment of principal and
35 interest on the portion of the bonds, notes or other debt service
36 obligations issued to finance construction of the necessary public
37 services or facility expansions identified in the infrastructure
38 ~~improvement~~ IMPROVEMENTS plan.

39 T. For the purposes of this section:

40 1. "Dedication" means the actual conveyance date or the date an
41 improvement, facility or real or personal property is placed into service,
42 whichever occurs first.

43 2. "Development" means:

44 (a) The subdivision of land.

45 (b) The construction, reconstruction, conversion, structural
46 alteration, relocation or enlargement of any structure that adds or
47 increases the number of service units.

1 (c) Any use or extension of the use of land that increases the
2 number of service units.

3 3. "Facility expansion" means the expansion of the capacity of an
4 existing facility that serves the same function as an otherwise new
5 necessary public service in order that the existing facility may serve new
6 development. Facility expansion does not include the repair, maintenance,
7 modernization or expansion of an existing facility to better serve
8 existing development.

9 4. "Final approval" means:

10 (a) For a nonresidential or multifamily development, the approval
11 of a site plan or, if no site plan is submitted for the development, the
12 approval of a final subdivision plat.

13 (b) For a single family residential development, the approval of a
14 final subdivision plat.

15 5. "Infrastructure improvements plan" means a written plan that
16 identifies each necessary public service or facility expansion that is
17 proposed to be the subject of a development fee and otherwise complies
18 with the requirements of this section, and may be the municipality's
19 capital improvements plan.

20 6. "Land use assumptions" means projections of changes in land
21 uses, densities, intensities and population for a specified service area
22 over a period of at least ten years and pursuant to the general plan of
23 the municipality.

24 7. "Necessary public service" means any of the following facilities
25 that have a life expectancy of three or more years and that are owned and
26 operated by or on behalf of the municipality:

27 (a) Water facilities, including the supply, transportation,
28 treatment, purification and distribution of water, and any appurtenances
29 for those facilities.

30 (b) Wastewater facilities, including collection, interception,
31 transportation, treatment and disposal of wastewater, and any
32 appurtenances for those facilities.

33 (c) Storm water, drainage and flood control facilities, including
34 any appurtenances for those facilities.

35 (d) Library facilities of up to ten thousand square feet that
36 provide a direct benefit to development, not including equipment, vehicles
37 or appurtenances.

38 (e) Street facilities located in the service area, including
39 arterial or collector streets or roads that have been designated on an
40 officially adopted plan of the municipality, traffic signals and
41 rights-of-way and improvements thereon.

42 (f) Fire and police facilities, including all appurtenances,
43 equipment and vehicles. Fire and police facilities do not include a
44 facility or portion of a facility that is used to replace services that
45 were once provided elsewhere in the municipality, vehicles and equipment
46 used to provide administrative services, helicopters or airplanes or a

1 facility that is used for training firefighters or officers from more than
2 one station or substation.

3 (g) Neighborhood parks and recreational facilities on real property
4 up to thirty acres in area, or parks and recreational facilities larger
5 than thirty acres if the facilities provide a direct benefit to the
6 development. Park and recreational facilities do not include vehicles,
7 equipment or that portion of any facility that is used for amusement
8 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
9 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
10 clubhouses, community centers greater than three thousand square feet in
11 floor area, environmental education centers, equestrian facilities, golf
12 course facilities, greenhouses, lakes, museums, theme parks, water
13 reclamation or riparian areas, wetlands, zoo facilities or similar
14 recreational facilities, but may include swimming pools.

15 (h) Any facility that was financed and that meets all of the
16 requirements prescribed in subsection R of this section.

17 8. "Qualified professional" means a professional engineer,
18 surveyor, financial analyst or planner providing services within the scope
19 of the person's license, education or experience.

20 9. "Service area" means any specified area within the boundaries of
21 a municipality in which development will be served by necessary public
22 services or facility expansions and within which a substantial nexus
23 exists between the necessary public services or facility expansions and
24 the development being served as prescribed in the infrastructure
25 improvements plan.

26 10. "Service unit" means a standardized measure of consumption, use,
27 generation or discharge attributable to an individual unit of development
28 calculated pursuant to generally accepted engineering or planning
29 standards for a particular category of necessary public services or
30 facility expansions.

31 Sec. 2. Section 11-495, Arizona Revised Statutes, is amended to
32 read:

33 11-495. Taxpayers' information fund

34 A. A taxpayers' information fund is established in each county
35 treasury consisting of monies collected from the public records copy
36 surcharge imposed pursuant to section 11-496, the tax lien processing fee
37 imposed pursuant to section 42-18116, subsection C, fifteen dollars of
38 each judgment deed fee collected pursuant to section 42-18205, subsection
39 A, interest earned from the elderly assistance fund pursuant to section
40 42-17401, the community facilities district special assessment fee imposed
41 pursuant to section 48-721, THE STATE AFFORDABILITY INFRASTRUCTURE
42 DISTRICT SPECIAL ASSESSMENT FEE IMPOSED PURSUANT TO SECTION 48-7023 and
43 the fees authorized for collecting municipal fire and emergency services
44 fees in certain areas of the county as prescribed in section 9-500.23.

45 B. The county treasurer shall administer the fund and spend monies
46 in the fund only to defray the cost of converting or upgrading an
47 automated public information system as follows:

- 1 1. Purchasing computer hardware and software.
- 2 2. Training employees to operate the system.
- 3 3. Maintaining the system, including purchasing equipment
- 4 maintenance agreements.

- 5 4. Updating the system hardware and software.

- 6 5. In counties with a population of more than two million persons,
- 7 notifying property owners of the tax and ownership status of a taxpayer's
- 8 parcel prior to the taxpayer's parcel being sold at a deed sale and the
- 9 tax and ownership status of any parcels being sold at a deed sale that are
- 10 adjacent to a taxpayer's parcel, prior to the deed sale.

11 C. The county treasurer shall annually submit to the board of
12 supervisors the amount of anticipated revenues under this section. If the
13 projected revenues are considered to be insufficient to establish and
14 maintain the fund at an adequate level, the monies may accumulate until
15 sufficient monies are available in the fund.

16 Sec. 3. Section 11-496, Arizona Revised Statutes, is amended to
17 read:

18 11-496. Public records copy; proceeds of sale; agent duties;
19 surcharge; special district assessments; deposit

20 A. In addition to the fee prescribed by section 39-121.01,
21 subsection D, paragraph 1 or section 39-121.03, subsection A, the county
22 treasurer may impose a surcharge of not more than twenty-five ~~per cent~~
23 PERCENT of the fee charged for furnishing a copy, printout or photograph.

24 B. A county treasurer who is designated as a registrar pursuant to
25 section 35-491 may impose a surcharge of not more than twenty-five ~~per~~
26 cent PERCENT of the average fee charged by commercial bank trust
27 departments during the previous calendar year for discharging registrar,
28 transfer and paying agent duties.

29 C. The county treasurer may impose and collect a fee for expenses
30 directly related to the collection of special assessments for a community
31 facilities district pursuant to section 48-721, A STATE AFFORDABILITY
32 INFRASTRUCTURE DISTRICT PURSUANT TO SECTION 48-7023 and a revitalization
33 district pursuant to section 48-6815 and for collecting municipal fire and
34 emergency services fees from owners of record in certain areas of the
35 county as prescribed in section 9-500.23.

36 D. The county treasurer shall deposit monies collected pursuant to
37 this section in the taxpayers' information fund established by section
38 11-495.

39 Sec. 4. Section 11-1102, Arizona Revised Statutes, is amended to
40 read:

41 11-1102. County development fees; imposition by counties;
42 infrastructure improvements plan; advisory
43 committee; annual report; limitation on actions;
44 definitions

45 A. A county may assess development fees to offset costs to the
46 county associated with providing necessary public services to a
47 development, including the costs of infrastructure, improvements, real

1 property, engineering and architectural services, financing and
2 professional services required for the preparation or revision of
3 ~~a~~ development ~~fee~~ FEES pursuant to this section, including the relevant
4 portion of the infrastructure improvements plan.

5 B. Development fees assessed under this section are subject to the
6 following requirements:

7 1. Development fees shall result in a beneficial use to the
8 development.

9 2. The county shall calculate the development ~~fee~~ FEES based on the
10 infrastructure improvements plan adopted pursuant to this section.

11 3. The development fees may not exceed a proportionate share of the
12 cost of necessary public services, based on service units, needed to
13 provide necessary public services to the development.

14 4. Costs for necessary public services made necessary by new
15 development shall be based on the same level of service provided to
16 existing development in the service area at the time the infrastructure
17 improvements plan is adopted.

18 5. Development fees may not be used for any of the following:

19 (a) Funding a level of service that is higher than the current
20 level of service provided to existing development at the time the
21 infrastructure improvements plan is adopted.

22 (b) Construction, acquisition or expansion of public facilities or
23 assets other than necessary public services or facility expansions
24 identified in the infrastructure improvements plan.

25 (c) Repair, operation or maintenance of existing or new necessary
26 public services or facility expansions.

27 (d) Upgrading, updating, expanding, correcting or replacing
28 existing necessary public services to serve existing development in order
29 to meet stricter safety, efficiency, environmental or regulatory
30 standards.

31 (e) Upgrading, updating, expanding, correcting or replacing
32 existing necessary public services to provide a higher level of service to
33 existing development.

34 (f) Administrative, maintenance or operating costs of the county.

35 6. Any development for which development fees have been paid is
36 entitled to the use and benefit of the services for which the development
37 fees were imposed and is entitled to receive immediate service from any
38 existing facility with available capacity to serve the new service units
39 if the available capacity has not been reserved or pledged in connection
40 with the construction or financing of the facility.

41 7. Development fees may be collected if any of the following
42 occurs:

43 (a) The collection is made to pay for a necessary public service or
44 facility expansion that is identified in the infrastructure improvements
45 plan and the county plans to complete construction and have the service
46 available within the time period established in the infrastructure

1 improvements plan, but not longer than the time period provided in
2 subsection J, paragraph 3 of this section.

3 (b) The county reserves capacity in the infrastructure improvements
4 plan adopted pursuant to this section or otherwise agrees to reserve
5 capacity to serve future development.

6 (c) The county requires or agrees to allow the owner of a
7 development to construct or finance the necessary public service or
8 facility expansion and any of the following applies:

9 (i) The costs incurred or monies advanced are credited against or
10 reimbursed from the development fees otherwise due from a development.
11 The amount of credits issued shall equal the costs identified by the
12 county in the infrastructure improvements plan associated with the
13 construction of the necessary public services or facility expansions. The
14 county shall allow the owner to assign the credits from the development
15 fees otherwise due from a development and any excess credits to other
16 developments for the same category of necessary public services in the
17 same service area.

18 (ii) The county reimburses the owner for those costs from the
19 development fees paid from all developments that will use those necessary
20 public services or facility expansions. The county shall allow the owner
21 to assign the reimbursement rights to other developments for the same
22 category of necessary public services in the same service area.

23 8. Projected interest charges and other finance costs may be
24 included in determining the amount of development fees only if the monies
25 are used for the payment of principal and interest on the portion of the
26 bonds, notes or other obligations issued to finance construction of
27 necessary public services or facility expansions identified in the
28 infrastructure improvements plan.

29 9. Monies received from development fees shall be placed in a
30 separate fund and accounted for separately and may only be used for the
31 purposes authorized by this section. Monies received from development
32 fees identified in an infrastructure improvements plan adopted or updated
33 pursuant to subsection E of this section shall be used to provide the same
34 category of necessary public services or facilities expansions for which
35 the development fee was assessed and for the benefit of the same service
36 area as defined in the infrastructure improvements plan in which the
37 development fees were assessed. Interest earned on monies in the separate
38 fund shall be credited to the fund.

39 10. The county shall prescribe the schedule for paying the
40 development fees. Based on the costs identified in the infrastructure
41 improvements plan, the county shall provide a credit toward the payment of
42 the development fees for the required or agreed to dedication of public
43 sites, improvements and other necessary public services or facility
44 expansions included in the infrastructure improvements plan and for which
45 development fees are assessed, to the extent the public sites,
46 improvements and necessary public services or facility expansions are
47 provided by the developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED

1 UNDER TITLE 48, CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY
2 INFRASTRUCTURE DISTRICT ESTABLISHED UNDER TITLE 48, CHAPTER 40. On
3 request of the developer, instead of providing a credit toward the payment
4 of development fees, the county shall provide for reimbursement from the
5 development fees paid from all development that will use those public
6 sites, improvements or necessary public services or facility expansions of
7 the actual costs of the required or agreed to dedication of public sites,
8 improvements or other necessary public services or facility expansions
9 included in the infrastructure improvements plan and for which development
10 fees are assessed, to the extent the public sites, improvements and
11 necessary public services or facility expansions are provided by the
12 developer, A COMMUNITY FACILITIES DISTRICT ESTABLISHED UNDER TITLE 48,
13 CHAPTER 4, ARTICLE 6 OR A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT
14 ESTABLISHED UNDER TITLE 48, CHAPTER 40. The developer of residential
15 dwelling units shall be required to pay the fees when construction permits
16 for the dwelling units are issued, or at a later time if specified in the
17 development agreement pursuant to section 11-1101. If a development
18 agreement provides for development fees to be paid at a time later than
19 the issuance of construction permits, the deferred development fees shall
20 be paid not later than fifteen days after the issuance of a certificate of
21 occupancy. The development agreement shall provide for the value of any
22 deferred development fees to be supported by an appropriate security,
23 including a surety bond, letter of credit or cash bond.

24 11. If a county requires as a condition of development approval the
25 construction or improvement of, contributions to or dedication of any
26 facilities that were not included in a previously adopted infrastructure
27 improvements plan, the county shall cause the infrastructure improvements
28 plan to be amended to include the facilities and shall provide a credit
29 toward the payment of development fees for the construction, improvement,
30 contribution or dedication of the facilities to the extent that the
31 facilities will substitute for or otherwise reduce the need for other
32 similar facilities in the infrastructure improvements plan for which
33 development fees were assessed. If a county requires as a condition of
34 development approval the set aside of active or passive open space, the
35 county shall issue a credit toward any development fees identified in the
36 infrastructure improvements plan to fund any park facilities or facility
37 expansion. On request of the individual or entity seeking development
38 approval, instead of issuing a credit toward the payment of development
39 fees, the county shall provide for reimbursement from the development fees
40 paid from all development that will use those facilities or facility
41 expansions of the actual costs of the construction or improvement of,
42 contributions to or dedication of the public facilities required as a
43 condition of development approval.

44 12. The county shall forecast the contribution to be made in the
45 future in cash, taxes, fees, assessments and all other sources of revenue
46 derived from the property owner towards the capital costs of the necessary
47 public service covered by the development fees.

1 13. If development fees are assessed against residential
2 development, the county shall also assess development fees against
3 commercial and industrial development. The county may distinguish between
4 different categories of residential, commercial and industrial development
5 in assessing the costs to the county of providing necessary public
6 services to new development and in determining the amount of the
7 development fees applicable to the category, except that the county may
8 not distinguish residential developments on the basis of the size of the
9 dwelling unit or number of bedrooms. If a county agrees to waive any of
10 the development fees assessed on a development, the county shall reimburse
11 the appropriate development fees accounts for the amount that was
12 waived. The county shall provide notice of any such waiver to the
13 advisory committee established pursuant to subsection I of this section.

14 14. In determining and assessing development fees applying to land
15 in a community facilities district established under title 48, chapter 4,
16 article 6, the county shall take into account all public infrastructure
17 provided by the district and capital costs paid by the district for
18 necessary public services and shall not assess a portion of the
19 development fees based on the infrastructure or costs.

20 15. The county shall not assess or collect development fees from a
21 school district or charter school, other than fees assessed or collected
22 for streets and water and wastewater utility functions.

23 C. Before assessing development fees, the county shall:

24 1. Give at least thirty days' advance notice of intention to assess
25 new or increased development fees.

26 2. Release to the public and post on the county's website a written
27 report of the land use assumptions and infrastructure improvements plan
28 adopted pursuant to subsection E of this section.

29 3. Conduct a public hearing on the proposed development fees at any
30 time after the expiration of the thirty-day notice of intention to assess
31 development fees and at least thirty days before the scheduled date of
32 adoption of the development fees. Within sixty days after the date of the
33 public hearing on the proposed development fees, the county shall approve
34 or disapprove the imposition of the development fees. A county may not
35 adopt an ordinance, order or resolution approving development fees as an
36 emergency measure.

37 D. Development fees assessed pursuant to this section are not
38 effective for at least ninety days after formal adoption by the board of
39 supervisors.

40 E. Before the adoption or amendment of development fees or
41 amendment of the boundaries of a service area, the board of supervisors
42 shall adopt or update the land use assumptions and infrastructure
43 improvements plan for the designated service area. The county shall
44 conduct a public hearing on the land use assumptions and infrastructure
45 improvements plan at least thirty days before the adoption or update of
46 the infrastructure improvements plan. The county shall release the
47 infrastructure improvements plan to the public, post the infrastructure

1 improvements plan on the county's website, including in the posting the
2 land use assumptions, the time period of the projections, a description of
3 the necessary public services included in the infrastructure improvements
4 plan and a map of the service area to which the land use assumptions
5 apply, make available to the public the documents used to prepare the land
6 use assumptions and infrastructure improvements plan and provide public
7 notice at least sixty days before the public hearing, subject to the
8 following:

9 1. The land use assumptions and infrastructure improvements plan
10 shall be approved or disapproved within sixty days after the public
11 hearing on the land use assumptions and infrastructure improvements plan
12 and at least thirty days before the public hearing on the report required
13 by subsection C of this section. A county may not adopt an ordinance,
14 order or resolution approving the land use assumptions or infrastructure
15 improvements plan as an emergency measure.

16 2. An infrastructure improvements plan shall be developed by
17 qualified professionals using generally accepted engineering and planning
18 practices pursuant to subsection F of this section.

19 3. A county shall update the land use assumptions and
20 infrastructure improvements plan at least every five years. The initial
21 five-year period begins on the day the infrastructure improvements plan is
22 adopted. The county shall review and evaluate the current land use
23 assumptions and shall cause an update of the infrastructure improvements
24 plan to be prepared pursuant to this section.

25 4. Within sixty days after completion of the updated land use
26 assumptions and infrastructure improvements plan, the county shall
27 schedule and provide notice of a public hearing to discuss and review the
28 update and shall determine whether to amend the land use assumptions and
29 infrastructure improvements plan.

30 5. A county shall hold a public hearing to discuss the proposed
31 amendments to the land use assumptions, the infrastructure improvements
32 plan or the development fees. The land use assumptions and the
33 infrastructure improvements plan, including the amount of any proposed
34 changes to the development fees per service unit, shall be made available
35 to the public on or before the date of the first publication of the notice
36 of the hearing on the amendments.

37 6. The hearing procedures prescribed in paragraph 1 of this
38 subsection apply to a hearing on the amendment of land use assumptions, an
39 infrastructure improvements plan or development fees. Within sixty days
40 after the date of the public hearing on the amendments, a county shall
41 approve or disapprove the amendments to the land use assumptions,
42 infrastructure improvements plan or development fees. A county may not
43 adopt an ordinance, order or resolution approving the amended land use
44 assumptions, infrastructure improvements plan or development fees as an
45 emergency measure.

46 7. The advisory committee established under subsection I of this
47 section shall file its written comments on any proposed or updated land

1 use assumptions, infrastructure improvements plan and development fees
2 before the fifth business day before the date of the public hearing on the
3 proposed or updated land use assumptions, infrastructure improvements plan
4 and development fees.

5 8. If, at the time an update as prescribed in paragraph 3 of this
6 subsection is required, the county determines that no changes to the land
7 use assumptions, infrastructure improvements plan or development fees are
8 needed, the county, as an alternative to the updating requirements of this
9 subsection, may publish notice of the determination on the county's
10 website that includes the following:

11 (a) A statement that the county has determined that no change to
12 the land use assumptions, infrastructure improvements plan or development
13 fees is necessary.

14 (b) A description and map of the service area in which an update
15 has been determined to be unnecessary.

16 (c) A statement that by a specified date, which shall be at least
17 sixty days after the date of publication of the first notice, a person may
18 request to the county in writing that the county update the land use
19 assumptions, infrastructure improvements plan or development fees.

20 (d) A statement identifying the person or entity to whom the
21 written request for an update should be sent.

22 9. If, by the date specified pursuant to paragraph 8 of this
23 subsection, a person requests in writing that the county update the land
24 use assumptions, infrastructure improvements plan or development fees, the
25 county shall cause, accept or reject an update of the land use
26 assumptions, infrastructure improvements plan or development fees to be
27 prepared pursuant to this section.

28 10. Notwithstanding the notice and hearing requirements for
29 adoption of an infrastructure improvements plan, the county may amend an
30 infrastructure improvements plan without a public hearing if the amendment
31 addresses only elements of necessary public services in the existing
32 infrastructure improvements plan and the changes to the plan will not,
33 individually or cumulatively with other amendments adopted pursuant to
34 this subsection, increase the level of service in the service area or
35 cause an increase in development fees that is greater than five percent
36 when new or modified development fees are assessed pursuant to this
37 section. The county shall provide notice of the amendment at least thirty
38 days before adoption, shall post the amendment on the county's website and
39 shall provide notice to the advisory committee established pursuant to
40 subsection I of this section that the amendment complies with this
41 subsection.

42 F. For each necessary public service that is the subject of
43 development fees, the infrastructure improvements plan shall include:

44 1. A description of the existing necessary public services in the
45 service area and the costs to upgrade, update, improve, expand, correct or
46 replace those necessary public services to meet existing needs and usage
47 and stricter safety, efficiency, environmental or regulatory standards.

1 The description shall be prepared by qualified professionals who are
2 licensed in this state, as applicable.

3 2. An analysis of the total capacity, the level of current usage
4 and commitments for usage of capacity of the existing necessary public
5 services. The analysis shall be prepared by qualified professionals who
6 are licensed in this state, as applicable.

7 3. A description of all or the parts of the necessary public
8 services or facility expansions and their costs necessitated by and
9 attributable to new development in the service area based on the approved
10 land use assumptions, including a forecast of the cost of infrastructure,
11 improvements, real property, financing, engineering and architectural
12 services. The description shall be prepared by qualified professionals
13 who are licensed in this state, as applicable.

14 4. A table that establishes the specific level or quantity of use,
15 consumption, generation or discharge of a service unit for each category
16 of necessary public services or facility expansions and an equivalency or
17 conversion table that establishes the ratio of a service unit to various
18 types of land uses, including residential, commercial and industrial.

19 5. A description of all the costs necessitated by ongoing
20 maintenance and operations of the necessary public services once
21 construction is completed and a description of the source of revenue to be
22 used to fund the maintenance and operations.

23 6. The total number of projected service units necessitated by and
24 attributable to new development in the service area based on the approved
25 land use assumptions and calculated pursuant to generally accepted
26 engineering and planning criteria.

27 7. The projected demand for necessary public services or facility
28 expansions required by new service units for a period of not more than ten
29 years.

30 8. A forecast of revenues generated by new service units other than
31 development fees, including estimated state shared revenue, highway user
32 revenue, federal revenue, ad valorem property taxes, construction
33 contracting or similar excise taxes and the capital recovery portion of
34 utility fees attributable to development based on the approved land use
35 assumptions, and a plan to include these contributions in determining the
36 extent of the burden imposed by the development as required in subsection
37 B, paragraph 12 of this section.

38 G. A county's infrastructure improvements plan may identify
39 necessary public services or facility expansions that the county plans to
40 construct beyond the time period provided for in subsection J, paragraph 3
41 of this section but may not include the costs of those necessary public
42 services or facility expansions in the calculation of development fees.

43 H. A county's development fees ordinance shall provide:

44 1. That new development fees or an increased portion of modified
45 development fees may not be assessed against a development for twenty-four
46 months after the date that the county issues the final approval for a
47 commercial, industrial or multifamily development or the date that the

1 first building permit is issued for a residential development pursuant to
2 an approved site plan or subdivision plat, only if subsequent changes are
3 not made to the approved site plan or subdivision plat that would increase
4 the number of service units. If the number of service units increases,
5 the new or increased portion of modified development fees shall be limited
6 to the amount attributable to the additional service units. The period is
7 not extended by a renewal or amendment of the site plan or the final
8 subdivision plat that was the subject of the final approval. The county
9 shall issue, on request, a written statement of the development fees
10 schedule applicable to the development. If, after the date of the
11 county's final approval of a development, the county reduces the
12 development fees assessed on development, the reduced fees shall apply to
13 the development.

14 2. A process for a development to request an alternative
15 development fee calculation or change in category of development that
16 appears on an adopted development fee schedule based on a projection that
17 the actual burdens and costs associated with the county's provision of
18 necessary public services or facility expansions to the development that
19 are to be paid by development fees will differ substantially from those
20 costs projected by the county or will be substantially less than the
21 amount projected to be paid by development fees. The county manager or
22 the county manager's designee shall review the request and make a
23 determination as to the development fee to be assessed. The assessed
24 development fee shall have a substantial nexus to the actual burdens and
25 costs associated with providing the necessary public services or facility
26 expansions to that development that are to be funded by development fees.
27 The determination of the county manager is appealable to the board of
28 supervisors.

29 I. A county shall do one of the following:

30 1. Before the adoption of the proposed or updated land use
31 assumptions, infrastructure improvements plan and development fees as
32 prescribed in subsection E of this section, appoint an infrastructure
33 improvements advisory committee, subject to the following requirements:

34 (a) The advisory committee shall be composed of at least five
35 members who are appointed by the board of supervisors. At least fifty
36 percent of the members of the advisory committee must be representatives
37 of the real estate, development or building industries, of which at least
38 one member of the committee must be from the home building industry.
39 Members may not be employees or officials of the county.

40 (b) The advisory committee shall serve in an advisory capacity and
41 shall:

42 (i) Advise the county in adopting land use assumptions and in
43 determining whether the assumptions are in conformance with the general
44 plan of the county.

45 (ii) Review the infrastructure improvements plan and file written
46 comments.

1 (iii) Monitor and evaluate implementation of the infrastructure
2 improvements plan.

3 (iv) Every year file reports with respect to the progress of the
4 infrastructure improvements plan and the collection and expenditures of
5 development fees and report to the county any perceived inequities in
6 implementing the infrastructure improvements plan or assessing the
7 development fees.

8 (v) Advise the county of the need to update or revise the land use
9 assumptions, infrastructure improvements plan and development fees.

10 (c) The county shall make available to the advisory committee any
11 professional reports with respect to developing and implementing the
12 infrastructure improvements plan.

13 (d) The county shall adopt procedural rules for the advisory
14 committee to follow in carrying out the advisory committee's duties.

15 2. Provide for a biennial certified audit of the county's land use
16 assumptions, infrastructure improvements plan and development fees. An
17 audit pursuant to this paragraph shall be conducted by one or more
18 qualified professionals who are not employees or officials of the county
19 and who did not prepare the infrastructure improvements plan. The audit
20 shall review the progress of the infrastructure improvements plan,
21 including the collection and expenditures of development fees for each
22 project in the infrastructure improvements plan, and evaluate any
23 inequities in implementing the infrastructure improvements plan or
24 imposing the development fees. The county shall post the findings of the
25 audit on the county's website and shall conduct a public hearing on the
26 audit within sixty days after the release of the audit to the public.

27 J. On written request, an owner of real property for which
28 development fees have been paid after December 31, 2020 is entitled to a
29 refund of the development fees or any part of the development fees if:

30 1. Pursuant to subsection B, paragraph 6 of this section, existing
31 facilities are available and service is not provided.

32 2. The county, after collecting the fees to construct a facility
33 when service is not available, has failed to complete construction within
34 the time period identified in the infrastructure improvements plan, but in
35 no event later than the time period specified in paragraph 3 of this
36 subsection.

37 3. For development fees other than development fees for water or
38 wastewater facilities, any part of the development fees is not spent as
39 authorized by this section within ten years after the fees have been paid
40 or, for development fees for water or wastewater facilities, any part of
41 the development fees is not spent as authorized by this section within
42 fifteen years after the development fees have been paid.

43 K. If the development fees were collected for the construction of
44 all or a portion of a specific item of infrastructure, and on completion
45 of the infrastructure the county determines that the actual cost of
46 construction was less than the forecasted cost of construction on which
47 the development fees were based and the difference between the actual and

1 estimated cost is greater than ten percent, the current owner may receive
2 a refund of the portion of the development fees equal to the difference
3 between the development fees paid and the development fees that would have
4 been due if the development fees had been calculated at the actual
5 construction cost.

6 L. A refund shall include any interest earned by the county from
7 the date of collection to the date of refund on the amount of the refunded
8 fees. All refunds shall be paid to the owner of record of the property at
9 the time the refund is paid. If the development fees are paid by a
10 governmental entity, the refund shall be paid to the governmental entity.

11 M. Development fees that were adopted before January 1, 2017 may
12 continue to be assessed only to the extent that the development fees will
13 be used to provide a necessary public service for which development fees
14 can be assessed pursuant to this section and shall be replaced by
15 development fees imposed under this section on or before January 1, 2021.
16 Any county having development fees that have not been replaced under this
17 section on or before January 1, 2021 may not collect development fees
18 until the development fees have been replaced with fees that comply with
19 this section. Development fees adopted or amended by a county after
20 January 1, 2017 shall comply with this section. Any development fees
21 monies collected before January 1, 2017 remaining in a development fees
22 account:

23 1. Shall be used ~~towards~~ TOWARD the same category of necessary
24 public services as authorized by this section.

25 2. ~~And~~ THAT WERE collected for a purpose not authorized by this
26 section shall be used for the purpose for which the development fees were
27 collected on or before January 1, 2024, and after which, if not spent,
28 shall be distributed equally among the categories of necessary public
29 services authorized by this section.

30 N. A moratorium may not be placed on development for the sole
31 purpose of awaiting completion of all or any part of the process necessary
32 to develop, adopt or update development fees.

33 O. In any judicial action interpreting this section all powers
34 conferred on a county by this section shall be narrowly construed to
35 ensure that development fees are not used to impose on new residents a
36 burden all taxpayers of a county should bear equally.

37 P. Each county that assesses development fees shall submit an
38 annual report accounting for the collection and use of the fees for each
39 service area. The annual report shall include the following:

40 1. The amount assessed by the county for each type of development
41 fee.

42 2. The balance of each fund maintained for each type of development
43 fee assessed as of the beginning and end of the fiscal year.

44 3. The amount of interest or other earnings on the monies in each
45 fund as of the end of the fiscal year.

46 4. The amount of development fee monies used to repay:

1 (a) Bonds issued by the county to pay the cost of a necessary
2 public service that is the subject of a development fees assessment,
3 including the amount needed to repay the debt service obligations on each
4 facility for which development fees have been identified as the source of
5 funding and the time frames in which the debt service will be repaid.

6 (b) Monies advanced by the county from funds other than the funds
7 established for development fees in order to pay the cost of a necessary
8 public service that is the subject of a development fees assessment, the
9 total amount advanced by the county for each facility, the source of the
10 monies advanced and the terms under which the monies will be repaid to the
11 county.

12 5. The amount of development fees monies spent on each necessary
13 public service or facility expansion that is the subject of a development
14 fees assessment and the physical location of each capital improvement
15 project.

16 6. The amount of development fees monies spent for each purpose
17 other than a necessary public service or facility expansion that is the
18 subject of a development fees assessment.

19 Q. Within ninety days following the end of each fiscal year, each
20 county shall submit a copy of the annual report to the clerk of the board
21 of supervisors and post the annual report on the county's website. Copies
22 shall be made available to the public on request. The annual report may
23 contain financial information that has not been audited.

24 R. A county that fails to file the report and post the annual
25 report on the county's website as required by this section shall not
26 collect development fees until the report is filed and posted.

27 S. Any action to collect development fees shall be commenced within
28 two years after the obligation to pay the development fees accrues.

29 T. A county may continue to assess development fees adopted before
30 January 1, 2017 for any facility that was financed before June 1, 2016 if:

31 1. Development fees were pledged to repay debt service obligations
32 related to the construction of the facility.

33 2. After January 1, 2018, any development fees collected under this
34 subsection are used solely for the payment of principal and interest on
35 the portion of the bonds, notes or other debt service obligations issued
36 before June 1, 2016 to finance construction of the facility.

37 U. Through January 1, 2018, development fees adopted before January
38 1, 2017 may be used to finance construction of a facility and may be
39 pledged to repay debt service obligations if:

40 1. The facility that is being financed is a facility that is
41 described under subsection V, paragraph 7, subdivision (a), (b), (c), (d)
42 or (e) of this section.

43 2. The facility was included in an infrastructure improvements plan
44 adopted before June 1, 2016.

45 3. The development fees are used for the payment of principal and
46 interest on the portion of the bonds, notes or other debt service
47 obligations issued to finance construction of the necessary public

1 services or facility expansions identified in the infrastructure
2 improvements plan.

3 V. For the purposes of this section:

4 1. "Dedication" means the actual conveyance date or the date an
5 improvement, facility or real or personal property is placed into service,
6 whichever occurs first.

7 2. "Development" means:

8 (a) The subdivision of land.

9 (b) The construction, reconstruction, conversion, structural
10 alteration, relocation or enlargement of any structure that adds or
11 increases the number of service units.

12 (c) Any use or extension of the use of land that increases the
13 number of service units.

14 3. "Facility expansion" means the expansion of the capacity of an
15 existing facility that serves the same function as an otherwise new
16 necessary public service in order that the existing facility may serve new
17 development. Facility expansion does not include the repair, maintenance,
18 modernization or expansion of an existing facility to better serve
19 existing development.

20 4. "Final approval" means, for nonresidential or multifamily
21 development, the approval of a site plan or, if no site plan is submitted
22 for the development, the approval of a final subdivision plat.

23 5. "Infrastructure improvements plan" means a written plan that
24 identifies each necessary public service or facility expansion that is
25 proposed to be the subject of development fees and otherwise complies with
26 the requirements of this section and may be the county's capital
27 improvements plan.

28 6. "Land use assumptions" means projections of changes in land
29 uses, densities, intensities and population for a specified service area
30 over a period of at least ten years and pursuant to the general plan of
31 the county.

32 7. "Necessary public service" means any of the following facilities
33 that have a life expectancy of three or more years and that are owned and
34 operated by or on behalf of the county:

35 (a) Water facilities, including the supply, transportation,
36 treatment, purification and distribution of water, and any appurtenances
37 for those facilities.

38 (b) Wastewater facilities, including collection, interception,
39 transportation, treatment and disposal of wastewater, and any
40 appurtenances for those facilities.

41 (c) Street facilities located in the service area, including
42 arterial or collector streets or roads that have been designated on an
43 officially adopted plan of the county, traffic signals and rights-of-way
44 and improvements thereon. Improvements to rights-of-way do not include
45 streetcars, railways or other forms of transportation and their
46 corresponding tracks.

1 (d) Public safety facilities, including all appurtenances,
2 equipment and vehicles. Public safety facilities do not include a
3 facility or portion of a facility that is used to replace services that
4 were once provided elsewhere in the county, vehicles and equipment used to
5 provide administrative services, helicopters or airplanes, paramilitary
6 vehicles, court and judicial facilities, facilities that are used for
7 training firefighters or officers from more than one station or substation
8 or jail, correctional or detention facilities.

9 (e) Neighborhood parks and recreational facilities on real property
10 up to thirty acres in area, or parks and recreational facilities larger
11 than thirty acres if the facilities provide a direct benefit to the
12 development. Parks and recreational facilities do not include vehicles,
13 equipment of that portion of any facility that is used for amusement
14 parks, aquariums, aquatic centers, auditoriums, arenas, arts and cultural
15 facilities, bandstand and orchestra facilities, bathhouses, boathouses,
16 clubhouses, community centers greater than three thousand square feet in
17 floor area, environmental education centers, equestrian facilities,
18 trails, golf course facilities, greenhouses, lakes, museums, theme parks,
19 water reclamation or riparian areas, wetlands, zoo facilities or similar
20 recreational facilities, but may include swimming pools and equipment or
21 improvements constituting accessory or incidental amenities to a park or
22 recreational facility allowed under this section.

23 (f) Any facility that was financed and that meets all of the
24 requirements prescribed in subsection T of this section.

25 8. "Qualified professional" means a professional engineer,
26 surveyor, financial analyst or planner providing services within the scope
27 of the person's license, education or experience.

28 9. "Service area" means any specified area within the boundaries of
29 a county in which development will be served by necessary public services
30 or facility expansions and within which a substantial nexus exists between
31 the necessary public services or facility expansions and the development
32 being served as prescribed in the infrastructure improvements plan.

33 10. "Service unit" means a standardized measure of consumption,
34 use, generation or discharge attributable to an individual unit of
35 development calculated using data specific to the service area in which
36 the facility will be located and pursuant to generally accepted
37 engineering or planning standards for a particular category of necessary
38 public services or facility expansions.

39 Sec. 5. Title 48, Arizona Revised Statutes, is amended by adding
40 chapter 40, to read:

41 CHAPTER 40

42 STATE AFFORDABILITY INFRASTRUCTURE DISTRICTS

43 ARTICLE 1. GENERAL PROVISIONS

44 48-7001. Definitions

45 IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

- 1 1. "AD VALOREM TAX" MEANS THE SECONDARY PROPERTY TAXES LEVIED BY A
2 DISTRICT AGAINST THE NET ASSESSED LIMITED PROPERTY VALUATION OF REAL AND
3 PERSONAL PROPERTY IN THE DISTRICT.
- 4 2. "ASSESSMENT" MEANS A CHARGE FOR THE COSTS OF ANY PUBLIC
5 INFRASTRUCTURE PURPOSE LEVIED BY THE DISTRICT AGAINST SPECIFIC REAL
6 PROPERTY WITHIN THE DISTRICT FOR THE COSTS OF ANY PUBLIC INFRASTRUCTURE
7 PURPOSE BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE RECEIVED BY THE
8 SPECIFIC REAL PROPERTY AGAINST WHICH THE ASSESSMENT IS LEVIED.
- 9 3. "AUTHORITY" MEANS THE ARIZONA FINANCE AUTHORITY ESTABLISHED BY
10 SECTION 41-5352.
- 11 4. "BOARD" MEANS THE BOARD OF DIRECTORS OF A DISTRICT CREATED
12 PURSUANT TO THIS CHAPTER.
- 13 5. "BONDS":
14 (a) MEANS ANY BOND PRESCRIBED BY THIS CHAPTER AND ISSUED BY A
15 DISTRICT.
16 (b) INCLUDES GENERAL OBLIGATION BONDS, ASSESSMENT BONDS, REVENUE
17 BONDS AND REFUNDING BONDS.
- 18 6. "CLERK" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
19 DISTRICT CLERK.
- 20 7. "COUNTY" MEANS THE COUNTY IN WHICH A DISTRICT IS FORMED PURSUANT
21 TO THIS CHAPTER.
- 22 8. "DEBT SERVICE" MEANS THE PRINCIPAL OF, INTEREST ON AND PREMIUM,
23 IF ANY, ON THE BONDS, WHEN DUE, WHETHER AT MATURITY OR PRIOR REDEMPTION
24 AND FEES AND COSTS OF REGISTRARS, TRUSTEES, PAYING AGENTS OR OTHER AGENTS
25 NECESSARY TO HANDLE THE BONDS AND THE COSTS OF CREDIT ENHANCEMENT OR
26 LIQUIDITY SUPPORT.
- 27 9. "DISTRICT" MEANS A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT
28 FORMED PURSUANT TO THIS CHAPTER.
- 29 10. "EXECUTIVE DIRECTOR" MEANS THE EXECUTIVE DIRECTOR OF THE
30 AUTHORITY OR THE EXECUTIVE DIRECTOR'S DESIGNEE.
- 31 11. "FINANCING PLAN" MEANS THE DISTRICT'S CAPITAL PLAN CONTAINING
32 FINANCIAL PROJECTIONS, ENGINEERING STUDIES, COST ALLOCATION, SEQUENCING
33 AND MARKET-VALUE ANALYSES.
- 34 12. "FORMATION ORDER" MEANS THE WRITTEN ORDER ISSUED BY THE
35 AUTHORITY EVIDENCING ITS FINAL APPROVAL OF THE FORMATION OF A DISTRICT
36 PURSUANT TO THIS CHAPTER.
- 37 13. "GENERAL PLAN" MEANS THE GENERAL PLAN DESCRIBED IN SECTION
38 48-7002, SUBSECTION B, AS THE PLAN MAY BE AMENDED.
- 39 14. "MARKET VALUE" HAS THE SAME MEANING AS PRESCRIBED IN SECTION
40 28-7091, AS INDICATED BY AN APPRAISAL OF THE REAL PROPERTY BY AN APPRAISER
41 WHO IS LICENSED OR CERTIFIED PURSUANT TO TITLE 32, CHAPTER 36.
- 42 15. "MAXIMUM AUTHORIZED TAX RATE" MEANS THE MAXIMUM TAX RATE FOR AD
43 VALOREM TAXES PLEDGED TO SECURE GENERAL OBLIGATION BONDS APPROVED AT AN
44 ELECTION AUTHORIZING THE LEVY OF AD VALOREM TAXES AND THE ISSUANCE OF
45 GENERAL OBLIGATION BONDS AND INDICATED IN THE PETITION, PROVIDED THAT THE
46 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED
47 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE

1 DISTRICT, AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO
2 FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY
3 TAX RATE PER \$100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY
4 IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT
5 OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS
6 SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT
7 PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX
8 RATE SHALL NOT EXCEED \$6 PER \$100 OF NET LIMITED ASSESSED PROPERTY
9 VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE
10 GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF
11 THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE
12 DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY
13 WRITTEN CONSENT OR BY RESOLUTION.

14 16. "MUNICIPALITY" MEANS A CITY OR TOWN IN WHICH A DISTRICT IS
15 FORMED PURSUANT TO THIS CHAPTER.

16 17. "NET PREMIUM" MEANS THE DIFFERENCE BETWEEN THE PAR AMOUNT OF
17 THE GENERAL OBLIGATION BOND ISSUE AND THE GENERAL OBLIGATION BOND ISSUE
18 PRICE THAT IS DETERMINED PURSUANT TO UNITED STATES DEPARTMENT OF THE
19 TREASURY REGULATIONS.

20 18. "O/M TAX" MEANS A SECONDARY PROPERTY TAX LEVIED TO PAY THE
21 EXPENSES OF OPERATING, MAINTAINING AND ADMINISTERING THE DISTRICT AND THE
22 PUBLIC INFRASTRUCTURE FINANCED BY THE DISTRICT, INCLUDING LEGAL EXPENSES
23 AND EXPENSES ASSOCIATED WITH INSURANCE COVERAGE, AS APPROVED BY THE
24 DISTRICT IN ITS BUDGET.

25 19. "OWNER" MEANS THE PERSON OR ENTITY THAT, ON THE DAY THE ACTION,
26 ELECTION OR PROCEEDING IS BEGUN OR HELD, APPEARS TO BE THE FEE-TITLE OWNER
27 OF REAL PROPERTY AS SHOWN ON THE PROPERTY TAX ASSESSMENT ROLL.

28 20. "PETITION" MEANS A PETITION SUBMITTED TO THE AUTHORITY TO
29 INITIATE FORMATION OF A DISTRICT PURSUANT TO THIS CHAPTER.

30 21. "PETITIONER" MEANS THE PERSON OR ENTITY THAT INITIATES THE
31 FORMATION OF A DISTRICT BY SUBMITTING A PETITION TO THE AUTHORITY PURSUANT
32 TO THIS CHAPTER AND INCLUDES ANY SUCCESSOR OR ASSIGNEE OF THAT PERSON OR
33 ENTITY THAT THE AUTHORITY RECOGNIZES AS THE PETITIONER FOR THE PURPOSES OF
34 THE PETITION AND FORMATION ORDER.

35 22. "PUBLIC INFRASTRUCTURE" MEANS ALL IMPROVEMENTS LISTED IN THIS
36 PARAGRAPH THAT WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO LAND WITHIN
37 THE GEOGRAPHICAL LIMITS OF THE DISTRICT AND MAY INCLUDE A DISTRICT'S SHARE
38 OF ANY IMPROVEMENTS LISTED IN THIS PARAGRAPH IF THE DISTRICT BOARD
39 DETERMINES SUCH SHARE IS PROPORTIONATE TO THE BENEFICIAL USE OF SUCH
40 IMPROVEMENTS TO LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
41 IMPROVEMENTS WITHIN OR OUTSIDE THE GEOGRAPHICAL LIMITS OF THE DISTRICT,
42 NECESSARY OR INCIDENTAL WORK, INCLUDING LAND CLEARANCE AND ENVIRONMENTAL
43 REMEDIATION ACTIVITIES, WHETHER NEWLY CONSTRUCTED, RENOVATED OR EXISTING,
44 AND ALL NECESSARY OR DESIRABLE APPURTENANCES. FOR THE PURPOSES OF THIS
45 PARAGRAPH, ADOPTION BY THE DISTRICT BOARD OF A RESOLUTION OF INTENT
46 PURSUANT TO SECTION 48-7008 SHALL CONCLUSIVELY ESTABLISH THAT THE
47 IMPROVEMENTS OR, IF APPLICABLE, SHARE OF THE IMPROVEMENTS THAT ARE THE

1 SUBJECT OF THE RESOLUTION WILL RESULT IN A BENEFICIAL USE PRINCIPALLY TO
2 LAND WITHIN THE GEOGRAPHICAL LIMITS OF THE DISTRICT. PUBLIC INFRASTRUCTURE
3 IMPROVEMENTS ARE:

4 (a) WATER, WASTEWATER, SEWER, STORMWATER AND FLOOD CONTROL
5 FACILITIES AND APPURTENANCES USED FOR THE DEVELOPMENT, TREATMENT, STORAGE,
6 CONVEYANCE, CONTROL, REUSE, DISTRIBUTION, CONNECTION AND LAWFUL
7 DISPOSITION OF POTABLE AND NONPOTABLE WATER, WASTEWATER, STORMWATER AND
8 FLOODWATERS FOR RESIDENTIAL, COMMERCIAL, GOVERNMENTAL, IRRIGATION AND
9 FIRE-SUPPRESSION USES, EXCLUDING INFRASTRUCTURE DEDICATED PRIMARILY TO
10 AGRICULTURAL IRRIGATION FACILITIES IMPACTED BY OTHER IMPROVEMENTS
11 AUTHORIZED BY THIS CHAPTER AND ENERGY AND UTILITY FACILITIES AND
12 APPURTENANCES USED FOR THE [GENERATION,] INTERCONNECTION, TRANSMISSION,
13 DISTRIBUTION, STORAGE AND CONTROL OF ELECTRIC POWER AND OTHER ENERGY
14 RESOURCES AND NATURAL GAS AND ALTERNATIVE FUEL PIPELINE AND DISTRIBUTION
15 FACILITIES, ALL TO THE EXTENT LOCATED WITHIN OR NECESSARY TO SERVE THE
16 DISTRICT.

17 (b) TRANSPORTATION AND MOBILITY FACILITIES, IMPROVEMENTS AND
18 APPURTENANCES USED TO PROVIDE VEHICULAR AND NON-VEHICULAR CIRCULATION,
19 ACCESS, EGRESS AND PARKING, INCLUDING STREETS, ROADS, HIGHWAYS, BRIDGES,
20 ALLEYS, PARKING FACILITIES, SIDEWALKS, TRAILS, PATHWAYS, BICYCLE
21 FACILITIES, EQUESTRIAN ROUTES AND OTHER AREAS AND IMPROVEMENTS INTENDED
22 FOR MOTORIZED AND NONMOTORIZED TRAVEL AND PARKING, AND, IF LOCATED WITHIN
23 OR NECESSARY TO SERVE THE DISTRICT, RAILWAY CORRIDORS, RAIL CROSSINGS,
24 GRADE SEPARATIONS, SIDINGS, SIGNALIZATION AND RELATED RAIL TRANSPORTATION
25 FACILITIES AND TRAFFIC MANAGEMENT AND CONTROL FACILITIES AND DEVICES,
26 INCLUDING SIGNALS, INTELLIGENT TRANSPORTATION SYSTEMS, CONTROLS, PAVEMENT
27 MARKINGS, WAYFINDING, SIGNAGE AND LIGHTING AND ILLUMINATIONS SYSTEMS,
28 INCLUDING STREET LIGHTING, PATHWAY LIGHTING, AREA LIGHTING AND RELATED
29 ELECTRICAL AND CONTROL FACILITIES.

30 (c) PUBLIC REALM AND OPEN SPACE AMENITIES, INCLUDING PEDESTRIAN
31 MALLS, PARKS, PLAZAS, RECREATIONAL FACILITIES OTHER THAN STADIUMS, AND
32 OTHER AREAS AND IMPROVEMENTS INTENDED FOR PUBLIC ENTERTAINMENT, ASSEMBLY,
33 AND RECREATION, TOGETHER WITH LANDSCAPING, GRADING, EARTHWORKS,
34 STRUCTURES, PLANTINGS, TREES, IRRIGATION AND WATER DELIVERY SYSTEMS AND
35 RELATED SITE IMPROVEMENTS. CONSTRUCTION OR MAINTENANCE OF WATER PARKS OR
36 DECORATIVE WATER FEATURES, INCLUDING LAKES, PONDS OR LAGOONS, IS
37 PROHIBITED, EXCEPT AS PROVIDED IN SECTION 45-132, SUBSECTION B,
38 PARAGRAPH 4.

39 (d) PUBLIC BUILDINGS AND PUBLIC SAFETY FACILITIES, INCLUDING
40 POLICE, FIRE AND EMERGENCY SERVICES FACILITIES AND RELATED IMPROVEMENTS.

41 (e) COMMUNICATIONS AND DIGITAL INFRASTRUCTURE, INCLUDING
42 FIBEROPTIC, WIRELESS AND BROADBAND FACILITIES, CONDUITS, TOWERS, ANTENNAS,
43 DATA TRANSMISSION SYSTEMS, NETWORK EQUIPMENT, PUBLIC SAFETY COMMUNICATIONS
44 FACILITIES, AND RELATED APPURTENANCES AND RIGHTS-OF-WAY.

45 (f) EQUIPMENT, VEHICLES, FURNISHINGS, TECHNOLOGY AND OTHER PERSONAL
46 PROPERTY AND APPURTENANCES RELATED TO OR NECESSARY FOR THE OPERATION OF
47 ANY PUBLIC INFRASTRUCTURE AUTHORIZED BY THIS CHAPTER.

1 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.
2 23. "PUBLIC INFRASTRUCTURE PURPOSE" MEANS:
3 (a) PLANNING, DESIGNING, ENGINEERING, CONSTRUCTING, ACQUIRING OR
4 INSTALLING OF PUBLIC INFRASTRUCTURE.
5 (b) ACQUIRING, CONVERTING, RENOVATING OR IMPROVING EXISTING
6 FACILITIES FOR PUBLIC INFRASTRUCTURE.
7 (c) ACQUIRING INTERESTS IN REAL PROPERTY FOR PUBLIC INFRASTRUCTURE.
8 (d) ESTABLISHING, MAINTAINING AND REPLENISHING RESERVES IN ORDER TO
9 SECURE PAYMENT OF DEBT SERVICE ON BONDS.
10 (e) FUNDING AND PAYING FROM BOND PROCEEDS INTEREST ACCRUING ON
11 BONDS FOR A PERIOD OF NOT TO EXCEED THREE YEARS AFTER THEIR DATE OF
12 ISSUANCE AND COSTS OF ISSUANCE OF THE BONDS AND UNDERWRITER AND PLACEMENT
13 AGENT FEES.
14 (f) PROVIDING FOR THE TIMELY PAYMENT OF DEBT SERVICE ON
15 INDEBTEDNESS OF THE DISTRICT OR OF DEVELOPMENT FEES OR SIMILAR EXACTIONS
16 IMPOSED BY A MUNICIPALITY OR OTHER PUBLIC ENTITY, TO THE EXTENT THOSE
17 CHARGES ARE IMPOSED TO FUND PUBLIC INFRASTRUCTURE THAT IS LOCATED WITHIN,
18 PRIMARILY SERVES OR IS NECESSITATED BY DEVELOPMENT WITHIN THE DISTRICT.
19 (g) REFINANCING ANY MATURED OR UNMATURED BONDS WITH NEW BONDS.
20 (h) INCURRING EXPENSES OF THE DISTRICT THAT ARE INCIDENTAL TO AND
21 REASONABLY NECESSARY TO CARRY OUT THE PURPOSES SPECIFIED IN THIS
22 PARAGRAPH.
23 24. "QUALIFIED ELECTOR" MEANS A PERSON WHO IS A QUALIFIED ELECTOR
24 PURSUANT TO TITLE 16 AND WHO RESIDES WITHIN THE BOUNDARIES OF A DISTRICT.
25 25. "TREASURER" MEANS THE PERSON APPOINTED BY THE BOARD TO BE THE
26 DISTRICT TREASURER.
27 48-7002. Petition to form district; contents of petition;
28 filings; limitation of liability
29 A. A STATE AFFORDABILITY INFRASTRUCTURE DISTRICT MAY BE FORMED
30 PURSUANT TO THIS CHAPTER BY PETITION OF ALL INDIVIDUALS AND ENTITIES
31 HAVING FEE-TITLE OWNERSHIP OF ALL REAL PROPERTY IN THE PROPOSED DISTRICT.
32 THE PETITION SHALL BE SUBMITTED TO THE AUTHORITY. THE DISTRICT MAY
33 INCLUDE CONTIGUOUS OR NONCONTIGUOUS PROPERTY, PROVIDED THAT ALL
34 NONCONTIGUOUS PROPERTY SHALL BE LOCATED IN THE SAME COUNTY AND SHALL LIE
35 WITHIN FIVE MILES OF THE BOUNDARY OF OTHER PROPERTY WITHIN THE DISTRICT,
36 MEASURED IN A STRAIGHT LINE BETWEEN SUCH PARCEL BOUNDARIES. IF ANY
37 PORTION OF A DISTRICT IS LOCATED WITHIN THE CORPORATE LIMITS OF A
38 MUNICIPALITY, THE ENTIRE DISTRICT SHALL AT ALL TIMES BE LOCATED WITHIN THE
39 CORPORATE LIMITS OR WITHIN THE ADOPTED PLANNING AREA OF THAT MUNICIPALITY,
40 AS SUCH LIMITS OR PLANNING AREA MAY BE AMENDED FROM TIME TO TIME.
41 B. THE PETITION SHALL CONTAIN ALL OF THE FOLLOWING:
42 1. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT
43 BOUNDARIES.
44 2. THE PROPOSED NAME OF THE DISTRICT.
45 3. A GENERAL PLAN SETTING OUT A GENERAL DESCRIPTION OF THE PUBLIC
46 INFRASTRUCTURE FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR
47 WHICH BONDS MAY BE ISSUED, THE GENERAL AREAS TO BE IMPROVED AND THE

1 ESTIMATED COSTS OF CONSTRUCTING OR ACQUIRING THE PUBLIC INFRASTRUCTURE TO
2 BE FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT.

3 4. A GENERAL DESCRIPTION OF THE ESTIMATED COST OF ENGINEERING
4 SERVICES, LEGAL SERVICES, ADMINISTRATIVE SERVICES AND OTHER MAJOR EXPENSES
5 THAT ARE RELATED TO ORGANIZING AND INITIALLY OPERATING THE DISTRICT.

6 5. AN ENGINEER'S ESTIMATE OF THE COSTS OF THE PUBLIC INFRASTRUCTURE
7 FOR WHICH THE DISTRICT IS PROPOSED TO BE FORMED AND FOR WHICH BONDS MAY BE
8 ISSUED.

9 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AGGREGATE PRINCIPAL
10 AMOUNT OF GENERAL OBLIGATION BONDS AND THE MAXIMUM AGGREGATE ASSESSMENT
11 AMOUNT, IF ANY.

12 7. THE MAXIMUM O/M TAX RATE, IF ANY.

13 8. A PRELIMINARY FINANCING PLAN THAT INCLUDES THE ANTICIPATED
14 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

15 9. IF THE DISTRICT PROPOSES TO ISSUE ASSESSMENT BONDS, AN APPRAISAL
16 INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN THE
17 DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
18 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
19 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

20 10. IF THE DISTRICT PROPOSES TO ISSUE GENERAL OBLIGATION BONDS, A
21 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY
22 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
23 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING TOGETHER WITH INFORMATION
24 DEMONSTRATING THAT DEBT SERVICE ON SUCH BONDS CAN BE SUPPORTED WITHIN THE
25 MAXIMUM AUTHORIZED TAX RATE.

26 11. A STATEMENT OF ALL HOLDERS OF FEE TITLE TO ALL REAL PROPERTY IN
27 THE DISTRICT, THE INITIAL BOARD MEMBERS, THE INITIAL TERMS OF OFFICE OF
28 THE INITIAL BOARD MEMBERS AND THE DISTRICT CLERK AND THE DISTRICT
29 TREASURER.

30 12. A STATEMENT OF BOND COUNSEL INDICATING THAT THE PETITION
31 COMPLIES WITH THE PROCEDURAL REQUIREMENTS OF THIS SECTION.

32 13. A COPY OF ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR
33 OTHER AGREEMENT WITH THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC
34 INFRASTRUCTURE AND THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE
35 BOUNDARIES OF THE DISTRICT AND A CERTIFICATION BY THE PETITIONER THAT THE
36 FORMATION OF THE DISTRICT WILL NOT VIOLATE ANY SUCH AGREEMENT.

37 14. A WRITTEN STATEMENT, SIGNED BY AN ENGINEER, CERTIFYING THAT THE
38 ESTIMATED COST OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED IN THE
39 PROPOSED DISTRICT EXCEEDS \$5,000,000.

40 15. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE
41 DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING,
42 HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A
43 DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND
44 IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT
45 AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.

46 16. A FORMATION ORDER IN SUBSTANTIALLY FINAL AND RECORDABLE FORM.

1 17. A DESCRIPTION OF THE PETITIONER, INCLUDING:

2 (a) THE LEGAL NAME OF EACH ENTITY OR INDIVIDUAL HAVING FEE-TITLE
3 OWNERSHIP OF ANY REAL PROPERTY IN THE PROPOSED DISTRICT.

4 (b) THE NAME, ADDRESS AND TELEPHONE NUMBER OF THE PRIMARY CONTACT
5 FOR THE PETITIONER.

6 (c) THE NAMES OF ANY LEGAL REPRESENTATIVES, ENGINEERS, ARCHITECTS,
7 FINANCIAL CONSULTANTS OR OTHER CONSULTANTS THAT ARE SIGNIFICANTLY INVOLVED
8 IN THE PETITION.

9 (d) A GENERAL DESCRIPTION OF THE PETITIONER'S EXPERIENCE WITH
10 SIMILAR TYPES OF DEVELOPMENTS THAT THE DISTRICT WILL SUPPORT.

11 C. ANY FINANCIAL BURDEN OF A DISTRICT IS BORNE SOLELY BY THE
12 DISTRICT AND IS NOT BORNE BY THE AUTHORITY, THIS STATE OR ANY
13 MUNICIPALITY, COUNTY OR OTHER POLITICAL SUBDIVISION OF THIS STATE. ANY
14 LIABILITY, JUDGMENT OR CLAIM AGAINST A DISTRICT IS THE SOLE RESPONSIBILITY
15 OF THE DISTRICT AND DOES NOT CONSTITUTE A LIABILITY, JUDGMENT OR CLAIM
16 AGAINST THE AUTHORITY, THIS STATE OR ANY MUNICIPALITY, COUNTY OR OTHER
17 POLITICAL SUBDIVISION OF THIS STATE.

18 D. THE PETITION SHALL BE FILED WITH THE AUTHORITY. THE PETITIONER
19 SHALL PROVIDE WRITTEN NOTICE OF THE FILING OF THE PETITION TO EACH
20 AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED
21 AREA, TO THE COUNTY. THE NOTICE SHALL STATE THAT THE DISTRICT WILL BE
22 FORMED NOT LESS THAN THIRTY DAYS AND NOT MORE THAN SIXTY DAYS AFTER
23 SUBMITTING THE PETITION, SUBJECT TO APPROVAL BY THE AUTHORITY, AND THAT
24 THE MUNICIPALITY OR THE COUNTY, AS APPLICABLE, MAY SUBMIT TO THE AUTHORITY
25 WITHIN THIRTY DAYS AFTER THE FILING OF THE PETITION A WRITTEN NOTICE THAT
26 IDENTIFIES A BASIS FOR DENIAL OF THE PETITION PURSUANT TO SECTION 48-7003,
27 SUBSECTION D, PARAGRAPH 4.

28 E. IF THE AUTHORITY DETERMINES THAT THE PETITION IS INCOMPLETE OR
29 DEFICIENT, THE PETITIONER SHALL HAVE A PERIOD OF SIXTY DAYS AFTER WRITTEN
30 NOTICE OF THE DEFICIENCIES TO SUBMIT CORRECTIONS OF THE DEFICIENCIES. IF
31 THE CORRECTIONS OF THE DEFICIENCIES ARE NOT SUBMITTED TO THE AUTHORITY
32 WITHIN SIXTY DAYS AFTER NOTICE OR DO NOT CORRECT THE DEFICIENCIES,
33 THE AUTHORITY MAY REJECT THE PETITION PURSUANT TO SECTION 48-7003,
34 SUBSECTION D.

35 F. FOR THE PURPOSES OF THIS CHAPTER, ALL CERTIFICATIONS,
36 DETERMINATIONS, APPROVALS, FINDINGS AND ACTIONS REQUIRED TO BE MADE BY THE
37 AUTHORITY SHALL BE MADE BY THE EXECUTIVE DIRECTOR. NO ACTION, APPROVAL,
38 RESOLUTION OR VOTE OF THE BOARD OF DIRECTORS OF THE AUTHORITY IS REQUIRED
39 FOR ANY CERTIFICATION, DETERMINATION OR ACTION TAKEN BY THE EXECUTIVE
40 DIRECTOR PURSUANT TO THIS CHAPTER. ANY ACTION TAKEN BY THE EXECUTIVE
41 DIRECTOR PURSUANT TO THIS CHAPTER IS DEEMED AN ACTION OF THE AUTHORITY.

42 48-7003. Authority; formation order; limitations on
43 rejection; fees

44 A. A DISTRICT SHALL BE FORMED ONLY ON THE ISSUANCE OF A FORMATION
45 ORDER BY THE AUTHORITY. THE AUTHORITY SHALL REVIEW THE PETITION SUBMITTED
46 PURSUANT TO SECTION 48-7002 AND ACCOMPANYING MATERIALS TO EVALUATE, SOLELY
47 ON THE BASIS OF THE INFORMATION INCLUDED WITH THE PETITION, THE FOLLOWING:

1 1. WHETHER ANY APPRAISAL OR THIRD-PARTY MARKET STUDY PROVIDED IN
2 CONNECTION WITH THE PETITION IS COMPLETE.

3 2. WHETHER THE DESCRIPTION OF THE PROPOSED PUBLIC INFRASTRUCTURE IN
4 THE GENERAL PLAN APPEARS COMPLETE ON ITS FACE AND DOES NOT CONTAIN OBVIOUS
5 ERRORS, WITHOUT ANY INDEPENDENT ENGINEERING INVESTIGATION, ANALYSIS OR
6 VERIFICATION.

7 3. WHETHER THE PRELIMINARY FINANCING PLAN INCLUDES THE ANTICIPATED
8 SOURCES AND USES OF MONIES FOR THE PUBLIC INFRASTRUCTURE.

9 4. WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE
10 FINANCIAL ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE
11 MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
12 APPLICABLE.

13 5. WHETHER FORMATION OF THE DISTRICT WILL VIOLATE ANY EXISTING AND
14 APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY
15 OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE BOUNDARIES OF
16 THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN CONNECTION WITH THE
17 PETITION.

18 B. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
19 THE FORMATION ORDER FOR THE DISTRICT IF THE AUTHORITY FINDS THAT ALL OF
20 THE FOLLOWING OCCURRED:

21 1. ALL REQUIRED DOCUMENTS HAVE BEEN SUBMITTED IN THE FORM
22 PRESCRIBED BY THIS CHAPTER.

23 2. THE PROPOSED DISTRICT MEETS ALL STATUTORY ELIGIBILITY AND
24 BOUNDARY REQUIREMENTS THAT ARE ESTABLISHED UNDER THIS CHAPTER.

25 3. THE NOTICE TO EACH AFFECTED MUNICIPALITY AND, IF THE DISTRICT IS
26 LOCATED IN AN UNINCORPORATED AREA, TO THE COUNTY HAS BEEN PROVIDED AS
27 PRESCRIBED BY SECTION 48-7002, SUBSECTION D.

28 4. SOLELY ON THE BASIS OF THE INFORMATION SUBMITTED IN CONNECTION
29 WITH THE PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY,
30 THE DISTRICT HAS, OR WILL HAVE, THE FINANCIAL ABILITY TO DISCHARGE ITS
31 PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM AUTHORIZED TAX RATE AND MAXIMUM
32 AGGREGATE ASSESSMENT AMOUNT, AS APPLICABLE.

33 C. IF THE REQUIREMENTS OF SUBSECTION B OF THIS SECTION ARE
34 SATISFIED, THE AUTHORITY SHALL ISSUE A FORMATION ORDER WITHIN SIXTY DAYS
35 AFTER THE SUBMISSION OF A COMPLETE PETITION. THE FORMATION ORDER SHALL
36 INCLUDE ALL OF THE FOLLOWING:

37 1. THE NAME OF THE DISTRICT.

38 2. A METES AND BOUNDS DESCRIPTION AND A MAP OF THE DISTRICT'S
39 BOUNDARIES.

40 3. A GENERAL DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THAT THE
41 DISTRICT MAY FINANCE.

42 4. A STATEMENT THAT A GENERAL PLAN AND A PRELIMINARY FINANCING PLAN
43 FOR THE DISTRICT WILL BE ON FILE WITH THE CLERK.

44 5. THE TYPES OF BONDS THAT THE DISTRICT IS AUTHORIZED TO ISSUE.

45 6. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
46 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
47 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

1 7. THE NAMES AND INITIAL TERMS OF THE INITIAL BOARD OF DIRECTORS
2 AND THAT THE DISTRICT WILL BE GOVERNED BY DIRECTORS WHO ARE CHOSEN
3 PURSUANT TO THIS CHAPTER.

4 8. A STATEMENT THAT:

5 (a) THE FORMATION OF THE DISTRICT MAY RESULT IN THE LEVY OF AD
6 VALOREM TAXES OR ASSESSMENTS TO PAY THE COSTS OF AUTHORIZED PUBLIC
7 INFRASTRUCTURE THAT IS CONSTRUCTED BY THE DISTRICT AND FOR OPERATING AND
8 MAINTAINING THE AUTHORIZED PUBLIC INFRASTRUCTURE.

9 (b) ANY AD VALOREM TAX THAT IS LEVIED FOR THE PAYMENT OF GENERAL
10 OBLIGATION BONDS MAY NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM
11 AUTHORIZED TAX RATE THAT IS APPROVED AT THE ELECTION THAT AUTHORIZED THE
12 LEVY AND THE ISSUANCE OF THE BONDS.

13 (c) ANY BONDS OR OTHER OBLIGATIONS OF THE DISTRICT WILL NOT BE A
14 DEBT, LEGAL OR MORAL, OF THIS STATE OR ANY MUNICIPALITY OR ANY COUNTY OF
15 THIS STATE, ARE NOT OBLIGATIONS OF THIS STATE OR ANY MUNICIPALITY OR ANY
16 COUNTY OF THIS STATE AND ARE OBLIGATIONS OF THE DISTRICT AND ARE PAYABLE
17 ONLY FROM THE SOURCES PLEDGED FOR THEIR PAYMENT.

18 D. THE AUTHORITY SHALL APPROVE FORMATION OF THE DISTRICT AND ISSUE
19 THE FORMATION ORDER IF THE AUTHORITY DETERMINES THAT THE PETITION AND
20 ACCOMPANYING MATERIALS MEET THE STATUTORY REQUIREMENTS OF THIS CHAPTER.
21 THE AUTHORITY'S REVIEW IS LIMITED TO CONFIRMING THAT THE STATUTORY
22 REQUIREMENTS OF THIS CHAPTER HAVE BEEN SATISFIED AND THE AUTHORITY MAY
23 DENY A PETITION ONLY UPON A WRITTEN FINDING OF ONE OF THE FOLLOWING:

24 1. THE PETITION IS INCOMPLETE.

25 2. THE FINANCIAL INFORMATION SUBMITTED IN CONNECTION WITH THE
26 PETITION, INCLUDING ANY APPRAISAL OR THIRD-PARTY MARKET STUDY, IS
27 INCOMPLETE OR ILLUSTRATES THAT THE DISTRICT WILL NOT HAVE THE FINANCIAL
28 ABILITY TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE MAXIMUM
29 AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
30 APPLICABLE.

31 3. THE PROPOSED DISTRICT VIOLATES A STATUTORY PROHIBITION OR
32 BOUNDARY RULE UNDER THIS CHAPTER, AND IN EACH CASE THE PETITIONER FAILED
33 TO SUBMIT PROPOSED CORRECTIONS OF THE DEFICIENCIES WITHIN SIXTY DAYS AFTER
34 NOTICE.

35 4. THE FORMATION OF THE PROPOSED DISTRICT WILL MATERIALLY VIOLATE
36 ANY EXISTING AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH
37 THE MUNICIPALITY OR THE COUNTY THAT RELATES TO PUBLIC INFRASTRUCTURE AND
38 THAT IS RECORDED AGAINST THE LAND INCLUDED WITHIN THE BOUNDARIES OF THE
39 DISTRICT WITH RESPECT TO THE DESIGN, CONSTRUCTION, CONVEYANCE, OPERATION
40 OR MAINTENANCE OF THE PUBLIC INFRASTRUCTURE.

41 E. IF THE AUTHORITY DOES NOT ISSUE THE FORMATION ORDER WITHIN SIXTY
42 DAYS AFTER SUBMISSION OF A COMPLETE PETITION, THE AUTHORITY SHALL PROVIDE
43 A WRITTEN BASIS FOR NOT ADOPTING THE FORMATION ORDER AND SHALL IDENTIFY
44 THE SPECIFIC CHANGES THAT ARE NEEDED FOR THE PETITION TO BE APPROVED AND
45 FOR THE DISTRICT TO BE FORMED. SUCH ACTION WILL NOT CONSTITUTE A DENIAL
46 OF THE PETITION AND THE PETITION MAY BE REVISED AND RESUBMITTED AT ANY
47 TIME.

1 F. ON ISSUANCE OF THE FORMATION ORDER BY THE AUTHORITY, THE
2 DISTRICT SHALL CAUSE THE FORMATION ORDER TO BE RECORDED IN THE REAL
3 PROPERTY RECORDS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED AND SHALL
4 CAUSE A COPY OF THE FORMATION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR
5 AND THE BOARD OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS
6 LOCATED, TO ANY MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE
7 DEPARTMENT OF REVENUE. ON RECORDING THE FORMATION ORDER, THE DISTRICT IS
8 ESTABLISHED AS A POLITICAL SUBDIVISION OF THIS STATE.

9 G. BEFORE RECORDING A FORMATION ORDER UNDER THIS SECTION, A GENERAL
10 PLAN FOR THE DISTRICT SHALL BE RECORDED WITH THE COUNTY RECORDER OF THE
11 COUNTY IN WHICH THE DISTRICT IS LOCATED THAT SETS OUT A GENERAL
12 DESCRIPTION OF THE IMPROVEMENTS FOR WHICH THE DISTRICT IS PROPOSED TO BE
13 FORMED AND THE AREAS TO BE IMPROVED.

14 H. ON FORMATION, THE DISTRICT IS A SPECIAL PURPOSE DISTRICT FOR THE
15 PURPOSES OF ARTICLE IX, SECTION 19, CONSTITUTION OF ARIZONA, A TAX LEVYING
16 PUBLIC IMPROVEMENT DISTRICT FOR THE PURPOSES OF ARTICLE XIII, SECTION 7,
17 CONSTITUTION OF ARIZONA, AND A MUNICIPAL CORPORATION FOR ALL PURPOSES OF
18 TITLE 35, CHAPTER 3, ARTICLES 3, 3.1, 3.2, 4 AND 5. A DISTRICT THAT
19 DISTRIBUTES OR SELLS GROUNDWATER IS A PRIVATE WATER COMPANY ONLY FOR THE
20 PURPOSES OF TITLE 45, CHAPTERS 2 AND 3.1. EXCEPT AS OTHERWISE PROVIDED IN
21 THIS SECTION, A DISTRICT IS CONSIDERED TO BE A MUNICIPAL CORPORATION AND
22 POLITICAL SUBDIVISION OF THIS STATE, SEPARATE AND APART FROM ANY
23 MUNICIPALITY OR COUNTY IN WHICH THE DISTRICT IS LOCATED. NOTWITHSTANDING
24 ANY OTHER LAW, A DISTRICT FORMED PURSUANT TO THIS CHAPTER DOES NOT HAVE
25 THE POWER OF EMINENT DOMAIN AND DOES NOT HAVE THE POWER TO ENACT ZONING
26 ORDINANCES.

27 I. ON FORMATION OF THE DISTRICT, THE BOARD SHALL IMPLEMENT THE
28 GENERAL PLAN FOR THE PUBLIC INFRASTRUCTURE OF THE DISTRICT.

29 J. FEES AND OTHER CHARGES ASSESSED BY THE AUTHORITY IN CONNECTION
30 WITH THE SUBMISSION AND CONSIDERATION OF A PETITION TO FORM A DISTRICT MAY
31 NOT EXCEED \$15,000. IF A PETITION IS DENIED BY THE AUTHORITY, IT MAY NOT
32 ASSESS A FEE OR OTHER CHARGE IN CONNECTION WITH SUBMITTING AND CONSIDERING
33 A SUBSTANTIALLY SIMILAR PETITION THAT IS SUBMITTED WITHIN ~~[ONE YEAR]~~
34 [NINETY DAYS] AFTER THE DENIAL. FEES AND OTHER CHARGES ASSESSED BY A
35 DISTRICT IN CONNECTION WITH ADMINISTERING THE DISTRICT, INCLUDING THE
36 ISSUANCE AND SALE OF BONDS, MAY NOT EXCEED THE ACTUAL EXPENSE INCURRED BY
37 THE DISTRICT FOR STAFF AND CONSULTANT SERVICES AND SUPPORT FACILITIES
38 SUPPLIED BY THE DISTRICT OR THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS
39 OF THE DISTRICT THAT ARE NOT REIMBURSED FROM PROCEEDS OF THE BONDS OR
40 OTHER DISTRICT REVENUE.

41 K. AFTER THE FORMATION ORDER IS ISSUED, THE OWNERS OF AT LEAST
42 FIFTY PERCENT OF THE LAND IN THE DISTRICT MAY PETITION THE AUTHORITY TO
43 AMEND THE FORMATION ORDER TO MODIFY THE POWERS OR FINANCIAL PARAMETERS OF
44 THE DISTRICT, INCLUDING ANY MAXIMUM AUTHORIZED TAX RATE, MAXIMUM
45 AUTHORIZED AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, MAXIMUM
46 AGGREGATE ASSESSMENT AMOUNT OR MAXIMUM OPERATIONS AND MAINTENANCE TAX
47 RATE. ANY SUCH PETITION FOR AMENDMENT SHALL:

1 1. DESCRIBE THE PROPOSED AMENDMENTS TO THE FORMATION ORDER AND
2 GENERAL PLAN.

3 2. INCLUDE UPDATED FINANCIAL INFORMATION, INCLUDING AN UPDATED
4 PRELIMINARY FINANCING PLAN, SUFFICIENT TO ALLOW THE AUTHORITY TO DETERMINE
5 WHETHER THE DISTRICT IS REASONABLY EXPECTED TO HAVE THE FINANCIAL ABILITY
6 TO DISCHARGE ITS PROPOSED INDEBTEDNESS WITHIN THE REVISED MAXIMUM
7 AUTHORIZED TAX RATE AND MAXIMUM AGGREGATE ASSESSMENT AMOUNT, AS
8 APPLICABLE.

9 3. DEMONSTRATE THAT THE PROPOSED AMENDMENTS DO NOT VIOLATE ANY
10 APPLICABLE STATUTORY ELIGIBILITY OR BOUNDARY REQUIREMENTS OR ANY
11 DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE MUNICIPALITY OR COUNTY
12 RELATING TO THE LAND WITHIN THE DISTRICT.

13 L. THE AUTHORITY SHALL REVIEW AND ACT ON A PETITION FOR AMENDMENT
14 UNDER THE STANDARDS AND WITHIN THE TIME PERIODS PRESCRIBED IN SUBSECTIONS
15 A THROUGH E OF THIS SECTION, AND, IF APPROVED, SHALL ISSUE AND CAUSE TO BE
16 RECORDED AN AMENDED FORMATION ORDER REFLECTING THE APPROVED CHANGES.

17 M. ANY PETITION TO AMEND THE FORMATION ORDER THAT INCREASES THE
18 MAXIMUM AUTHORIZED TAX RATE OR MAXIMUM AGGREGATE ASSESSMENT AMOUNT SHALL
19 BE SIGNED BY ALL OWNERS OF ALL REAL PROPERTY IN THE DISTRICT.

20 N. THE AUTHORITY'S ISSUANCE OF A FORMATION ORDER PURSUANT TO THIS
21 CHAPTER IS A GOVERNMENTAL DETERMINATION OF STATEWIDE FINANCIAL COMPLIANCE
22 AND DOES NOT CONSTITUTE ZONING, PLANNING OR LAND-USE APPROVAL. ANY ACTION
23 OF THE AUTHORITY OR THE EXECUTIVE DIRECTOR PURSUANT TO THIS ARTICLE IS THE
24 EXERCISE OF AN ADMINISTRATIVE FUNCTION INVOLVING THE DETERMINATION OF
25 FUNDAMENTAL GOVERNMENTAL POLICY AS PRESCRIBED IN SECTION 12-820.01.

26 48-7004. District governance; board of directors; elections;
27 powers and duties

28 A. ON ISSUANCE OF THE FORMATION ORDER, A DISTRICT SHALL BE GOVERNED
29 BY A BOARD OF DIRECTORS THAT CONSISTS OF THREE DIRECTORS. THE INITIAL
30 DIRECTORS SHALL BE APPOINTED AS SET FORTH IN THE PETITION AND FORMATION
31 ORDER.

32 B. SUBJECT TO SUBSECTION J OF THIS SECTION, EACH DIRECTOR SHALL
33 EITHER HOLD A FEE TITLE TO REAL PROPERTY WITHIN THE DISTRICT OR BE AN
34 INDIVIDUAL WHO IS DESIGNATED OR APPOINTED BY A HOLDER OF A FEE TITLE TO
35 REAL PROPERTY WITHIN THE DISTRICT. A DIRECTOR WILL RESIGN FROM THE BOARD
36 OF DIRECTORS IF AT ANY TIME DURING SUCH DIRECTOR'S TERM THE DIRECTOR IS NO
37 LONGER AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT OR, IF SUCH DIRECTOR
38 WAS DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE
39 DISTRICT, SUCH OWNER OF REAL PROPERTY WITHIN THE DISTRICT IS NO LONGER AN
40 OWNER OF REAL PROPERTY WITHIN THE DISTRICT. SUCH DIRECTOR'S VACANCY WILL
41 BE FILLED PURSUANT TO SUBSECTION H OF THIS SECTION.

42 C. THE TERM OF THE INITIAL DIRECTORS BEGINS ON THE DATE OF THE
43 FORMATION ORDER. OF THE INITIAL DIRECTORS, ONE DIRECTOR SHALL SERVE A
44 TERM OF THREE YEARS, ONE DIRECTOR SHALL SERVE A TERM OF FOUR YEARS AND ONE
45 DIRECTOR SHALL SERVE A TERM OF FIVE YEARS, AS SPECIFIED IN THE PETITION.
46 THEREAFTER, EACH SUBSEQUENTLY ELECTED DIRECTOR SHALL SERVE A TERM OF THREE
47 YEARS. THESE SUBSEQUENTLY ELECTED DIRECTORS SHALL BE AN OWNER OF REAL

1 PROPERTY IN THE DISTRICT WHO SHALL BE ELECTED AT LARGE BY THE OWNERS OF
2 REAL PROPERTY IN THE DISTRICT, AS SHOWN ON THE PROPERTY TAX ASSESSMENT
3 ROLL, WHO ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041. THE BOARD
4 SHALL DEVELOP BYLAWS FOR THE OPERATION OF THE DISTRICT.

5 D. ONLY THE OWNERS THAT HOLD FEE TITLE TO REAL PROPERTY IN THE
6 DISTRICT AND THEIR RESPECTIVE DESIGNEES AND APPOINTEES ARE ELIGIBLE TO
7 VOTE IN:

8 1. AN ELECTION REGARDING AN AD VALOREM TAX OR AN ASSESSMENT TO BE
9 LEVIED AGAINST THE REAL PROPERTY IN THE DISTRICT.

10 2. AN ELECTION FOR THE BOARD OF THE DISTRICT.

11 3. AN ELECTION FOR DISSOLUTION OF THE DISTRICT.

12 E. CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE
13 ELIGIBLE TO VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR
14 EACH ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT
15 ANY FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH
16 OF AN ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE
17 ACREAGE, AS REPRESENTED BY THE VOTES CAST AT AN ELECTION THAT IS CONDUCTED
18 SOLELY UNDER THIS ACREAGE SYSTEM, DETERMINES THE RESULT OF THE ELECTION.

19 F. AN ELECTION CONDUCTED UNDER THIS SECTION SHALL BE HELD AS A
20 SPECIAL ELECTION OF THE DISTRICT AND SHALL BE NOTICED, CALLED, CONDUCTED
21 AND CANVASSED BY THE BOARD IN THE MANNER PRESCRIBED BY THIS CHAPTER. THE
22 BOARD MAY ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
23 MUNICIPALITY OR ANOTHER PUBLIC ENTITY FOR ELECTION ADMINISTRATION,
24 INCLUDING REIMBURSEMENT OF REASONABLE COSTS OF DISTRICT ELECTIONS.

25 G. THE BOARD SHALL:

26 1. ADOPT AND AMEND THE GENERAL PLAN FOR THE DISTRICT.

27 2. AUTHORIZE AND APPROVE THE ISSUANCE OF BONDS OF THE DISTRICT AS
28 PROVIDED BY THIS CHAPTER.

29 3. LEVY AD VALOREM TAXES AND ASSESSMENTS, SUBJECT TO THE
30 LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER, INCLUDING THE
31 MAXIMUM AUTHORIZED TAX RATE.

32 4. MANAGE AND ADMINISTER THE AFFAIRS OF THE DISTRICT, INCLUDING
33 OPERATING, MAINTAINING AND REPAIRING PUBLIC INFRASTRUCTURE THAT IS OWNED
34 OR OPERATED BY THE DISTRICT.

35 5. ADOPT ANNUAL BUDGETS, STATEMENTS AND ESTIMATES FOR THE DISTRICT.

36 6. ADMINISTER DISTRICT ELECTIONS OR ENTER INTO INTERGOVERNMENTAL
37 AGREEMENTS WITH THE COUNTY AND OTHER QUALIFIED PUBLIC ENTITIES TO
38 ADMINISTER DISTRICT ELECTIONS.

39 7. PERFORM ALL OTHER ACTS THAT ARE NECESSARY OR CONVENIENT TO CARRY
40 OUT THE PURPOSES OF THIS CHAPTER.

41 H. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF A DEATH, A
42 RESIGNATION OR AN INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF
43 DIRECTOR, THE VACANCY SHALL BE FILLED BY APPOINTMENT MADE BY THE REMAINING
44 DIRECTORS WITHIN THIRTY DAYS OF A VACANCY. THE BOARD SHALL PROVIDE
45 WRITTEN NOTICE TO THE AUTHORITY THAT THE VACANCY HAS BEEN FILLED BY
46 APPOINTMENT WITHIN THIRTY DAYS OF THE APPOINTMENT OR, IF THE REMAINING
47 DIRECTORS HAVE NOT FILLED THE VACANCY BY APPOINTMENT, WRITTEN NOTICE TO

1 THE AUTHORITY THAT THE VACANCY HAS NOT BEEN FILLED BY APPOINTMENT WITHIN
2 THIRTY DAYS OF THE VACANCY. A DIRECTOR APPOINTED BY THE REMAINING
3 DIRECTORS SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM UNTIL
4 THE DIRECTOR'S SUCCESSOR IS ELECTED AS PROVIDED BY THIS ARTICLE.
5 A DIRECTOR SHALL NOT BE AN ELECTED OFFICIAL OF A MUNICIPALITY IN WHICH THE
6 DISTRICT IS LOCATED OR AN INDIAN TRIBE OR COMMUNITY OR AN EMPLOYEE OR
7 AGENT OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY BUT MAY BE A DIRECTOR
8 OF MORE THAN ONE DISTRICT.

9 I. THE MEMBERS OF THE BOARD ARE NOT ELIGIBLE TO RECEIVE
10 COMPENSATION FOR THEIR SERVICES AS MEMBERS OF THE BOARD.

11 J. IF A VACANCY OCCURS ON THE BOARD BECAUSE OF DEATH, RESIGNATION
12 OR INABILITY OF THE DIRECTOR TO DISCHARGE THE DUTIES OF DIRECTOR, AND
13 THERE ARE NO OWNERS OF REAL PROPERTY WITHIN THE DISTRICT OR INDIVIDUALS
14 DESIGNATED OR APPOINTED BY AN OWNER OF REAL PROPERTY WITHIN THE DISTRICT,
15 WHO ARE WILLING TO FILL SUCH VACANCY, THE AUTHORITY SHALL APPOINT A
16 DIRECTOR TO FILL THE VACANCY. THE DIRECTOR APPOINTED BY THE AUTHORITY IS
17 NOT REQUIRED TO BE A FEE-TITLE OWNER OF REAL PROPERTY WITHIN THE DISTRICT
18 OR AN INDIVIDUAL DESIGNATED OR APPOINTED BY A FEE-TITLE OWNER OF REAL
19 PROPERTY WITHIN THE DISTRICT. THE DIRECTOR APPOINTED BY THE AUTHORITY
20 SHALL HOLD OFFICE FOR THE REMAINDER OF THE UNEXPIRED TERM AND UNTIL THE
21 DIRECTOR'S SUCCESSOR IS ELECTED, UNLESS A FEE-TITLE OWNER OF REAL PROPERTY
22 WITHIN THE DISTRICT SUBMITS A WRITTEN REQUEST TO THE AUTHORITY AND THE
23 BOARD TO REPLACE THE DIRECTOR APPOINTED BY THE AUTHORITY. IN THAT EVENT,
24 THE AUTHORITY SHALL, AS SOON AS PRACTICABLE, APPOINT THAT FEE-TITLE OWNER
25 OF REAL PROPERTY WITHIN THE DISTRICT TO REPLACE THE DIRECTOR APPOINTED BY
26 THE AUTHORITY.

27 K. THE BOARD SHALL COMPLY WITH TITLE 38, CHAPTER 3, ARTICLE 3.1 AS
28 A SEPARATE POLITICAL SUBDIVISION.

29 48-7005. Records; open meetings

30 A. A DISTRICT SHALL KEEP THE FOLLOWING RECORDS, WHICH SHALL BE
31 MAINTAINED BY THE CLERK AND OPEN TO PUBLIC INSPECTION:

- 32 1. MINUTES OF ALL BOARD MEETINGS.
- 33 2. ALL RESOLUTIONS.
- 34 3. ACCOUNTS SHOWING ALL MONIES RECEIVED AND DISBURSED.
- 35 4. THE ANNUAL BUDGET.
- 36 5. ALL OTHER RECORDS REQUIRED TO BE MAINTAINED BY LAW.

37 B. THE BOARD SHALL COMPLY WITH THE REQUIREMENTS OF TITLE 38,
38 CHAPTER 3, ARTICLE 3.1 AS A SEPARATE POLITICAL SUBDIVISION.

39 48-7006. District powers

40 A. IN ADDITION TO THE POWERS OTHERWISE GRANTED TO A DISTRICT
41 PURSUANT TO THIS CHAPTER, A DISTRICT, TO FURTHER IMPLEMENT THE GENERAL
42 PLAN, MAY:

- 43 1. ENTER INTO CONTRACTS AND EXPEND MONIES FOR ANY PUBLIC
44 INFRASTRUCTURE PURPOSE WITH RESPECT TO THE DISTRICT, INCLUDING IN
45 CONNECTION WITH THE ACQUISITION, CONSTRUCTION OR INSTALLATION OF PUBLIC
46 INFRASTRUCTURE, PROVIDED THAT A DISTRICT MAY NOT BE THE CONTRACTING PARTY
47 ON ANY CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE AND THE DISTRICT'S

1 ROLE WITH RESPECT TO THE CONSTRUCTION OF SUCH PUBLIC INFRASTRUCTURE SHALL
2 BE LIMITED TO ACQUIRING OR REIMBURSING THE COSTS OF SUCH PUBLIC
3 INFRASTRUCTURE.

4 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THIS STATE, A
5 COUNTY, A MUNICIPALITY OR ANY OTHER PUBLIC AGENCY THAT IS AUTHORIZED BY
6 LAW TO ENTER INTO INTERGOVERNMENTAL AGREEMENTS FOR THE PLANNING, DESIGN,
7 INSPECTION, OWNERSHIP, CONTROL, MAINTENANCE, OPERATION OR REPAIR OF PUBLIC
8 INFRASTRUCTURE.

9 3. ENTER INTO INTERGOVERNMENTAL AGREEMENTS WITH THE COUNTY, A
10 MUNICIPALITY OR ANOTHER QUALIFIED PUBLIC ENTITY FOR THE ADMINISTRATION OF
11 DISTRICT ELECTIONS, INCLUDING AGREEMENTS TO REIMBURSE THE PUBLIC ENTITY
12 FOR THE REASONABLE COSTS OF DISTRICT ELECTIONS.

13 4. SELL, LEASE OR OTHERWISE DISPOSE OF DISTRICT PROPERTY IF THE
14 SALE, LEASE OR CONVEYANCE IS NOT A VIOLATION OF THE TERMS OF ANY CONTRACT,
15 BOND RESOLUTION OR TRUST INDENTURE OF THE DISTRICT.

16 5. OPERATE, MAINTAIN AND REPAIR PUBLIC INFRASTRUCTURE THAT IS OWNED
17 OR OPERATED BY THE DISTRICT.

18 6. ESTABLISH, CHARGE AND COLLECT USER FEES, RATES OR OTHER CHARGES
19 FOR THE USE OF ANY SERVICE OR PUBLIC INFRASTRUCTURE OF THE DISTRICT OTHER
20 THAN STREETS, ROADS OR HIGHWAYS.

21 7. EMPLOY OR CONTRACT FOR STAFF, COUNSEL AND CONSULTANTS, INCLUDING
22 ENGINEERS, ATTORNEYS, ACCOUNTANTS, FINANCIAL ADVISORS, UNDERWRITERS,
23 ADMINISTRATORS AND ELECTION OFFICIALS, TO ASSIST WITH DISTRICT AND BOARD
24 ADMINISTRATION, FINANCING AND ELECTION MATTERS.

25 8. INCUR AND REPAY LOANS, ADVANCES OR OTHER OBLIGATIONS FOR ANY
26 PUBLIC INFRASTRUCTURE PURPOSE, INCLUDING TO PROVIDE FOR THE PRESENT
27 FINANCING OF COSTS TO BE REIMBURSED FROM FUTURE DISTRICT REVENUES OR
28 REIMBURSEMENTS RELATED TO PUBLIC INFRASTRUCTURE.

29 9. ENTER INTO AGREEMENTS WITH LANDOWNERS AND WITH A MUNICIPALITY OR
30 COUNTY FOR THE COLLECTION OF FEES AND CHARGES FROM LANDOWNERS FOR PUBLIC
31 INFRASTRUCTURE PURPOSES, FOR THE ADVANCE OF MONIES BY LANDOWNERS FOR
32 PUBLIC INFRASTRUCTURE PURPOSES OR FOR THE GRANTING OF REAL PROPERTY OR
33 INTERESTS IN REAL PROPERTY BY A LANDOWNER FOR PUBLIC INFRASTRUCTURE
34 PURPOSES, AND TO RECOGNIZE, ASSIGN, CONFIRM OR CONSENT TO THE ASSIGNMENT
35 BY SUCH LANDOWNERS OF THEIR RIGHTS TO RECEIVE ANY REIMBURSEMENTS OR
36 PAYMENTS FROM THE DISTRICT FOR PUBLIC INFRASTRUCTURE COSTS, INCLUDING TO
37 OR IN FAVOR OF LENDERS, TRUSTEES OR OTHER FINANCING PARTIES.

38 10. BY RESOLUTION, LEVY AND ASSESS THE COSTS OF ANY PUBLIC
39 INFRASTRUCTURE PURPOSE ON ANY LAND THAT IS BENEFITED IN THE DISTRICT,
40 SUBJECT TO THE LIMITATIONS AND ELECTION REQUIREMENTS OF THIS CHAPTER,
41 INCLUDING THE MAXIMUM AUTHORIZED TAX RATE.

42 11. PAY THE FINANCIAL, LEGAL AND ADMINISTRATIVE COSTS OF THE
43 DISTRICT.

44 12. ENTER INTO CONTRACTS, AGREEMENTS AND TRUST INDENTURES TO OBTAIN
45 CREDIT ENHANCEMENT OR LIQUIDITY SUPPORT FOR ITS BONDS AND TO PROVIDE FOR
46 THE ISSUANCE, REGISTRATION, TRANSFER AND PAYMENT OF ITS BONDS AND FOR THE
47 DISBURSEMENT AND INVESTMENT OF BOND PROCEEDS.

1 13. ENTER INTO AGREEMENTS WITH PERSONS OUTSIDE OF THE DISTRICT TO
2 PROVIDE SERVICES TO PERSONS AND PROPERTY OUTSIDE OF THE DISTRICT AND TO
3 RECEIVE COMPENSATION FOR THOSE SERVICES.

4 14. USE PUBLIC EASEMENTS AND RIGHTS-OF-WAY IN OR ACROSS PUBLIC
5 PROPERTY, ROADWAYS, HIGHWAYS, STREETS OR OTHER THOROUGHFARES AND OTHER
6 PUBLIC EASEMENTS AND RIGHTS-OF-WAY, WHETHER IN OR OUT OF THE GEOGRAPHICAL
7 LIMITS OF THE DISTRICT, A MUNICIPALITY OR A COUNTY, SUBJECT TO APPLICABLE
8 LAW, PERMITTING RESTRICTIONS AND THE RIGHTS OF THE PUBLIC.

9 B. IN CONNECTION WITH ANY POWER AUTHORIZED BY STATUTE, THE DISTRICT
10 MAY:

11 1. CONTRACT.

12 2. ENTER INTO INTERGOVERNMENTAL AGREEMENTS PURSUANT TO TITLE 11,
13 CHAPTER 7, ARTICLE 3.

14 3. ADOPT AND CHANGE A SEAL.

15 4. SUE AND BE SUED.

16 5. ENTER INTO DEVELOPMENT AGREEMENTS AS DEFINED IN SECTION
17 9-500.05.

18 C. A DISTRICT IS NOT EMPOWERED TO EXERCISE LAND USE OR ZONING
19 AUTHORITY AND MAY NOT ADOPT, AMEND OR ENFORCE ZONING ORDINANCES OR SIMILAR
20 LAND USE REGULATIONS.

21 D. PUBLIC INFRASTRUCTURE OTHER THAN PERSONALTY MAY BE LOCATED ONLY
22 IN OR ON LANDS OWNED BY THIS STATE, A COUNTY, A MUNICIPALITY OR THE
23 DISTRICT OR DEDICATED OR OTHERWISE DESIGNATED AS PUBLIC ROADWAYS,
24 HIGHWAYS, STREETS, THOROUGHFARES, EASEMENTS OR RIGHTS-OF-WAY, WHETHER IN
25 OR OUT OF THE DISTRICT OR A MUNICIPALITY. PERSONALTY MAY BE USED ONLY FOR
26 PURPOSES AUTHORIZED BY THE BOARD.

27 E. AN AGREEMENT PURSUANT TO SUBSECTION A, PARAGRAPH 9 OF THIS
28 SECTION MAY INCLUDE AGREEMENTS TO REPAY ALL OR PART OF SUCH ADVANCES, FEES
29 AND CHARGES FROM THE PROCEEDS OF BONDS IF ISSUED OR FROM ADVANCES, FEES
30 AND CHARGES COLLECTED FROM OTHER LANDOWNERS OR USERS OR THOSE HAVING A
31 RIGHT TO USE ANY INFRASTRUCTURE. A PERSON DOES NOT HAVE AUTHORITY TO
32 COMPEL THE ISSUANCE OR SALE OF THE BONDS OF THE DISTRICT OR THE EXERCISE
33 OF ANY TAXING POWER OF THE DISTRICT TO MAKE REPAYMENT UNDER ANY AGREEMENT.

34 [F. A CONSTRUCTION CONTRACT FOR PUBLIC INFRASTRUCTURE UNDER THIS
35 CHAPTER IS A PRIVATE CONSTRUCTION CONTRACT BETWEEN AN OWNER AND THE
36 CONTRACTOR FOR PURPOSES OF TITLE 32, CHAPTER 10, ARTICLE 5, AND ANY PERSON
37 FURNISHING LABOR, PROFESSIONAL SERVICES, MATERIALS, MACHINERY, FIXTURES OR
38 TOOLS FOR THAT PUBLIC INFRASTRUCTURE SHALL HAVE SUCH MECHANICS' AND
39 MATERIALMEN'S LIEN RIGHTS THAT WOULD OTHERWISE APPLY TO THE CONSTRUCTION
40 CONTRACT AND THE PUBLIC INFRASTRUCTURE SUBJECT THERETO UNDER TITLE 33,
41 CHAPTER 7, ARTICLE 6, AND IS SUBJECT TO ALL REQUIREMENTS AND LIMITATIONS
42 OF THAT ARTICLE.

43 G. IN CONNECTION WITH A CONSTRUCTION CONTRACT FOR PUBLIC
44 INFRASTRUCTURE UNDER THIS CHAPTER, SUCH CONTRACTING OWNER SHALL PROVIDE
45 FINANCIAL ASSURANCES ACCEPTABLE TO THE CONTRACTOR AS AGREED IN THE
46 CONSTRUCTION CONTRACT, WHICH MAY INCLUDE A PAYMENT BOND, GUARANTY, LETTER
47 OF CREDIT, DEED OF TRUST, PROOF OF MONIES OR OTHER COMPARABLE SECURITY.]

1 48-7007. District finances; revenue

2 THE PROJECTS TO BE CONSTRUCTED OR ACQUIRED AS SHOWN IN THE GENERAL
3 PLAN MAY BE FINANCED FROM THE FOLLOWING SOURCES OF REVENUE:

4 1. PROCEEDS RECEIVED FROM THE SALE OF BONDS OF THE DISTRICT.

5 2. MONIES OF A MUNICIPALITY OR INDIAN TRIBE OR COMMUNITY THAT ARE
6 CONTRIBUTED TO THE DISTRICT.

7 3. ASSESSMENTS.

8 4. AD VALOREM TAXES.

9 5. PRIVATE CONTRIBUTIONS.

10 6. USER, LANDOWNER AND OTHER FEES AND CHARGES.

11 7. PROCEEDS OF LOANS OR ADVANCES.

12 8. ANY OTHER MONIES AVAILABLE TO THE DISTRICT BY LAW.

13 48-7008. Project review by authority; hearing; notice; fees

14 A. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE, THE
15 BOARD SHALL CAUSE A STUDY OF THE FEASIBILITY AND BENEFITS OF THE PROJECT
16 THAT SHALL BE PREPARED BY ENGINEERS AND OTHER QUALIFIED PERSONS AND THAT
17 SHALL INCLUDE A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED
18 OR ACQUIRED AND ALL OTHER INFORMATION USEFUL TO UNDERSTAND THE PROJECT, A
19 MAP SHOWING, IN GENERAL, THE LOCATION OF THE PROJECT, AN ESTIMATE OF THE
20 COST TO CONSTRUCT, ACQUIRE, OPERATE AND MAINTAIN THE PROJECT, AN ESTIMATED
21 SCHEDULE FOR COMPLETION OF THE PROJECT, A MAP OR DESCRIPTION OF THE AREA
22 TO BE BENEFITED BY THE PROJECT AND THE FINANCING PLAN FOR THE PROJECT.
23 WITHIN SIXTY DAYS AFTER RECEIVING THE REPORT, THE BOARD SHALL HOLD A
24 PUBLIC HEARING ON THE REPORT AND PROVIDE NOTICE OF THE HEARING BY
25 PUBLICATION NOT LESS THAN TEN DAYS IN ADVANCE IN THE OFFICIAL NEWSPAPER OF
26 THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED OR, IF NONE IN THE
27 MUNICIPALITY OR IF THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, A
28 NEWSPAPER OF GENERAL CIRCULATION IN THE COUNTY AND BY MAIL TO THE
29 GOVERNING BODY OF THE MUNICIPALITY. WITHIN SIXTY DAYS AFTER THE HEARING,
30 THE BOARD MAY REJECT, AMEND OR APPROVE THE REPORT. IF THE REPORT IS
31 AMENDED SUBSTANTIALLY, A NEW HEARING SHALL BE HELD WITHIN SIXTY DAYS AFTER
32 THE DATE THE AMENDED REPORT IS RECEIVED AND BEFORE APPROVAL. IF THE
33 REPORT IS APPROVED, THE BOARD SHALL ADOPT A RESOLUTION THAT IDENTIFIES THE
34 PUBLIC INFRASTRUCTURE OF THE PROJECT, THE AREAS BENEFITED, THE EXPECTED
35 METHOD OF FINANCING, INCLUDING THE NATURE AND TIMING OF THE ISSUANCE OF
36 BONDS, IF ANY, AND AN APPROPRIATE SYSTEM OF PROVIDING REVENUES TO OPERATE
37 AND MAINTAIN THE PROJECT, IF APPLICABLE. THE BOARD SHALL EXECUTE THE
38 PROVISIONS OF THE REPORT WITHIN THE TIME FRAMES IDENTIFIED IN THE APPROVED
39 REPORT.

40 B. BEFORE CONSTRUCTING OR ACQUIRING ANY PUBLIC INFRASTRUCTURE AND
41 BEFORE THE BOARD HAS HELD THE PUBLIC HEARING PRESCRIBED IN SUBSECTION A OF
42 THIS SECTION, THE BOARD SHALL CAUSE THE STUDY OF THE FEASIBILITY AND
43 BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION TO BE
44 PROVIDED TO THE AUTHORITY. IN ADDITION TO THE STUDY OF THE FEASIBILITY
45 AND BENEFITS OF THE PROJECT PRESCRIBED IN SUBSECTION A OF THIS SECTION,
46 THE BOARD SHALL CAUSE THE FOLLOWING INFORMATION TO BE PROVIDED TO THE
47 AUTHORITY:

1 1. THE PROPOSED MAXIMUM PRINCIPAL AMOUNT OF BONDS TO BE ISSUED, THE
2 MAXIMUM INTEREST RATE AND A PRELIMINARY DEBT SERVICE SCHEDULE FOR THE
3 BONDS.

4 2. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
5 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A
6 REPORT INDICATING THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
7 IMPROVEMENTS IN THE DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE
8 CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE PROCEEDS OF SUCH BONDS IS
9 COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE
10 DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
11 PROCEEDS OF SUCH BONDS.

12 3. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
13 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF GENERAL OBLIGATION BONDS, A
14 THIRD-PARTY MARKET STUDY THAT INCLUDES PROJECTIONS OF THE LIMITED PROPERTY
15 VALUE OF REAL PROPERTY IN THE DISTRICT FOR EACH YEAR IN WHICH GENERAL
16 OBLIGATION BONDS ARE PROPOSED TO BE OUTSTANDING, TOGETHER WITH A
17 PROJECTION OF THE AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT
18 SERVICE ON THE GENERAL OBLIGATION BONDS, WHICH PROJECTED RATE DOES NOT
19 EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

20 4. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
21 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, AN
22 APPRAISAL INDICATING THE AGGREGATE AS-IS MARKET VALUE OF REAL PROPERTY IN
23 THE DISTRICT AND THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND
24 IMPROVEMENTS IN THE DISTRICT AFTER COMPLETION OF THE PUBLIC INFRASTRUCTURE
25 PROPOSED TO BE FINANCED WITH SUCH ASSESSMENT BONDS.

26 5. IF THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED IS
27 PROPOSED TO BE FINANCED WITH THE PROCEEDS OF ASSESSMENT BONDS, THE MAXIMUM
28 AGGREGATE ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT TO BE LEVIED IN
29 CONNECTION WITH THE ASSESSMENT BONDS.

30 6. THE ANTICIPATED BUILD-OUT SCHEDULE AND ASSOCIATED VALUATION
31 INCREASES.

32 7. THE CURRENTLY OUTSTANDING AGGREGATE PRINCIPAL AMOUNT OF ALL
33 BONDS OF THE DISTRICT AND THE CURRENT AD VALOREM TAX RATE OF THE DISTRICT,
34 IF ANY.

35 8. THE PROPOSED FINANCING TEAM, INCLUDING THE UNDERWRITER OR
36 PLACEMENT AGENT AND THE DISTRICT'S BOND COUNSEL.

37 9. A CERTIFICATION AS TO THE REASONABLENESS OF ASSUMPTIONS THAT ARE
38 USED IN THE MARKET VALUE AND GROWTH PROJECTIONS.

39 10. A CERTIFICATION THAT THE CONSTRUCTION OR ACQUISITION OF THE
40 PUBLIC INFRASTRUCTURE, AS APPLICABLE, WILL NOT CONFLICT WITH ANY EXISTING
41 AND APPLICABLE DEVELOPMENT AGREEMENT OR OTHER AGREEMENT WITH THE
42 MUNICIPALITY OR THE COUNTY THAT RELATES TO THE LAND INCLUDED WITHIN THE
43 BOUNDARIES OF THE DISTRICT THAT WAS SUBMITTED TO THE AUTHORITY IN
44 CONNECTION WITH THE PETITION.

45 C. THE AUTHORITY SHALL REVIEW THE INFORMATION SUBMITTED PURSUANT TO
46 SUBSECTION B OF THIS SECTION TO CONFIRM, SOLELY ON THE BASIS OF THE
47 INFORMATION SUBMITTED AND WITHOUT ANY INDEPENDENT DETERMINATION OF

1 FEASIBILITY OR VALUE, THAT ALL INFORMATION REQUIRED PURSUANT TO SUBSECTION
2 B OF THIS SECTION HAS BEEN SUBMITTED AND THAT THE CONSTRUCTION OR
3 ACQUISITION OF THE PUBLIC INFRASTRUCTURE, OR BOTH, AS APPLICABLE, COMPLIES
4 WITH THE FORMATION ORDER AND THE GENERAL PLAN AND DOES NOT OTHERWISE
5 VIOLATE THE PROVISIONS OF THIS CHAPTER.

6 D. THE AUTHORITY SHALL PROVIDE WRITTEN NOTICE TO THE DISTRICT
7 WITHIN THIRTY DAYS AFTER RECEIVING THE INFORMATION SUBMITTED PURSUANT TO
8 SUBSECTION B OF THIS SECTION IF THE SUBMITTED INFORMATION IS INCOMPLETE OR
9 HAS NOT BEEN SUBMITTED OR IF THE SUBMITTED INFORMATION INDICATES THAT THE
10 CONSTRUCTION OR ACQUISITION OF THE PUBLIC INFRASTRUCTURE DOES NOT COMPLY
11 WITH THE FORMATION ORDER OR THE GENERAL PLAN OR DOES NOT OTHERWISE COMPLY
12 WITH THE PROVISIONS OF THIS CHAPTER, WHICH WRITTEN NOTICE SHALL IDENTIFY
13 ANY DEFICIENCIES. THE BOARD MAY NOT HOLD THE PUBLIC HEARING DESCRIBED IN
14 SUBSECTION A OF THIS SECTION UNTIL THIRTY DAYS HAS ELAPSED SINCE THE
15 SUBMISSION OF THE INFORMATION SUBMITTED PURSUANT TO SUBSECTION B OF THIS
16 SECTION AND THE DISTRICT HAS NOT RECEIVED FROM THE AUTHORITY THE NOTICE
17 PRESCRIBED IN THIS SUBSECTION.

18 E. FEES AND OTHER CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN
19 CONNECTION WITH THE REVIEW OF THE INFORMATION SUBMITTED PURSUANT TO
20 SUBSECTION B OF THIS SECTION SHALL NOT EXCEED ~~[\$15,000]~~ [\$30,000] FOR EACH
21 SUBMISSION. ANY SUCH FEES SHALL BE IN ADDITION TO THE FEES AND OTHER
22 CHARGES THAT ARE ASSESSED BY THE AUTHORITY IN CONNECTION WITH THE
23 SUBMISSION AND CONSIDERATION OF AN APPLICATION AND PETITION TO FORM A
24 DISTRICT PURSUANT TO SECTION 48-7003, SUBSECTION J.

25 ARTICLE 2. FINANCIAL PROVISIONS

26 48-7021. General obligation bonds debt limitations; maximum
27 authorized tax rate

28 A. THE TOTAL AGGREGATE OUTSTANDING AMOUNT OF GENERAL OBLIGATION
29 BONDS AND ANY OTHER INDEBTEDNESS FOR WHICH THE AD VALOREM TAXES OF THE
30 DISTRICT ARE PLEDGED SHALL NOT EXCEED SIXTY PERCENT OF THE AGGREGATE OF
31 THE PROJECTED MARKET VALUE OF THE REAL PROPERTY AND IMPROVEMENTS IN THE
32 DISTRICT AFTER THE PUBLIC INFRASTRUCTURE TO BE CONSTRUCTED OR ACQUIRED BY
33 THE DISTRICT WITH THE PROCEEDS OF SUCH GENERAL OBLIGATION BONDS IS
34 COMPLETED PLUS THE VALUE OF THE PUBLIC INFRASTRUCTURE OWNED BY THE
35 DISTRICT AND TO BE CONSTRUCTED OR ACQUIRED BY THE DISTRICT WITH THE
36 PROCEEDS OF SUCH GENERAL OBLIGATION BONDS.

37 B. ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON ALL GENERAL
38 OBLIGATION BONDS OF THE DISTRICT SHALL NOT BE LEVIED AT A RATE THAT
39 EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. THE MAXIMUM AUTHORIZED TAX RATE
40 SHALL BE INDICATED IN THE PETITION AND THE FORMATION ORDER AND SHALL BE
41 APPROVED AT AN ELECTION HELD PURSUANT TO SECTION 48-7041 EXCEPT THAT THE
42 MAXIMUM AUTHORIZED TAX RATE SHALL NOT EXCEED \$10 PER \$100 OF NET LIMITED
43 ASSESSED PROPERTY VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE
44 DISTRICT, AND PROVIDED FURTHER THAT IF, AS OF THE DATE THE PETITION TO
45 FORM THE DISTRICT IS SUBMITTED, THE TOTAL COUNTYWIDE PRIMARY AND SECONDARY
46 TAX RATE PER \$100 OF NET LIMITED ASSESSED PROPERTY VALUATION IN THE COUNTY
47 IN WHICH THE DISTRICT IS LOCATED EXCEEDS ONE HUNDRED TWENTY-FIVE PERCENT

1 OF THE STATEWIDE AVERAGE TOTAL COUNTYWIDE PRIMARY AND SECONDARY RATE, AS
2 SHOWN IN THE MOST RECENT ABSTRACT OF THE ASSESSMENT ROLL OR SIMILAR REPORT
3 PUBLISHED BY THE DEPARTMENT OF REVENUE, THEN THE MAXIMUM AUTHORIZED TAX
4 RATE SHALL NOT EXCEED \$6 PER \$100 OF NET LIMITED ASSESSED PROPERTY
5 VALUATION OF PROPERTY WITHIN THE BOUNDARIES OF THE DISTRICT, UNLESS THE
6 GOVERNING BODY OF THE MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED, OR IF
7 THE DISTRICT IS LOCATED IN AN UNINCORPORATED AREA, THE COUNTY IN WHICH THE
8 DISTRICT IS LOCATED, APPROVES A HIGHER MAXIMUM AUTHORIZED TAX RATE BY
9 WRITTEN CONSENT OR BY RESOLUTION. THE AUTHORITY SHALL NOT OTHERWISE
10 RESTRICT THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM ASSESSMENT ASSESSED
11 BY A DISTRICT OR THE MAXIMUM AGGREGATE AMOUNT OF BONDS ISSUED BY A
12 DISTRICT EXCEPT AS EXPRESSLY PROVIDED IN THIS CHAPTER.

13 48-7022. General obligation bonds; tax levy; security

14 A. AT ANY TIME AFTER THE FORMATION OF A DISTRICT, THE BOARD MAY
15 FROM TIME TO TIME ORDER AND CALL A GENERAL OBLIGATION BOND ELECTION TO
16 SUBMIT TO THE QUALIFIED ELECTORS OF THE DISTRICT OR TO THOSE PERSONS WHO
17 ARE QUALIFIED TO VOTE PURSUANT TO SECTION 48-7041 THE QUESTION OF
18 AUTHORIZING THE BOARD TO ISSUE GENERAL OBLIGATION BONDS OF THE DISTRICT TO
19 PROVIDE MONIES FOR ANY PUBLIC INFRASTRUCTURE PURPOSES CONSISTENT WITH THE
20 GENERAL PLAN AND THE QUESTION OF AUTHORIZING AN AD VALOREM TAX TO BE
21 LEVIED.

22 B. IF GENERAL OBLIGATION BONDS ARE APPROVED AT AN ELECTION, THE
23 BOARD MAY ISSUE AND SELL GENERAL OBLIGATION BONDS OF THE DISTRICT, THE
24 TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, SUBJECT TO THE LIMITATION THAT
25 ANY AD VALOREM TAX LEVIED TO PAY THE DEBT SERVICE ON THE GENERAL
26 OBLIGATION BONDS SHALL NOT BE LEVIED AT A RATE THAT EXCEEDS THE MAXIMUM
27 AUTHORIZED TAX RATE.

28 C. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
29 GENERAL OBLIGATION BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
30 THIRTY YEARS. IF GENERAL OBLIGATION BONDS ARE ISSUED TO REFUND ANY
31 GENERAL OBLIGATION BONDS OF THE DISTRICT, AN ELECTION ON THE ISSUANCE OF
32 SUCH REFUNDING BONDS IS NOT REQUIRED, BUT ANY AD VALOREM TAX LEVIED TO PAY
33 THE DEBT SERVICE ON SUCH REFUNDING BONDS SHALL NOT BE LEVIED AT A RATE
34 THAT EXCEEDS THE MAXIMUM AUTHORIZED TAX RATE. AD VALOREM TAXES LEVIED TO
35 PAY GENERAL OBLIGATION BONDS OF A DISTRICT ARE LIMITED TAXES SUBJECT TO
36 THE MAXIMUM AUTHORIZED TAX RATE APPROVED AT ELECTION AND DO NOT CONSTITUTE
37 UNLIMITED AD VALOREM TAXES.

38 D. AFTER THE BONDS ARE ISSUED, THE BOARD SHALL ENTER IN ITS MINUTES
39 A RECORD OF THE BONDS SOLD AND THEIR NUMBERS AND DATES AND SHALL ANNUALLY
40 LEVY AND CAUSE AN AD VALOREM TAX TO BE COLLECTED, AT THE SAME TIME AND IN
41 THE SAME MANNER AS OTHER TAXES ARE LEVIED AND COLLECTED ON ALL TAXABLE
42 PROPERTY IN THE DISTRICT, SUFFICIENT, TOGETHER WITH ANY MONIES FROM THE
43 SOURCES DESCRIBED IN SECTION 48-7007, TO PAY DEBT SERVICE ON THE BONDS
44 WHEN DUE. THE ANNUAL LEVY SHALL NOT EXCEED THE NET AMOUNT NECESSARY TO
45 MEET ANNUAL PAYMENTS OF PRINCIPAL AND INTEREST, PROJECTED PAYMENTS OF
46 PRINCIPAL AND INTEREST ON NEW DEBT PLANNED FOR THE ENSUING YEAR,
47 A REASONABLE DELINQUENCY FACTOR, INCLUDING AN AMOUNT NECESSARY TO CORRECT

1 PRIOR YEAR ERRORS OR SHORTAGES IN THE LEVY, IF APPLICABLE, AND ANY
2 EXPENSES AND FEES REQUIRED IN CONJUNCTION WITH THE AUTHORIZATION PURSUANT
3 TO SECTION 35-512. THE ANNUAL AD VALOREM TAX RATE LEVIED PURSUANT TO THIS
4 SUBSECTION SHALL NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE. THE LEVY
5 SHALL BE THE NET OF ALL CASH IN EXCESS OF TEN PERCENT OF THE ANNUAL
6 PAYMENTS OF PRINCIPAL AND INTEREST IN THE CURRENT FISCAL YEAR FROM THE
7 PREVIOUS YEAR THAT REMAIN IN THE FUND OR FUNDS PRESCRIBED BY SUBSECTION E
8 OF THIS SECTION.

9 E. MONIES DERIVED FROM THE LEVY OF THE TAX PROVIDED IN THIS SECTION
10 WHEN COLLECTED CONSTITUTE FUNDS TO PAY THE DEBT SERVICE ON THE BONDS AND
11 SHALL BE KEPT SEPARATELY FROM OTHER FUNDS OF THE DISTRICT. AMOUNTS LEVIED
12 FOR DEBT SERVICE ON BONDS PAYABLE FROM THE SECONDARY TAX ARE AND SHALL BE
13 CONSIDERED SPECIAL REVENUES OF THE DISTRICT, SHALL BE KEPT IN A SPECIAL,
14 SEGREGATED FUND, ARE NOT AND SHALL NOT BE GENERAL PROPERTY TAXES AND MAY
15 NOT BE USED FOR ANY OTHER PURPOSE OF THE DISTRICT.

16 F. ALL GENERAL OBLIGATION BONDS, HERETOFORE AND HEREAFTER ISSUED,
17 ARE SECURED BY A LIEN ON ALL REVENUES RECEIVED PURSUANT TO THE AD VALOREM
18 TAX LEVY. THE LIEN ARISES AUTOMATICALLY WITHOUT THE NEED FOR ANY ACTION
19 OR AUTHORIZATION BY THE DISTRICT OR THE BOARD. THE LIEN IS VALID AND
20 BINDING FROM THE TIME OF THE ISSUANCE OF THE GENERAL OBLIGATION BONDS.
21 THE REVENUES RECEIVED PURSUANT TO THE LEVY OF THE AD VALOREM TAX ARE
22 IMMEDIATELY SUBJECT TO THE LIEN. THE LIEN ATTACHES IMMEDIATELY TO THE
23 REVENUES AND IS EFFECTIVE, BINDING AND ENFORCEABLE AGAINST THE DISTRICT,
24 THE DISTRICT'S SUCCESSORS, TRANSFEREES AND CREDITORS AND ALL OTHER PARTIES
25 ASSERTING RIGHTS IN THE REVENUES, IRRESPECTIVE OF WHETHER THE PARTIES HAVE
26 NOTICE OF THE LIEN, WITHOUT THE NEED FOR ANY PHYSICAL DELIVERY,
27 RECORDATION, FILING OR FURTHER ACT.

28 48-7023. Assessments; assessment lien bonds; judicial review

29 A. AFTER APPROVAL OF THE ASSESSMENT AT AN ELECTION HELD AS
30 PRESCRIBED BY SECTION 48-7041, AND PURSUANT TO THE PROCEDURES PRESCRIBED
31 BY SECTIONS 48-576 THROUGH 48-589, AS NEARLY AS PRACTICABLE, OR SUCH OTHER
32 PROCEDURES AS THE BOARD PROVIDES, THE BOARD, MAY LEVY BY RESOLUTION AN
33 ASSESSMENT OF THE COSTS OF ANY PUBLIC INFRASTRUCTURE PURPOSE OR ANY
34 OPERATION AND MAINTENANCE OF PUBLIC INFRASTRUCTURE ON ANY LAND IN THE
35 DISTRICT THAT IS BASED ON THE BENEFIT DETERMINED BY THE BOARD TO BE
36 RECEIVED BY THE LAND. BEFORE THE ISSUANCE OF ASSESSMENT BONDS, THE
37 DISTRICT MAY ENTER INTO A WRITTEN AGREEMENT WITH A LANDOWNER AS TO THE
38 MANNER IN WHICH THE ASSESSMENT IS TO BE ALLOCATED IF THE LAND IS TO BE
39 DIVIDED INTO MORE THAN ONE PARCEL. IF AN ISSUE OF ASSESSMENT BONDS
40 FINANCES MORE THAN ONE PURPOSE OR SERVICE, THE BENEFIT RECEIVED BY THE
41 LAND, IN THE DISCRETION OF THE DISTRICT, MAY BE DETERMINED BY REFERENCE TO
42 THE PURPOSES AND SERVICES AS A WHOLE OR INDIVIDUALLY. THE ASSESSMENT MAY
43 BE BASED ON ESTIMATED COSTS AND AMENDED TO REFLECT ACTUAL COSTS, AND THE
44 PREPARATION OF PLANS AND SPECIFICATIONS AND THE AWARDED OF THE CONTRACT
45 ARE NOT A PREREQUISITE TO THE LEVYING OF THE ASSESSMENT. AN OWNER OF LAND
46 ON WHICH AN ASSESSMENT HAS BEEN LEVIED MAY SEEK JUDICIAL REVIEW OF WHETHER
47 THE LAND IS BENEFITED BY THE PROPOSED PUBLIC INFRASTRUCTURE, ON THE

1 MERITS, BY SPECIAL ACTION FILED WITH THE COURT OF APPEALS, WITHIN THIRTY
2 DAYS AFTER THE EFFECTIVE DATE OF THE RESOLUTION.

3 B. AFTER ADOPTION BY THE BOARD OF A RESOLUTION LEVYING AN
4 ASSESSMENT ON PROPERTY IN THE DISTRICT, THE BOARD MAY ISSUE AND SELL
5 ASSESSMENT BONDS, THE TERM OF WHICH MAY NOT EXCEED THIRTY YEARS, PAYABLE
6 FROM AMOUNTS COLLECTED FROM THE ASSESSMENTS, FROM AMOUNTS AVAILABLE FROM
7 TIME TO TIME IN ANY RESERVE FUND ESTABLISHED FOR THOSE BONDS AND FROM ANY
8 OTHER AMOUNTS AVAILABLE FOR THOSE PURPOSES AS PRESCRIBED BY SECTION
9 48-7007. THE DISTRICT AND THE COUNTY TREASURER FOR THE COUNTY IN WHICH
10 THE DISTRICT IS LOCATED MAY ENTER INTO AN AGREEMENT FOR THE COUNTY
11 TREASURER TO COLLECT THE DISTRICT'S ASSESSMENTS IN THE MANNER AND BY THE
12 OFFICERS PROVIDED BY LAW FOR THE COLLECTION AND ENFORCEMENT OF GENERAL
13 TAXES. THE DISTRICT AND THE COUNTY TREASURER MAY PROVIDE BY AGREEMENT FOR
14 THE PAYMENT OF THE COUNTY TREASURER'S COLLECTION EXPENSES DIRECTLY RELATED
15 TO THE LEVY OF THE ASSESSMENT AND, IF SO PROVIDED, THE LEVY OF THE
16 ASSESSMENT MAY INCLUDE AN AMOUNT FOR COMPENSATION OF THE COUNTY TREASURER
17 DIRECTLY RELATED TO THE COLLECTION OF THE ASSESSMENT. THE COMPENSATION
18 RECEIVED BY THE COUNTY TREASURER PURSUANT TO THE AGREEMENT SHALL BE
19 GOVERNED BY SECTION 11-496. THE BOARD MAY ALSO ISSUE AND SELL BOND
20 ANTICIPATION NOTES PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTION
21 48-2081 OR WITH PROCEDURES AS SIMILAR TO THOSE AS IS PRACTICABLE. THE
22 ASSESSMENT SHALL BE A FIRST LIEN ON THE PROPERTY ASSESSED SUBJECT ONLY TO
23 GENERAL PROPERTY TAXES AND PRIOR ASSESSMENTS. IN THE EVENT OF NONPAYMENT
24 OF AN ASSESSMENT AND EXCEPT AS OTHERWISE PROVIDED IN AN AGREEMENT BETWEEN
25 THE DISTRICT AND THE COUNTY TREASURER PURSUANT TO THIS SECTION, THE
26 PROCEDURES FOR COLLECTION OF DELINQUENT ASSESSMENTS, SALE OF DELINQUENT
27 PROPERTY AND ISSUANCE AND EFFECT OF THE DEED PRESCRIBED BY SECTIONS 48-601
28 THROUGH 48-607 APPLY, AS NEARLY AS PRACTICABLE, EXCEPT THAT THE DISTRICT,
29 A MUNICIPALITY, A COUNTY OR THE STATE IS NOT REQUIRED TO PURCHASE THE
30 DELINQUENT LAND AT THE SALE IF THERE IS NO OTHER PURCHASER. IF THE
31 LANDOWNER OWNS MORE THAN ONE PARCEL IN THE DISTRICT, THE BOARD MAY PROVIDE
32 PROCEDURES FOR THE COLLECTION AND ENFORCEMENT OF ASSESSMENTS AS THE BOARD
33 DEEMS APPROPRIATE BY CONTRACT WITH A LANDOWNER TO ALLOW THE SALE OF ANY OR
34 ALL OF THE LANDOWNER'S PARCELS IN THE DISTRICT IF THE LANDOWNER BECOMES
35 DELINQUENT AS TO ANY PARCEL THAT THE LANDOWNER OWNS IN THE DISTRICT.

36 C. ON ADOPTION OF THE RESOLUTION, BUT BEFORE ISSUANCE OF THE
37 ASSESSMENT BONDS, THE DISTRICT MAY DIRECT THE TREASURER TO MAKE DEMAND ON
38 THE OWNERS OF THE PROPERTY SO ASSESSED, AS SHOWN ON THE PROPERTY TAX ROLL,
39 FOR ADVANCE PAYMENT OF THE AMOUNT ASSESSED. THE DEMAND SHALL STATE A DATE
40 NOT LESS THAN TWENTY DAYS AFTER THE DATE OF ADOPTION OF THE RESOLUTION
41 AFTER WHICH THE TREASURER MAY REFUSE TO ACCEPT ADVANCE PAYMENTS OF THE
42 ASSESSMENT. THE TREASURER SHALL CERTIFY TO THE CLERK ON OR AFTER THE DATE
43 SPECIFIED IN THE DEMAND THE AMOUNT COLLECTED AND THE ASSESSMENTS REMAINING
44 UNPAID AGAINST EACH PARCEL OF LAND ASSESSED. ASSESSMENT BONDS MAY NOT BE
45 ISSUED IN AN AMOUNT IN EXCESS OF THE AMOUNT ASSESSED IN THE RESOLUTION OR,
46 IF ADVANCE PAYMENTS ARE DEMANDED, THE AMOUNT CERTIFIED TO THE CLERK. THE

1 DISTRICT MAY ADOPT PROCEDURES FOR PREPAYMENT AND PROVISIONS FOR PAYMENT
2 AND REALLOCATION OF ASSESSMENTS.

3 D. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
4 ASSESSMENT BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
5 YEARS.

6 48-7024. Revenue bonds

7 A. AT ANY TIME AFTER THE HEARING ON FORMATION OF THE DISTRICT, THE
8 BOARD MAY HOLD A HEARING ON THE QUESTION OF AUTHORIZING THE BOARD TO ISSUE
9 REVENUE BONDS OF THE DISTRICT TO PROVIDE MONIES FOR ANY INFRASTRUCTURE
10 PURPOSES CONSISTENT WITH THE GENERAL PLAN.

11 B. IF REVENUE BONDS ARE APPROVED BY RESOLUTION, THE BOARD MAY ISSUE
12 AND SELL REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED
13 THIRTY YEARS.

14 C. THE BOARD MAY PLEDGE TO THE PAYMENT OF ITS REVENUE BONDS ANY
15 REVENUES OF THE DISTRICT OR REVENUES TO BE COLLECTED BY A MUNICIPALITY OR
16 A COUNTY IN TRUST FOR THE DISTRICT AND RETURNED TO THE DISTRICT.

17 D. THE DISTRICT SHALL PRESCRIBE FEES AND CHARGES, AND SHALL REVISE
18 THEM WHEN NECESSARY, TO GENERATE REVENUE SUFFICIENT, TOGETHER WITH ANY
19 MONIES FROM THE SOURCES DESCRIBED IN SECTION 48-7007, TO PAY WHEN DUE THE
20 PRINCIPAL AND INTEREST OF ALL REVENUE BONDS FOR THE PAYMENT OF WHICH
21 REVENUE HAS BEEN PLEDGED. THE ESTABLISHMENT OR REVISION OF ANY RATES,
22 FEES AND CHARGES SHALL BE IDENTIFIED AND NOTICED CONCURRENTLY WITH THE
23 ANNUAL BUDGET PROCESS OF THE DISTRICT PURSUANT TO SECTION 48-7027.

24 E. IF, IN THE RESOLUTION OF THE BOARD, THE REVENUES TO BE PLEDGED
25 ARE LIMITED TO CERTAIN TYPES OF REVENUES, ONLY THOSE TYPES OF REVENUES MAY
26 BE PLEDGED AND ONLY THOSE REVENUES MUST BE MAINTAINED.

27 F. A HOLDER OF REVENUE BONDS ISSUED UNDER THIS CHAPTER MAY NOT
28 COMPEL ANY EXERCISE OF THE TAXING POWER OF THE DISTRICT, A MUNICIPALITY,
29 THE COUNTY OR THIS STATE TO PAY THE BONDS OR THE INTEREST ON THE BONDS.
30 REVENUE BONDS ISSUED UNDER THIS CHAPTER ARE NOT A DEBT OF THE DISTRICT, A
31 MUNICIPALITY, THE COUNTY OR THIS STATE, NOR IS THE PAYMENT OF REVENUE
32 BONDS ENFORCEABLE OUT OF ANY MONIES OTHER THAN THE REVENUE PLEDGED TO THE
33 PAYMENT OF THE BONDS.

34 G. THE DISTRICT MAY ISSUE AND SELL REFUNDING BONDS TO REFUND ANY
35 REVENUE BONDS OF THE DISTRICT, THE TERM OF WHICH MAY NOT EXCEED THIRTY
36 YEARS.

37 48-7025. Terms of bonds

38 A. WITH RESPECT TO ANY BONDS, THE BOARD SHALL PRESCRIBE THE
39 DENOMINATIONS OF THE BONDS, THE SIZE OF EACH ISSUE AND THE FORM OF THE
40 BONDS AND SHALL ESTABLISH THE MATURITIES, INTEREST PAYMENT DATES AND
41 INTEREST RATES, WHETHER FIXED OR VARIABLE, NOT EXCEEDING THE MAXIMUM RATE
42 STATED IN THE NOTICE OF THE ELECTION OR THE RESOLUTION OF THE BOARD. THE
43 BONDS MAY BE SOLD BY COMPETITIVE BID OR NEGOTIATED SALE FOR PUBLIC OR
44 PRIVATE OFFERING AT, BELOW OR ABOVE PAR. IF THE BONDS ARE SOLD BELOW PAR,
45 THE AGGREGATE AMOUNT OF DISCOUNT AND INTEREST TO BE PAID ON THE BONDS
46 SHALL NOT EXCEED THE AMOUNT OF INTEREST THAT WOULD HAVE BEEN PAYABLE ON

1 THOSE BONDS PURSUANT TO THE MATURITY SCHEDULE PRESCRIBED BY THE BOARD AT
2 THE MAXIMUM RATE SET OUT IN THE BOND RESOLUTION.

3 B. IF GENERAL OBLIGATION BONDS OF THE DISTRICT ARE SOLD ABOVE PAR,
4 THE AMOUNT OF NET PREMIUM ASSOCIATED WITH A GENERAL OBLIGATION BOND ISSUE
5 MAY BE USED ONLY FOR THE FOLLOWING PURPOSES:

6 1. TO PAY ANY OR ALL COSTS INCURRED IN ISSUING THE GENERAL
7 OBLIGATION BONDS.

8 2. AS A DEPOSIT IN A DEBT SERVICE FUND AND USED ONLY TO PAY
9 INTEREST ON THE ISSUE OF GENERAL OBLIGATION BONDS.

10 C. IF USED FOR ANY PURPOSE OTHER THAN AS PRESCRIBED IN SUBSECTION B
11 OF THIS SECTION, AND IF THE DISTRICT HAS GENERAL OBLIGATION BOND VOTER
12 AUTHORIZATION AND AVAILABLE CAPACITY UNDER ITS DEBT LIMITATIONS PRESCRIBED
13 BY SECTION 48-7021, SUBSECTION A, THE AMOUNT OF NET PREMIUM USED FOR THAT
14 PURPOSE SHALL REDUCE IN AN EQUAL AMOUNT BOTH THE AVAILABLE AGGREGATE
15 INDEBTEDNESS CAPACITY OF THE DISTRICT PRESCRIBED IN SECTION 48-7021,
16 SUBSECTION A AND THE PRINCIPAL AMOUNT AUTHORIZED AT THE GENERAL OBLIGATION
17 BOND ELECTION FOR THE DISTRICT FROM WHICH THE ISSUE OF GENERAL OBLIGATION
18 BONDS IS BEING SOLD. ANY NET PREMIUM THAT IS USED AS PRESCRIBED IN THIS
19 SUBSECTION SHALL BE AMORTIZED FOR ALL DEBT LIMITATION PURPOSES ON A PRO
20 RATA BASIS EACH YEAR BY MULTIPLYING THE NET PREMIUM USED BY A PERCENTAGE
21 EQUAL TO THE PERCENTAGE OF THE TOTAL PRINCIPAL AMOUNT OF THE GENERAL
22 OBLIGATION BOND ISSUE THAT MATURES IN THAT YEAR.

23 D. THE PROCEEDS OF THE SALES SHALL BE DEPOSITED WITH THE TREASURER,
24 OR WITH A TRUSTEE OR AGENT DESIGNATED BY THE BOARD, TO THE CREDIT OF THE
25 DISTRICT TO BE WITHDRAWN FOR THE PURPOSES PROVIDED BY THIS CHAPTER.
26 PENDING THAT USE, THE PROCEEDS MAY BE INVESTED AS DETERMINED BY THE
27 DISTRICT. THE BONDS MAY CONTAIN TERMS, CONDITIONS, COVENANTS AND
28 AGREEMENTS AS THE BOARD DEEMS PROPER. THE BONDS MAY BE PAYABLE FROM ANY
29 COMBINATION OF AD VALOREM TAXES, REVENUES OR ASSESSMENTS OF THE TYPES
30 DESCRIBED IN THIS CHAPTER AND AS SPECIFIED IN THE BONDS IF ALL APPLICABLE
31 REQUIREMENTS ARE MET.

32 48-7026. O/M taxes; election; annual financial estimate and
33 budget; hearing

34 A. AT ANY TIME AFTER THE RECORDING OF A FORMATION ORDER, THE BOARD
35 MAY CALL AN ELECTION TO SUBMIT TO THE PERSONS WHO ARE ELIGIBLE TO VOTE IN
36 THE DISTRICT AS PRESCRIBED IN SECTION 48-7041 THE QUESTION OF AUTHORIZING
37 THE BOARD TO LEVY AN O/M TAX ON THE NET LIMITED ASSESSED PROPERTY
38 VALUATION OF PROPERTY IN THE DISTRICT AT A RATE OR RATES THAT DO NOT
39 EXCEED THE MAXIMUM RATE OR RATES SPECIFIED IN THE BALLOT. THE MAXIMUM
40 RATE SPECIFIED IN THE ORIGINAL BALLOT MUST BE APPROVED BY A MAJORITY OF
41 THE PERSONS WHO ARE ELIGIBLE TO VOTE IN THE DISTRICT AS PRESCRIBED IN
42 SECTION 48-7041, VOTING IN A REGULAR OR SPECIAL ELECTION AT LEAST EVERY
43 SEVEN YEARS AFTER THE DATE OF THE INITIAL IMPOSITION, IF AN ELECTION IS
44 NOT REQUIRED TO LEVY AN O/M TAX AT THE RATE DETERMINED BY THE BOARD TO BE
45 NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS AND
46 ENSURE REPAYMENT OF THE DISTRICT'S OUTSTANDING BONDS AND OBLIGATIONS. ALL
47 O/M TAXES SHALL BE USED FOR THE OPERATION AND MAINTENANCE EXPENSES OF THE

1 DISTRICT, INCLUDING LEGAL EXPENSES AND EXPENSES THAT ARE ASSOCIATED WITH
2 INSURANCE COVERAGE, AND SHALL NOT EXCEED AN AMOUNT EQUAL TO \$.30 PER \$100
3 OF ASSESSED VALUATION FOR ALL REAL AND PERSONAL PROPERTY IN THE DISTRICT.
4 THE BOARD BY SIMPLE MAJORITY VOTE MAY REDUCE OR ELIMINATE ANY PORTION OF
5 THE O/M TAX IMPOSED BY THE DISTRICT THAT THE BOARD DETERMINES IS NOT
6 NECESSARY TO MAINTAIN THE DISTRICT'S FACILITIES AND IMPROVEMENTS. IF NO
7 BONDS OR OBLIGATIONS REMAIN OUTSTANDING, A DISTRICT SHALL NOT LEVY AN O/M
8 TAX IN ANY YEAR FOLLOWING COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE
9 DISTRICT'S GENERAL PLAN.

10 B. THE DISTRICT MAY NOT LEVY AN O/M TAX AT A RATE OR RATES IN
11 EXCESS OF THE MAXIMUM RATE SPECIFIED IN THE FORMATION ORDER.

12 C. WHEN LEVYING AN O/M TAX, THE BOARD SHALL MAKE ANNUAL STATEMENTS
13 AND ESTIMATES OF THE OPERATION AND MAINTENANCE EXPENSES OF THE DISTRICT
14 AND THE AMOUNT OF ALL OTHER EXPENDITURES FOR PUBLIC INFRASTRUCTURE
15 PROPOSED TO BE PAID FROM THE O/M TAX LEVY OR LEVIES, ALL OF WHICH SHALL BE
16 PROVIDED FOR BY THE LEVY AND COLLECTION OF AD VALOREM TAXES ON THE
17 ASSESSED VALUE OF ALL THE REAL AND PERSONAL PROPERTY IN THE DISTRICT. THE
18 BOARD SHALL FILE THE ANNUAL STATEMENTS AND ESTIMATES WITH THE CLERK. THE
19 BOARD SHALL PUBLISH A NOTICE OF THE FILING OF THE ESTIMATE, SHALL HOLD
20 HEARINGS ON THE PORTIONS OF THE ESTIMATE NOT RELATING TO DEBT SERVICE ON
21 BONDS AND SHALL ADOPT A BUDGET. THE BOARD, ON OR BEFORE THE DATE SET BY
22 LAW FOR CERTIFYING THE ANNUAL BUDGET OF THE COUNTY OR MUNICIPALITY, SHALL
23 FIX, LEVY AND ASSESS THE AMOUNTS TO BE RAISED BY O/M TAXES OF THE DISTRICT
24 AND SHALL CAUSE CERTIFIED COPIES OF THE ORDER TO BE DELIVERED TO THE BOARD
25 OF SUPERVISORS AND TO THE DEPARTMENT OF REVENUE. ALL STATUTES RELATING TO
26 THE LEVY AND COLLECTION OF GENERAL COUNTY TAXES, INCLUDING THE COLLECTION
27 OF DELINQUENT TAXES AND SALE OF PROPERTY FOR NONPAYMENT OF TAXES, APPLY TO
28 THE DISTRICT TAXES PROVIDED FOR BY THIS SECTION.

29 48-7027. Budget; hearing

30 ON OR BEFORE JULY 15 EACH YEAR, THE TREASURER SHALL PREPARE A
31 PROPOSED BUDGET FOR THE ENSUING FISCAL YEAR TO BE SUBMITTED TO THE BOARD
32 FOR APPROVAL. THE BOARD SHALL INDICATE ITS APPROVAL OF THE BUDGET BY
33 RESOLUTION, WHICH SHALL PROVIDE FOR A HEARING ON THE BUDGET AS APPROVED.
34 THE PARTICIPATING ENTITIES MAY REVIEW THE PROPOSED ANNUAL BUDGET AND MAY
35 SUBMIT WRITTEN COMMENTS TO THE BOARD FOR ITS ASSISTANCE AND INFORMATION IN
36 ADOPTING ITS ANNUAL BUDGET. AT THE CONCLUSION OF THE BUDGET HEARING, THE
37 BOARD, BY RESOLUTION, SHALL ADOPT THE BUDGET AS FINALLY APPROVED BY THE
38 BOARD. THE BUDGET SHALL BE ADOPTED BEFORE OCTOBER 1 EACH YEAR.

39 48-7028. Display of district taxes and assessments on
40 property tax bills

41 A. ANY AD VALOREM TAX THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
42 CHAPTER SHALL BE SHOWN ON EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM
43 THAT:

44 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
45 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

46 2. IDENTIFIES THE NAME OF THE DISTRICT.

1 B. ANY ASSESSMENT THAT IS LEVIED BY A DISTRICT PURSUANT TO THIS
2 CHAPTER AND THAT IS COLLECTED BY THE COUNTY TREASURER SHALL BE SHOWN ON
3 EACH PROPERTY TAX BILL AS A SEPARATE LINE ITEM THAT:

4 1. STATES THAT THE DISTRICT IS "STATE-CERTIFIED" TO INDICATE THAT
5 ITS FORMATION WAS APPROVED BY THE AUTHORITY.

6 2. IDENTIFIES THE NAME OF THE DISTRICT.

7 ARTICLE 3. OPERATIONS

8 48-7041. Notice and conduct of elections; eligible voters

9 A. ANY ELECTION UNDER THIS ARTICLE SHALL BE A NONPARTISAN ELECTION
10 AND NOT A GENERAL ELECTION AND IS NOT SUBJECT TO THE REQUIREMENTS
11 APPLICABLE TO ELECTIONS FOR GENERAL GOVERNMENTAL BODIES, INCLUDING
12 ONE-PERSON-ONE-VOTE PRINCIPLES. AN ELECTION UNDER THIS ARTICLE SHALL BE
13 CALLED BY POSTING NOTICES IN THREE PUBLIC PLACES WITHIN THE BOUNDARIES OF
14 THE DISTRICT NOT LESS THAN TWENTY DAYS BEFORE THE ELECTION. ANY ELECTION
15 MAY BE CONDUCTED AS A MAIL BALLOT ELECTION IN THE MANNER PRESCRIBED IN
16 TITLE 16, CHAPTER 4, ARTICLE 8.1 AS NEARLY AS PRACTICABLE. IF THE
17 ELECTION NOTICE IS NOT MAILED TO THE PROPERTY OWNERS AND, IF APPLICABLE,
18 TO THE QUALIFIED ELECTORS, THE NOTICE SHALL ALSO BE PUBLISHED IN A
19 NEWSPAPER OF GENERAL CIRCULATION IN THE MUNICIPALITY, OR IF THERE IS NO
20 NEWSPAPER SO CIRCULATED IN THE MUNICIPALITY OR IF THE DISTRICT IS LOCATED
21 IN AN UNINCORPORATED AREA, IN A NEWSPAPER OF GENERAL CIRCULATION IN THE
22 COUNTY IN WHICH THE DISTRICT IS LOCATED ONCE A WEEK FOR TWO CONSECUTIVE
23 WEEKS BEFORE THE ELECTION. THE NOTICE SHALL STATE:

24 1. THE PLACE OF HOLDING THE ELECTION.

25 2. THE HOURS DURING THE DAY, NOT LESS THAN SIX, IN WHICH THE POLLS
26 WILL BE OPEN.

27 3. IF IT IS A BOND ELECTION, THE AMOUNT OF BONDS TO BE AUTHORIZED
28 FOR THE DISTRICT, THE MAXIMUM RATE OF INTEREST TO BE BORNE ON THE BONDS,
29 THE MAXIMUM TERM OF THE BONDS, NOT EXCEEDING THIRTY YEARS, AND THE
30 PURPOSES FOR WHICH THE MONIES RAISED WILL BE USED.

31 4. IF IT IS AN AD VALOREM TAX LEVY ELECTION PURSUANT TO SECTION
32 48-7022 OR 48-7023, THE MAXIMUM TAX RATE PER \$100 OF NET ASSESSED LIMITED
33 PROPERTY VALUATION TO BE IMPOSED, THE PURPOSES FOR WHICH THE MONIES RAISED
34 WILL BE USED AND THE EXISTING MAXIMUM AUTHORIZED TAX RATE.

35 5. IF IT IS AN ASSESSMENT LEVY ELECTION PURSUANT TO SECTION
36 48-7023, THE MAXIMUM ASSESSMENT RATE TO BE IMPOSED, THE PURPOSES FOR WHICH
37 THE MONIES RAISED WILL BE USED AND THE EXISTING MAXIMUM ASSESSMENT RATE,
38 IF ANY.

39 6. THAT A GENERAL PLAN IS ON FILE WITH THE CLERK.

40 B. THE BOARD SHALL DETERMINE THE DATE OF THE ELECTION AND, IF
41 APPLICABLE, THE POLLING PLACES FOR THE ELECTION AND MAY CONSOLIDATE
42 PRECINCTS. THE CLERK OF THE BOARD SHALL PREPARE A LIST OF ELIGIBLE VOTERS
43 IN THE ELECTION. A PROSPECTIVE LANDOWNER VOTER SHALL EXECUTE AN AFFIDAVIT
44 STATING THAT THE VOTER IS THE OWNER OF LAND IN THE DISTRICT AND IS
45 QUALIFIED TO VOTE PURSUANT TO THIS SECTION AND STATING THE PARCEL NUMBER
46 OWNED BY THE VOTER. ELECTION BOARD MEMBERS MAY ADMINISTER OATHS OR TAKE

1 ALL AFFIRMATIONS FOR THESE PURPOSES. AN ELECTION HELD PURSUANT TO THIS
2 ARTICLE IS NOT SUBJECT TO TITLE 16, CHAPTER 2, ARTICLE 3.

3 C. ONLY THE OWNERS OF REAL PROPERTY IN THE DISTRICT AND THEIR
4 DESIGNATED REPRESENTATIVES ARE ELIGIBLE TO VOTE IN AN ELECTION REGARDING
5 AN AD VALOREM TAX LEVY ELECTION, AN ASSESSMENT ELECTION, AN O/M TAX
6 ELECTION, AN ELECTION FOR THE BOARD OF DIRECTORS OF THE DISTRICT AND IN AN
7 ELECTION FOR DISSOLUTION. VOTING ELIGIBILITY IS BASED ON OWNERSHIP OF
8 REAL PROPERTY SUBJECT TO TAXATION OR ASSESSMENT BY THE DISTRICT.
9 CORPORATIONS, PARTNERSHIPS AND OTHER BUSINESS ENTITIES ARE ELIGIBLE TO
10 VOTE AS PROPERTY OWNERS, BUT ONLY ONE VOTE MAY BE CAST FOR EACH
11 ONE-SEVENTH OF AN ACRE OF REAL PROPERTY IN THE DISTRICT, EXCEPT THAT ANY
12 FRACTION OF OWNERSHIP OF REAL PROPERTY THAT IS LESS THAN ONE-SEVENTH OF AN
13 ACRE ENTITLES THE OWNER TO CAST ONE VOTE. A MAJORITY OF THE ACREAGE AS
14 REPRESENTED BY THE VOTES CAST AT AN ELECTION CONDUCTED SOLELY UNDER THE
15 ACREAGE SYSTEM SHALL DETERMINE THE RESULT. AN ACREAGE SYSTEM ELECTION
16 SHALL BE CONDUCTED PURSUANT TO THE PROCEDURES PRESCRIBED IN SECTIONS
17 48-3042 THROUGH 48-3051 AS NEARLY AS PRACTICABLE. QUALIFIED ELECTORS ARE
18 ELIGIBLE TO VOTE IN AN ELECTION REGARDING GENERAL OBLIGATION BONDS.

19 D. EXCEPT AS OTHERWISE PROVIDED BY THIS ARTICLE, THE ELECTION SHALL
20 COMPLY WITH THE GENERAL ELECTION LAWS OF THIS STATE, EXCEPT THAT THE WORDS
21 TO APPEAR ON THE BALLOTS SHALL BE FOR A BOND ELECTION "BONDS, YES" AND
22 "BONDS, NO", FOR A TAX ELECTION IF NO TAX IS IN PLACE "TAX, YES" AND "TAX,
23 NO", FOR AN ASSESSMENT LEVY ELECTION "ASSESSMENT, YES" AND "ASSESSMENT,
24 NO" AND FOR A TAX ELECTION TO CHANGE AN EXISTING MAXIMUM OR ELIMINATE AN
25 EXISTING TAX "TAX CHANGE, YES" AND "TAX CHANGE, NO". THE RETURNS OF
26 ELECTION SHALL BE MADE TO THE BOARD.

27 E. WITHIN FOURTEEN DAYS AFTER AN ELECTION, THE BOARD SHALL MEET AND
28 CANVASS THE RETURNS. IF THE MAJORITY OF ACREAGE AS REPRESENTED BY THE
29 VOTES CAST AT THE ELECTION IS IN FAVOR OF IMPOSING THE TAX, THE BOARD
30 SHALL ENTER THAT FACT ON ITS MINUTES. THE CANVASS MAY BE CONTINUED FROM
31 TIME TO TIME. FAILURE OF A MAJORITY TO VOTE IN FAVOR OF THE MATTER
32 SUBMITTED DOES NOT PREJUDICE THE SUBMISSION OF THE SAME OR SIMILAR MATTERS
33 AT A LATER ELECTION. ANY CHALLENGE TO THE CONDUCT OR OUTCOME OF AN
34 ELECTION HELD PURSUANT TO THIS CHAPTER MUST BE COMMENCED WITHIN THIRTY
35 DAYS AFTER THE CANVASS OF THE ELECTION AND SHALL BE LIMITED TO WHETHER THE
36 DISTRICT COMPLIED WITH THE PROCEDURAL REQUIREMENTS OF THIS CHAPTER.

37 F. IF A PERSON LISTED ON THE ASSESSMENT ROLL IS NO LONGER THE OWNER
38 OF LAND IN THE DISTRICT AND THE NAME OF THE SUCCESSOR OWNER BECOMES KNOWN
39 AND IS VERIFIED BY RECORDED DEED OR OTHER SIMILAR EVIDENCE OF TRANSFER OF
40 OWNERSHIP, THE SUCCESSOR OWNER IS DEEMED TO BE THE OWNER FOR THE PURPOSES
41 OF THIS ARTICLE.

42 G. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF NO
43 PERSON HAS REGISTERED TO VOTE WITHIN THE DISTRICT WITHIN FIFTY DAYS
44 IMMEDIATELY PRECEDING ANY SCHEDULED ELECTION DATE, ANY ELECTION REQUIRED
45 TO BE HELD PURSUANT TO THIS ARTICLE SHALL BE HELD WITH THE VOTE BY THE
46 OWNERS OF LAND WITHIN THE DISTRICT WHO ARE QUALIFIED ELECTORS OF THIS
47 STATE AND OTHER LANDOWNERS ACCORDING TO SECTION 48-3043. EACH OWNER HAS

1 THE NUMBER OF VOTES OR PORTION OF VOTES EQUAL TO THE NUMBER OF ACRES OR
2 PORTION OF ACRES ROUNDED UPWARD TO THE NEAREST ONE-FIFTH OF AN ACRE OWNED
3 IN THE DISTRICT BY THAT PERSON.

4 H. NOTWITHSTANDING ANY OTHER PROVISION OF THIS ARTICLE, IF THE
5 DISTRICT RECEIVES A CONSENT TO WAIVER SIGNED BY OWNERS OF ALL OF THE LAND
6 IN THE DISTRICT, THE DISTRICT MAY WAIVE ANY OR ALL REQUIREMENTS OF
7 POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND LANDOWNER ELECTION
8 OTHERWISE REQUIRED IN CONNECTION WITH ASSESSMENTS OR ASSESSMENT BONDS. ON
9 RECEIPT OF SUCH CONSENT TO WAIVER, THE DISTRICT MAY LEVY THE ASSESSMENT
10 AND ISSUE THE ASSESSMENT BONDS WITHOUT BEING REQUIRED TO COMPLY WITH THE
11 PROVISIONS OF THIS ARTICLE FOR POSTING, PUBLICATION, MAILING, NOTICE,
12 HEARING OR LANDOWNER ELECTION.

13 48-7042. Recording documents

14 THE DISTRICT SHALL FILE AND RECORD WITH THE COUNTY RECORDER THE
15 FORMATION ORDER, THE GENERAL PLAN OF THE DISTRICT, THE CANVASS OF ANY
16 GENERAL OBLIGATION BOND ELECTION AND ANY ASSESSMENTS LEVIED BY THE
17 DISTRICT. COPIES OF ALL SUCH INFORMATION SHALL BE PROVIDED TO THE STATE
18 REAL ESTATE DEPARTMENT.

19 48-7043. District website; required content; coordination
20 with seller disclosures

21 A. THE BOARD SHALL ESTABLISH AND MAINTAIN AN OFFICIAL WEBSITE THAT
22 IS ELECTRONICALLY SEARCHABLE BY THE PUBLIC AND THAT CONTAINS A
23 COMPREHENSIVE DATABASE OF DISTRICT CONTRACTS, PUBLIC NOTICES, MEETING
24 MINUTES, RESOLUTIONS AND ACCOUNTS SHOWING, ON AN AGGREGATE AND SUMMARY
25 BASIS, ALL MONIES RECEIVED AND DISBURSED, THE ANNUAL BUDGET AND OTHER
26 RECORDS REQUIRED TO BE MAINTAINED BY LAW. THE BOARD SHALL PROVIDE A LINK
27 TO THE DATABASE ON THE DISTRICT'S MAIN WEBSITE MAINTAINED BY THE BOARD AND
28 SHALL PROVIDE A LINK TO THAT DATABASE TO THE DEPARTMENT OF ADMINISTRATION.
29 THE DATABASE MAY NOT INCLUDE:

30 1. TAX PAYMENT OR REFUND DATA THAT INCLUDES CONFIDENTIAL TAXPAYER
31 INFORMATION.

32 2. WORK PRODUCT IN ANTICIPATION OF LITIGATION OR OTHER INFORMATION
33 THAT IS SUBJECT TO ATTORNEY-CLIENT PRIVILEGE.

34 3. ANY OTHER INFORMATION THAT IS DESIGNATED BY LAW AS CONFIDENTIAL.

35 B. THE DISTRICT SHALL KEEP THE WEBSITE CURRENT AND SHALL POST, IN
36 ADDITION TO THE INFORMATION DESCRIBED IN SUBSECTION A OF THIS SECTION, ALL
37 OF THE FOLLOWING INFORMATION:

38 1. THE DISTRICT'S LEGAL NAME, COMMON NAME, IF ANY, STATUTORY
39 AUTHORITY, FORMATION DATE AND THE BOUNDARIES OF THE DISTRICT, INCLUDING AT
40 LEAST ONE MAP IN A DOWNLOADABLE FORMAT.

41 2. A COPY OF THE FORMATION ORDER AND THE GENERAL PLAN.

42 3. A STATEMENT THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
43 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER, AND THAT
44 THE DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND
45 THE COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES,
46 ASSESSMENTS, FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE

1 DISTRICT AND ARE NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE
2 MUNICIPALITY OR THE COUNTY.

3 4. A PLAIN-LANGUAGE DESCRIPTION OF THE PURPOSE FOR WHICH THE
4 DISTRICT WAS FORMED AND THE PUBLIC INFRASTRUCTURE THE DISTRICT IS
5 AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
6 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
7 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
8 THE DISTRICT.

9 5. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
10 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

11 6. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
12 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

13 7. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
14 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
15 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
16 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
17 SOURCES PLEDGED FOR REPAYMENT.

18 8. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
19 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
20 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

21 9. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
22 BOARD, THE CLERK AND THE TREASURER.

23 10. NOTICES OF ALL REGULAR AND SPECIAL MEETINGS OF THE BOARD,
24 AGENDAS AND MINUTES, POSTED IN A TIMELY MANNER.

25 11. ANY ANNUAL REPORTS, AUDITS OR FINANCIAL REVIEWS REQUIRED TO BE
26 FILED WITH A COUNTY, THIS STATE OR ANY OTHER PUBLIC BODY AND ANY
27 ADDITIONAL REPORTS THE DISTRICT ELECTS TO PROVIDE FOR PUBLIC TRANSPARENCY.

28 12. A SUMMARY OF THE ANTICIPATED COMMUNITY BENEFITS OF FORMING THE
29 DISTRICT, INCLUDING EXPECTED IMPACTS ON PUBLIC INFRASTRUCTURE TIMING,
30 HOUSING ATTAINABILITY AND ECONOMIC DEVELOPMENT, TOGETHER WITH A
31 DESCRIPTION OF ANY MATERIAL RISKS ASSOCIATED WITH DISTRICT FORMATION AND
32 IMPLEMENTATION OF THE GENERAL PLAN, INCLUDING POTENTIAL TAX, ASSESSMENT
33 AND FISCAL IMPACTS ON OWNERS OF REAL PROPERTY IN THE DISTRICT.

34 C. THE DISTRICT SHALL ALSO MAKE AVAILABLE ON THE WEBSITE, IN A FORM
35 THAT CAN BE DOWNLOADED AND PROVIDED TO A PURCHASER, A STANDARDIZED
36 "DISTRICT DISCLOSURE NOTICE" THAT INCLUDES:

37 1. A BRIEF DESCRIPTION OF THE DISTRICT AND ITS POWERS TO LEVY AD
38 VALOREM TAXES, ASSESSMENTS, FEES AND CHARGES.

39 2. THE MOST RECENT AD VALOREM TAX RATE OR ASSESSMENT RATE IMPOSED
40 BY THE DISTRICT AND A SAMPLE CALCULATION OF THE ESTIMATED ANNUAL AD
41 VALOREM TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE
42 SELECTED BY THE BOARD.

43 3. A STATEMENT THAT ACTUAL AD VALOREM TAXES, ASSESSMENTS, FEES AND
44 CHARGES ON A PARTICULAR PROPERTY MAY DIFFER BASED ON CHANGES IN TAX RATES,
45 ASSESSED VALUE AND DISTRICT FINANCING DECISIONS.

46 4. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT IS
47 AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC

1 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
2 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
3 THE DISTRICT.

4 5. A STATEMENT DIRECTING PROSPECTIVE PURCHASERS TO THE DISTRICT
5 WEBSITE FOR ADDITIONAL AND UPDATED INFORMATION.

6 D. A SELLER OF PROPERTY LOCATED IN THE DISTRICT WHO IS REQUIRED BY
7 LAW TO PROVIDE A DISTRICT DISCLOSURE TO A PURCHASER MAY SATISFY ANY
8 REQUIREMENT TO DESCRIBE THE DISTRICT'S PURPOSES, POWERS, TAX RATES OR
9 INDEBTEDNESS BY:

10 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
11 DISTRICT DISCLOSURE NOTICE DESCRIBED IN SUBSECTION C OF THIS SECTION.

12 2. IDENTIFYING IN WRITING THE DISTRICT'S WEBSITE ADDRESS ON OR
13 BEFORE THE DATE THE PURCHASER SIGNS A BINDING CONTRACT TO ACQUIRE THE
14 PROPERTY.

15 E. THE FAILURE OF THE DISTRICT TO TIMELY UPDATE ALL INFORMATION ON
16 THE WEBSITE DOES NOT RELIEVE A SELLER FROM ANY DUTY UNDER OTHER APPLICABLE
17 DISCLOSURE LAWS, BUT A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION
18 POSTED BY THE DISTRICT ON ITS WEBSITE AT THE TIME OF DISCLOSURE IS NOT
19 LIABLE FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
20 KNOWLEDGE OF THE INACCURACY.

21 48-7044. Annual report; bond report

22 A. NOT LATER THAN ONE HUNDRED EIGHTY DAYS AFTER THE END OF EACH
23 FISCAL YEAR, THE DISTRICT SHALL SUBMIT TO THE AUTHORITY AN ANNUAL REPORT
24 CONTAINING:

25 1. THE CURRENT YEAR'S ADOPTED BUDGET FOR THE DISTRICT AND THE TWO
26 MOST RECENT PRIOR YEARS' ADOPTED BUDGETS.

27 2. A SCHEDULE OF ALL AD VALOREM TAXES, ASSESSMENTS, FEES AND
28 CHARGES IMPOSED BY THE DISTRICT FOR THE CURRENT FISCAL YEAR.

29 3. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
30 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
31 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
32 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
33 SOURCES PLEDGED FOR REPAYMENT.

34 4. THE MAXIMUM AUTHORIZED TAX RATE, THE MAXIMUM AUTHORIZED
35 AGGREGATE PRINCIPAL AMOUNT OF GENERAL OBLIGATION BONDS, THE MAXIMUM
36 AGGREGATE ASSESSMENT AMOUNT AND THE MAXIMUM O/M TAX RATE.

37 5. THE NAMES, OFFICIAL TITLES AND CONTACT INFORMATION FOR THE
38 BOARD, THE CLERK AND THE TREASURER.

39 6. A BRIEF DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE DISTRICT
40 HAS ACQUIRED OR CONSTRUCTED.

41 7. THE NUMBER OF RESIDENTIAL HOUSING UNITS CONSTRUCTED WITHIN THE
42 DISTRICT.

43 B. NOT LATER THAN THIRTY DAYS AFTER THE ISSUANCE OF ANY BONDS, THE
44 DISTRICT SHALL SUBMIT TO THE AUTHORITY A BOND ISSUANCE REPORT CONTAINING:

45 1. THE FINAL OFFERING DOCUMENT, IF ANY, PURSUANT TO WHICH THE BONDS
46 WERE SOLD.

47 2. A DEBT SERVICE SCHEDULE FOR THE BONDS.

1 3. A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE FINANCED WITH THE
2 PROCEEDS OF THE BONDS.

3 4. IF THE BONDS ARE GENERAL OBLIGATION BONDS, A PROJECTION OF THE
4 AD VALOREM TAX RATE THAT IS REQUIRED TO SUPPORT DEBT SERVICE ON THE BONDS,
5 WHICH PROJECTED RATE DOES NOT EXCEED THE MAXIMUM AUTHORIZED TAX RATE.

6 5. IF THE BONDS ARE ASSESSMENT BONDS, THE MAXIMUM AGGREGATE
7 ASSESSMENT AND THE MAXIMUM PER-LOT ASSESSMENT LEVIED IN CONNECTION WITH
8 THE BONDS.

9 6. A DESCRIPTION OF ALL OUTSTANDING BONDS AND OTHER LONG-TERM
10 OBLIGATIONS OF THE DISTRICT, INCLUDING THE ORIGINAL PRINCIPAL AMOUNT,
11 CURRENT PRINCIPAL BALANCE, IF REASONABLY AVAILABLE, MAXIMUM AUTHORIZED
12 PRINCIPAL, FINAL MATURITY DATE AND A GENERAL DESCRIPTION OF THE REVENUE
13 SOURCES PLEDGED FOR REPAYMENT.

14 48-7045. Seller disclosure; form of notice

15 A. THIS SECTION APPLIES TO THE SALE OR OTHER CONVEYANCE OF ANY
16 RESIDENTIAL REAL PROPERTY THAT IS LOCATED WITHIN THE BOUNDARIES OF A
17 DISTRICT FORMED UNDER THIS CHAPTER AND THAT IS AUTHORIZED TO LEVY AN AD
18 VALOREM TAX, ASSESSMENT, FEE OR CHARGE THAT APPEARS AS A SEPARATE LINE
19 ITEM ON THE PROPERTY TAX BILL FOR THAT PROPERTY.

20 B. A SELLER OF RESIDENTIAL REAL PROPERTY TO WHICH THIS SECTION
21 APPLIES SHALL PROVIDE TO EACH PROSPECTIVE PURCHASER A WRITTEN "DISTRICT
22 DISCLOSURE NOTICE" THAT CONTAINS, AT A MINIMUM, THE INFORMATION DESCRIBED
23 IN SECTION 48-7043, SUBSECTION C AND THAT SUBSTANTIALLY COMPLIES WITH THE
24 FORM PRESCRIBED BY THE DISTRICT.

25 C. THE SELLER SHALL DELIVER THE DISTRICT DISCLOSURE NOTICE AS
26 FOLLOWS:

27 1. FOR A TRANSACTION IN WHICH THE PURCHASER SIGNS A WRITTEN OFFER,
28 THE SELLER SHALL DELIVER THE NOTICE TO THE PURCHASER ON OR BEFORE THE DATE
29 ON WHICH THE PURCHASER SIGNS A BINDING PURCHASE CONTRACT FOR THE PROPERTY.

30 2. FOR ANY OTHER TRANSACTION, THE SELLER SHALL DELIVER THE NOTICE
31 TO THE PURCHASER BEFORE THE PURCHASER BECOMES OBLIGATED UNDER ANY BINDING
32 AGREEMENT TO ACQUIRE THE PROPERTY.

33 D. A DISTRICT DISCLOSURE NOTICE SATISFIES THE SELLER'S OBLIGATION
34 UNDER THIS SECTION IF THE NOTICE:

35 1. IDENTIFIES THE DISTRICT BY LEGAL NAME AND COMMON NAME, IF ANY.

36 2. STATES THAT THE PROPERTY IS LOCATED WITHIN THE DISTRICT AND IS
37 SUBJECT TO THE DISTRICT'S TAXING AND ASSESSMENT AUTHORITY.

38 3. INCLUDES A BRIEF DESCRIPTION OF THE DISTRICT'S PURPOSES AND
39 POWERS, INCLUDING ITS AUTHORITY TO LEVY AD VALOREM TAXES, ASSESSMENTS,
40 FEES OR CHARGES AND A DESCRIPTION OF THE PUBLIC INFRASTRUCTURE THE
41 DISTRICT IS AUTHORIZED TO FINANCE, IDENTIFYING WHICH CATEGORIES OF PUBLIC
42 INFRASTRUCTURE ARE REQUIRED BY THE APPLICABLE MUNICIPALITY OR COUNTY AND
43 WHICH CATEGORIES ARE NOT REQUIRED BUT HAVE BEEN ELECTED TO BE FINANCED BY
44 THE DISTRICT.

1 4. STATES THE CURRENT AD VALOREM TAX RATE OR ASSESSMENT RATE
2 IMPOSED BY THE DISTRICT AND PROVIDES AN EXAMPLE OF THE ESTIMATED ANNUAL
3 TAX OR ASSESSMENT ON A HYPOTHETICAL RESIDENTIAL PROPERTY VALUE.

4 5. STATES THAT ACTUAL TAXES, ASSESSMENTS, FEES AND CHARGES ON THE
5 PROPERTY MAY CHANGE OVER TIME AND MAY DIFFER FROM THE EXAMPLE PROVIDED.

6 6. STATES THAT THE FORMATION OF THE DISTRICT WAS REVIEWED AND
7 APPROVED BY THE AUTHORITY DESIGNATED PURSUANT TO THIS CHAPTER AND THAT THE
8 DISTRICT IS A SEPARATE POLITICAL SUBDIVISION FROM THE MUNICIPALITY AND THE
9 COUNTY IN WHICH IT IS LOCATED AND THAT ANY AD VALOREM TAXES, ASSESSMENTS,
10 FEES OR CHARGES IMPOSED BY THE DISTRICT ARE LEVIED BY THE DISTRICT AND ARE
11 NOT TAXES, ASSESSMENTS, FEES OR CHARGES OF THE MUNICIPALITY OR THE COUNTY.

12 7. PROVIDES THE INTERNET WEBSITE ADDRESS FOR THE DISTRICT AND
13 ADVISES THE PURCHASER THAT ADDITIONAL AND UPDATED INFORMATION REGARDING
14 THE DISTRICT'S FINANCES, MEETINGS AND OPERATIONS IS AVAILABLE ON THAT
15 WEBSITE.

16 E. A SELLER MAY SATISFY THE DISCLOSURE REQUIREMENTS OF THIS SECTION
17 BY:

18 1. PROVIDING THE PURCHASER WITH A CURRENT COPY OF THE STANDARDIZED
19 DISTRICT DISCLOSURE NOTICE MADE AVAILABLE BY THE DISTRICT PURSUANT TO
20 SECTION 48-7043, SUBSECTION C.

21 2. IDENTIFYING THE DISTRICT'S WEBSITE ADDRESS IN THE PURCHASE
22 CONTRACT OR IN A SEPARATE WRITTEN DISCLOSURE DELIVERED WITH THE NOTICE.

23 F. A SELLER WHO, IN GOOD FAITH, RELIES ON INFORMATION CONTAINED IN
24 THE STANDARDIZED DISTRICT DISCLOSURE NOTICE PROVIDED BY THE DISTRICT OR
25 POSTED ON THE DISTRICT'S WEBSITE AT THE TIME OF DISCLOSURE IS NOT LIABLE
26 FOR AN INACCURACY IN THAT INFORMATION UNLESS THE SELLER HAD ACTUAL
27 KNOWLEDGE OF THE INACCURACY.

28 G. A SELLER'S COMPLIANCE WITH THIS SECTION DOES NOT SATISFY OR
29 LIMIT ANY OBLIGATION OF A SUBDIVIDER OR OTHER SELLER TO OBTAIN AND DELIVER
30 A SUBDIVISION PUBLIC REPORT UNDER TITLE 32, CHAPTER 20, ARTICLE 4, AND
31 DOES NOT LIMIT ANY DISCLOSURE OBLIGATIONS IMPOSED BY SECTION 33-423 OR ANY
32 OTHER PROVISION OF LAW.

33 48-7046. Change in district boundaries or general plan

34 A. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE DELETED FROM THE
35 DISTRICT ONLY FOLLOWING A HEARING AFTER NOTICE TO THE OWNERS OF LAND IN
36 THE DISTRICT, ADOPTION OF A RESOLUTION OF INTENTION TO DO SO BY THE BOARD
37 AND APPROVAL BY THE OWNERS OF LAND IN THE DISTRICT PURSUANT TO SECTION
38 48-7041, SUBSECTION C. DELETED AREAS REMAIN SUBJECT TO THE LEVY FOR DEBT
39 SERVICE ON ANY BONDS ISSUED BEFORE THE DATE OF DELETION.

40 B. AFTER FORMATION OF A DISTRICT, AN AREA MAY BE ADDED TO THE
41 DISTRICT ON APPROVAL BY THE BOARD FOLLOWING RECEIPT OF A PETITION FOR
42 ADDITION SIGNED BY THE OWNERS OF ALL OF THE REAL PROPERTY IN THE PROPOSED
43 ADDITION AREA. THE PETITION MUST INCLUDE A WAIVER OF ANY REQUIREMENT FOR
44 A SEPARATE RESOLUTION OF INTENTION BY THE BOARD AND A WAIVER OF ANY
45 REQUIREMENT OF POSTING, PUBLICATION, MAILING, NOTICE, HEARING AND ELECTION
46 AS TO THAT ADDITION TO THE DISTRICT. THE ADDITION OF PROPERTY TO A
47 DISTRICT PURSUANT TO THIS SECTION DOES NOT CONSTITUTE THE FORMATION OF A

1 NEW DISTRICT AND DOES NOT REQUIRE COMPLIANCE WITH THE PROCEDURES
2 APPLICABLE TO INITIAL DISTRICT FORMATION OR TO AMENDING THE FORMATION
3 ORDER PURSUANT TO SECTION 48-7041, SUBSECTION K.

4 C. FOLLOWING A HEARING ON NOTICE TO OWNERS OF LAND IN THE DISTRICT
5 GIVEN IN THE MANNER PRESCRIBED FOR THE DELETION OF AN AREA FROM THE
6 DISTRICT, THE BOARD MAY AMEND THE GENERAL PLAN IN ANY MANNER THAT IT
7 DETERMINES WILL NOT SUBSTANTIALLY REDUCE THE BENEFITS TO BE RECEIVED BY
8 ANY LAND IN THE DISTRICT FROM THE PUBLIC INFRASTRUCTURE ON COMPLETION OF
9 THE WORK TO BE PERFORMED UNDER THE GENERAL PLAN.

10 D. THE AUTHORITY SHALL APPROVE THE ADDITION OR DELETION OF PROPERTY
11 UPON DETERMINING THAT THE REQUIREMENTS OF THIS SECTION HAVE BEEN SATISFIED
12 AND WILL AMEND THE FORMATION ORDER ACCORDINGLY.

13 48-7047. Other districts or improvements

14 A. THE FORMATION OF A DISTRICT UNDER THIS CHAPTER DOES NOT PREVENT
15 THE SUBSEQUENT ESTABLISHMENT OF SIMILAR DISTRICTS OR THE IMPROVEMENT OR
16 ASSESSMENT OF LAND IN THE DISTRICT BY THE MUNICIPALITY OR COUNTY PURSUANT
17 TO, CHAPTER 4, ARTICLE 2 OF THIS TITLE OR THE EXERCISE BY THE MUNICIPALITY
18 OR COUNTY OF ANY OF ITS POWERS ON THE SAME BASIS AS ON ALL OTHER LAND IN
19 ITS CORPORATE BOUNDARIES.

20 B. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, A DISTRICT MAY NOT
21 BE FORMED IF ANY PORTION OF THE LAND TO BE INCLUDED WITHIN THE DISTRICT IS
22 ALREADY INCLUDED WITHIN THE BOUNDARIES OF A COMMUNITY FACILITIES DISTRICT
23 OR REVITALIZATION DISTRICT IF THE COMMUNITY FACILITIES DISTRICT OR
24 REVITALIZATION DISTRICT HAS DEBT OUTSTANDING THAT IS SECURED BY AD VALOREM
25 TAXES OR ASSESSMENTS.

26 48-7048. Perpetual succession; dissolution of district

27 A. THE DISTRICT HAS PERPETUAL SUCCESSION, EXCEPT THAT THE DISTRICT
28 MAY BE DISSOLVED AS PROVIDED IN THIS SECTION AND, IF THE DISTRICT DOES NOT
29 HAVE ANY BONDS OR OTHER OBLIGATIONS OUTSTANDING, SHALL BE DISSOLVED TEN
30 YEARS AFTER THE DATE OF FORMATION UNLESS THE AUTHORITY BY RESOLUTION
31 EXTENDS THE DISTRICT BY AN ADDITIONAL PERIOD OF TEN YEARS.

32 B. THE BOARD SHALL ADOPT A RESOLUTION DISSOLVING THE DISTRICT IF
33 THE FOLLOWING CONDITIONS EXIST:

34 1. THE DISTRICT NO LONGER OWNS ANY REAL OR PERSONAL PROPERTY.

35 2. THE AUTHORITY VERIFIES THAT THE DISTRICT HAS NO BONDS OR
36 OBLIGATIONS OUTSTANDING.

37 3. THE AUTHORITY APPROVES THE DISSOLUTION ORDER ON RECEIPT OF A
38 DISSOLUTION PETITION EXECUTED BY THE OWNERS OF A MAJORITY OF THE REAL
39 PROPERTY IN THE DISTRICT.

40 C. A DISTRICT SHALL BE DISSOLVED AUTOMATICALLY AND WITHOUT ANY
41 ACTION FROM THE BOARD OR THE QUALIFIED ELECTORS IN THE YEAR THAT IS FIVE
42 YEARS AFTER COMPLETION OF ALL WORK TO BE PERFORMED UNDER THE DISTRICT'S
43 GENERAL PLAN, AS LONG AS THE AUTHORITY HAS VERIFIED THAT NO BONDS OR
44 OBLIGATIONS REMAIN OUTSTANDING. IF ANY BONDS OR OBLIGATIONS REMAIN
45 OUTSTANDING AFTER THE YEAR, THE DISTRICT SHALL BE DISSOLVED IN THE YEAR
46 AFTER THE BONDS OR OBLIGATIONS ARE PAID IN FULL.

1 D. ON SATISFACTION OF THE CONDITIONS PRESCRIBED BY SUBSECTION B OR
2 C OF THIS SECTION, THE AUTHORITY SHALL APPROVE THE DISSOLUTION AND ISSUE A
3 DISSOLUTION ORDER. THE BOARD SHALL CAUSE THE DISSOLUTION ORDER TO BE
4 RECORDED IN THE OFFICE OF THE COUNTY RECORDER AND SHALL CAUSE A COPY OF
5 THE DISSOLUTION ORDER TO BE DELIVERED TO THE COUNTY ASSESSOR AND THE BOARD
6 OF SUPERVISORS OF THE COUNTY IN WHICH THE DISTRICT IS LOCATED, TO ANY
7 MUNICIPALITY IN WHICH THE DISTRICT IS LOCATED AND TO THE DEPARTMENT OF
8 REVENUE.

9 E. ALL PROPERTY IN THE DISTRICT, EXCEPT FEDERAL, STATE, COUNTY AND
10 MUNICIPAL PROPERTY, REMAINS SUBJECT TO THE LIEN FOR THE PAYMENT OF AD
11 VALOREM TAXES LEVIED, AND ANY PROPERTY SUBJECT TO AN ASSESSMENT LIEN
12 REMAINS SUBJECT TO THE LIEN NOTWITHSTANDING DISSOLUTION OF THE DISTRICT.
13 THE DISTRICT MAY NOT BE DISSOLVED IF ANY GENERAL OBLIGATION BONDS, REVENUE
14 BONDS OR ASSESSMENT BONDS OF THE DISTRICT REMAIN OUTSTANDING UNLESS AN
15 AMOUNT OF MONEY SUFFICIENT, TOGETHER WITH INVESTMENT INCOME THEREON, TO
16 MAKE ALL PAYMENTS DUE ON THE BONDS EITHER AT MATURITY OR PRIOR REDEMPTION
17 HAS BEEN DEPOSITED WITH A TRUSTEE OR ESCROW AGENT AND PLEDGED TO THE
18 PAYMENT AND REDEMPTION OF THE BONDS. THE DISTRICT MAY CONTINUE TO OPERATE
19 AFTER DISSOLUTION ONLY AS NEEDED TO COLLECT MONIES AND MAKE PAYMENTS ON
20 ANY OUTSTANDING BONDS.

21 48-7049. Local involvement: preservation of municipal and
22 county authority

23 A. A DISTRICT FORMED PURSUANT TO THIS ARTICLE HAS NO ZONING,
24 SUBDIVISION, BUILDING CODE, PERMITTING OR OTHER LAND USE OR DEVELOPMENT
25 APPROVAL AUTHORITY. ALL LAND USE REGULATION, DEVELOPMENT PLANNING,
26 PLATTING, PERMITTING, INSPECTION AND CODE ENFORCEMENT AUTHORITY WITHIN THE
27 BOUNDARIES OF A DISTRICT REMAINS EXCLUSIVELY WITH THE MUNICIPALITY OR
28 COUNTY IN WHICH THE LAND IS LOCATED, AND ALL DEVELOPMENT WITHIN A DISTRICT
29 IS SUBJECT TO THE SAME GENERAL PLANS, SPECIFIC OR AREA PLANS, ZONING
30 ORDINANCES, SUBDIVISION REGULATIONS, ENGINEERING STANDARDS, BUILDING AND
31 FIRE CODES AND OTHER APPLICABLE LAWS, STANDARDS AND PROCEDURES AS
32 COMPARABLE DEVELOPMENT OUTSIDE A DISTRICT.

33 B. A MUNICIPALITY OR COUNTY RETAINS FULL AUTHORITY TO ADOPT, AMEND,
34 ADMINISTER AND ENFORCE ITS GENERAL PLAN, SPECIFIC OR AREA PLANS, ZONING
35 ORDINANCES, SUBDIVISION AND DEVELOPMENT REGULATIONS, ENGINEERING AND
36 DESIGN STANDARDS, BUILDING AND FIRE CODES AND ANY OTHER LAWS, REGULATIONS
37 OR POLICIES GOVERNING THE PLANNING, ENTITLEMENT, CONSTRUCTION, INSPECTION,
38 ACCEPTANCE, OPERATION OR MAINTENANCE OF PUBLIC INFRASTRUCTURE OR PRIVATE
39 DEVELOPMENT WITHIN ITS JURISDICTION, WITHOUT REGARD TO WHETHER THE LAND IS
40 LOCATED WITHIN A DISTRICT.

41 C. A DISTRICT MAY FINANCE, CONSTRUCT OR ACQUIRE PUBLIC
42 INFRASTRUCTURE THAT IS INTENDED TO BE CONVEYED TO AND OWNED, OPERATED OR
43 MAINTAINED BY A MUNICIPALITY OR COUNTY ONLY IF THE PUBLIC INFRASTRUCTURE
44 IS DESIGNED AND CONSTRUCTED IN ACCORDANCE WITH THE GENERALLY APPLICABLE
45 PLANS, ORDINANCES, CODES, STANDARDS, REGULATIONS AND STANDARD-FORM
46 AGREEMENTS OF THE MUNICIPALITY OR COUNTY FOR COMPARABLE PUBLIC
47 INFRASTRUCTURE IN THE JURISDICTION. A MUNICIPALITY OR COUNTY MAY ACCEPT

1 OR REJECT ANY SUCH PUBLIC INFRASTRUCTURE IN ACCORDANCE WITH THE
2 MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE ORDINANCES, CODES,
3 STANDARDS, REGULATIONS, STANDARD-FORM SUBDIVISION OR IMPROVEMENT
4 AGREEMENTS OR OTHER WRITTEN INSTRUMENTS, INCLUDING ANY APPLICABLE
5 DEVELOPMENT AGREEMENT OR INTERGOVERNMENTAL AGREEMENT, AND IS NOT REQUIRED
6 TO ACCEPT PUBLIC INFRASTRUCTURE THAT THE MUNICIPALITY OR COUNTY IS NOT
7 OTHERWISE REQUIRED TO ACCEPT UNDER APPLICABLE LAW.

8 D. BEFORE A DISTRICT CONVEYS TO A MUNICIPALITY OR COUNTY ANY PUBLIC
9 INFRASTRUCTURE THAT IS FINANCED, CONSTRUCTED OR ACQUIRED BY THE DISTRICT,
10 THE DISTRICT SHALL OBTAIN A CERTIFICATION FROM THE ENGINEER OR OTHER
11 OFFICIAL DESIGNATED BY THE MUNICIPALITY OR COUNTY STATING THAT THE PUBLIC
12 INFRASTRUCTURE HAS BEEN COMPLETED IN ACCORDANCE WITH THE APPLICABLE PLANS,
13 SPECIFICATIONS AND STANDARDS OF THE MUNICIPALITY OR COUNTY. THE TIMING,
14 FORM AND CONTENT OF THE CERTIFICATION AND OF ANY CONVEYANCE INSTRUMENTS
15 SHALL CONFORM TO THE MUNICIPALITY'S OR COUNTY'S GENERALLY APPLICABLE
16 REQUIREMENTS FOR COMPARABLE PUBLIC INFRASTRUCTURE. ACCEPTANCE OF A
17 DISCRETE SECTION OF PUBLIC INFRASTRUCTURE PURSUANT TO THIS SECTION DOES
18 NOT MODIFY THE ASSURANCES AND WARRANTY REQUIREMENTS OF A MUNICIPALITY OR
19 COUNTY PRESCRIBED BY A MUNICIPAL OR COUNTY CODE OR ORDINANCE OR AS
20 OUTLINED IN A DEVELOPMENT AGREEMENT ENTERED INTO PURSUANT TO SECTION
21 9-500.05 OR 11-1101.

22 E. THE FORMATION OR EXISTENCE OF A DISTRICT DOES NOT CREATE ANY
23 OBLIGATION FOR A MUNICIPALITY OR COUNTY TO PROVIDE SERVICES, FACILITIES OR
24 FINANCIAL SUPPORT TO THE DISTRICT OR TO ANY LAND WITHIN THE DISTRICT THAT
25 THE MUNICIPALITY OR COUNTY WOULD NOT OTHERWISE BE REQUIRED TO PROVIDE IF
26 THE LAND WERE NOT LOCATED IN THE DISTRICT. A MUNICIPALITY OR COUNTY IS
27 NOT REQUIRED, SOLELY BECAUSE A DISTRICT HAS BEEN FORMED OR PUBLIC
28 INFRASTRUCTURE HAS BEEN FINANCED, CONSTRUCTED OR ACQUIRED BY A DISTRICT,
29 TO ACCEPT OWNERSHIP, OPERATION OR MAINTENANCE RESPONSIBILITY FOR ANY
30 PUBLIC INFRASTRUCTURE OR TO INCUR ANY ADDITIONAL FINANCIAL OBLIGATION OR
31 LIABILITY WITH RESPECT TO A DISTRICT OR ITS PUBLIC INFRASTRUCTURE, EXCEPT
32 TO THE EXTENT THAT THE MUNICIPALITY OR COUNTY EXPRESSLY AGREES IN A
33 DEVELOPMENT AGREEMENT, INTERGOVERNMENTAL AGREEMENT OR OTHER WRITTEN
34 INSTRUMENT THAT IS AUTHORIZED BY LAW.

35 F. THIS ARTICLE DOES NOT AUTHORIZE A DISTRICT TO PLEDGE THE FULL
36 FAITH AND CREDIT OR THE TAXING POWER OF A MUNICIPALITY OR COUNTY. ANY
37 BONDS OR OTHER OBLIGATIONS OF A DISTRICT ARE OBLIGATIONS ONLY OF THE
38 DISTRICT AND ARE PAYABLE ONLY FROM THE SOURCES THAT ARE PLEDGED FOR THEIR
39 PAYMENT.

40 G. ANY PUBLIC INFRASTRUCTURE FINANCED PURSUANT TO THIS CHAPTER THAT
41 CONSTITUTES IMPROVEMENTS AS DEFINED IN SECTION 9-463 WILL REMAIN SUBJECT
42 TO THE MUNICIPALITY'S AUTHORITY UNDER SECTION 9-463.01, INCLUDING
43 REQUIREMENTS FOR PERFORMANCE BONDS, ASSURANCES OR OTHER SECURITY UNDER
44 SECTION 9-463.01, SUBSECTION C, PARAGRAPH 8.

1 <<48-7050. District formation period; termination; bonds;
2 applicability

3 [A. THE AUTHORITY MAY NOT ISSUE A FORMATION ORDER FOR A DISTRICT
4 UNDER THIS CHAPTER AFTER JUNE 30, 2036.

5 B. THIS SECTION DOES NOT AFFECT THE CONTINUED EXISTENCE, POWERS OR
6 OPERATIONS OF ANY DISTRICT THAT IS FORMED UNDER THIS CHAPTER ON OR BEFORE
7 JUNE 30, 2036.

8 C. THIS SECTION DOES NOT IMPAIR THE VALIDITY OR ENFORCEABILITY OF
9 ANY BONDS OR OTHER OBLIGATIONS ISSUED OR INCURRED BY A DISTRICT THAT IS
10 FORMED UNDER THIS CHAPTER ON OR BEFORE JUNE 30, 2036, OR ANY PLEDGE OF
11 TAXES, ASSESSMENTS OR OTHER REVENUES MADE TO SECURE THOSE BONDS OR
12 OBLIGATIONS.>>

13 Sec. 6. Legislative findings; purpose

14 A. The legislature finds and declares that:

15 1. The provision of public infrastructure in advance of development
16 is essential to housing affordability, economic development and orderly
17 growth.

18 2. State affordability infrastructure districts provide a uniform,
19 statewide mechanism for financing public infrastructure in a manner that:

20 (a) Protects taxpayers through limited tax rates and debt
21 limitations.

22 (b) Ensures transparency and public accountability.

23 (c) Facilitates early delivery of public infrastructure at lower
24 cost.

25 3. The Arizona finance authority is the appropriate statewide
26 certification authority to ensure uniform financial, engineering, and
27 statutory compliance for such districts.

28 4. The certification and oversight functions provided in this
29 chapter constitute governmental functions serving valid public purposes.

30 B. The legislature further finds and declares that:

31 1. State affordability infrastructure districts exercise limited,
32 special-purpose governmental powers relating solely to the financing,
33 construction, operation and maintenance of public infrastructure.

34 2. The financial obligations of a district, including ad valorem
35 taxes, assessments, and liens, are borne directly and proportionally by
36 real property within the district.

37 3. Because the powers and financial burdens of a district
38 disproportionately affect real property owners, it is reasonable and
39 constitutionally permissible to allocate voting power in district
40 elections based on land ownership and acreage.

41 4. Elections conducted pursuant to this chapter are fiscal
42 determinations relating to property-based obligations and are not general
43 political elections.

Senate Amendments to H.B. 2999

1 Sec. 7. Short title
2 This act may be cited as the "State Affordability Infrastructure
3 District Act".

4 Enroll and engross to conform
5 Amend title to conform

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